

Overarching circular on system of governance

Insurance and Reinsurance

Circular NBB_2016_31 (version updated on May 2020)

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Circular 2016_31 on the National Bank of Belgium's prudential expectations concerning the governance system in the insurance and reinsurance sector (version updated on May 2020)

0. Introduction

0.1 Context

Insurance and reinsurance companies play a crucial public role in the economy and the financial system. In particular, they take on a large number of long-term commitments (e.g. the accrual of supplementary pensions) which require a high degree of confidence in their solvency and stability. As a result, companies should commit to taking all measures necessary to ensure their business is governed well, not only in the interest of their own management but also to preserve the confidence of the public, their customers and the financial system. Sound governance is one of the cornerstones of the proper functioning of the industry and of the financial system in general.

The governance framework for insurance and reinsurance companies comprises multiple texts:

- Level 1: the Law of 13 March 2016 on the legal status and supervision of insurance or reinsurance companies (the Solvency II Law), which transposes the so-called Solvency II Directive i.e. Directive 2009/138/EC of the European Parliament and of the Council of 25 November 2009 on the taking-up and pursuit of the business of Insurance and Reinsurance;
- Level 2: Commission Delegated Regulation 2015/35 of 10 October 2014 supplementing Directive 2009/138/EC (Delegated Regulation 2015/35);
- Level 3: the Guidelines of the European Insurance and Occupational Pensions Authority (EIOPA) on the system of governance of 14 September 2015.

These subjects are also addressed by the International Association of Insurance Supervisors (IAIS) and, at Belgian level, a series of thematic Circulars and Communications also cover certain specific areas of governance.

0.2. Objectives

This Circular has three objectives:

- (i) compiling all legal and regulatory texts on governance which regulate the supervision of insurance or reinsurance companies (the Solvency II Law, the explanatory memorandum of the said Law, Delegated Regulation 2015/35 and the Regulations, Circulars and Communications of the NBB);
- (ii) transposing the Guidelines on System of Governance published by EIOPA on 14 September 2015 into Belgian regulatory law; and
- (iii) clarifying certain aspects of the Bank's recommendations and expectations.

This Circular is called the "Overarching Governance System Circular" as it coordinates and structures different thematic Circulars and contains substantive rules on various subjects.

0.3. Methodology and relation with the underlying thematic circulars

The structure of the Overarching Governance System Circular is based, as far as possible, on the different elements listed in the Solvency II Law in view of the application of the principle requiring insurance and reinsurance companies to have an appropriate governance system in order to ensure efficient and sound management of the company (see in particular Article 42 of the Solvency II Law).

The Overarching Governance System Circular is comprised of 15 chapters:

1. Management structure

2. Suitability of managers and of the persons responsible for control functions
3. Risk management system and ORSA
4. Organisational structure and internal control system
5. Independent control functions
6. Financial management
7. Outsourcing
8. Remuneration
9. Integrity (company values, whistleblowing, prevention of money laundering and conflicts of interest)
10. IT infrastructure
11. Continuity policy, contingency plans and recovery plans
12. Suitability of shareholders and members
13. Group aspects
14. Assessment of the effectiveness of the governance system by the management committee
15. Reporting on governance

Each chapter starts by specifying the relevant provisions of the Solvency II Law, of Delegated Regulation 2015/35, of the EIOPA Guidelines on System of Governance and of the underlying thematic Circulars.

As a reminder, the following thematic Circulars and Communications remain applicable:

- [Communication CBFA 2009_22](#) of 25 May 2009 on the derogation policy with regard to audit committees (cf. [Chapter 1](#) of this Circular)¹;
- The Fit & Proper Handbook attached to the [Circular NBB 2018_25](#);
- [Regulation of 9 July 2002](#), [Regulation of 6 December 2011](#) and [Circular PPB-2006-13-CPB-CPA](#) of 13 November 2006 on the exercise of external functions (cf. [Chapter 2](#) of this Circular);
- [Circular NBB 2012_14](#) on the compliance function (cf. [Chapter 5](#) of this Circular);
- [Regulation of 19 May 2015](#) and [Circular NBB 2015_21](#) on the internal audit function (cf. [Chapter 5](#) of this Circular);
- Circulars on IT: [Circular NBB 2009_17](#) of 7 April 2009 on IT security, [Communication NBB 2012_11](#) of 9 October 2012 on cloud computing and [Circular NBB 2015_32](#) on IT continuity for systemically important institutions;
- [Communication NBB 2017_22](#) and [Circular NBB 2017_23](#) of 22 September 2017 on the assessment of qualified shareholders (cf. [Chapter 12](#) of this Circular);
- [Communication NBB 2019_22](#) of 3 September 2019 on qualitative reporting to be provided through the eCorporate platform;
- [Circular NBB 2019_30](#) of 3 December 2019 on the Own Risk and Solvency Assessment (ORSA);
- [Circular NBB 2017_21](#) on loans, credits and guarantees to managers, shareholders and related persons;
- [NBB Regulation of 6 February 2018](#) on the fitness of the persons responsible for the compliance function (Regulation approved by Royal Decree of 15 April 2018); and
- [Communication NBB 2019_15](#) on expectations regarding the content of the statutory governing body's report on the assessment of the compliance function.
- [Circular NBB 2020_018](#) on the recommendations of the Bank in relation to cloud outsourcing

0.4. Scope

This Circular applies to:

¹ The application of this Communication is extended to the remuneration committee and the risk committee for aspects relating to the derogation from the obligation to set up those committees (see point 1.8.3. of this Circular).

- insurance and reinsurance companies governed by Belgian law, with the exception of small insurance companies governed by Belgian law as referred to in Articles 275 and 276² or local insurance companies as referred to in Article 294 of the Solvency II Law; and
- branches of third-country companies that exercise an insurance or reinsurance activity in Belgium, with the proviso that, for the branch in Belgium, account is duly taken of the absence of a legal person and of certain management bodies and mechanisms; and
- the entities responsible for³ an insurance or reinsurance group governed by Belgian law within the meaning of Articles 339, 2°, and 343 of the Solvency II Law or of a financial conglomerate governed by Belgian law within the meaning of Articles 340, 2°, and 343 of the Solvency II Law. Chapter 13 of this Circular contains more information on the legal rules on governance that apply at a group level.

0.5. Proportionality

The Bank expects the companies referred to in this Circular to enforce all requirements contained herein, taking into account the fact that they are essential for the status of insurance or reinsurance company. These requirements should in any case be complied with and only the scope and intensity thereof may vary based on the nature, scale and complexity of the risks inherent to the company's business model and activity (principle of proportionality, cf. Article 42, § 2 of the Solvency II Law).

0.5.1. Proportionality criteria – significant / less significant companies

The notions of 'nature', 'scale' and 'complexity' of risks and activities must be assessed by the National Bank of Belgium.

In practice, the National Bank of Belgium verifies whether the conditions for the application of the principle of proportionality have been met, notably on the basis of the following indicative criteria:

- a) the size of the company and the scale of the risks to which it is exposed, the assumption being that a company is less significant if it meets at least two of the following three criteria:
 - i. balance sheet total of less than or equal to € 3 billion,
 - ii. turnover (premiums without deducting reinsurance) of less than or equal to € 1 billion, and
 - iii. SCR operational risk⁴ of less than or equal to € 40 million; and
- b) the nature and complexity of the insurance transactions carried out by the company or by the group to which it belongs (cf. in particular, the insurance classes operated, the types of insurance products distributed, the international character of the activities performed, etc.) as well as the expected development of its risk profile and internal organisation.

As a result, where the principle of proportionality could be applied because of the scale of the risks to which the company is exposed, the nature and complexity of its transactions and the expected development of its risk profile and its internal organisation could lead the National Bank of Belgium to consider that the principle of proportionality cannot be applied. In other words, the National Bank of Belgium may decide that a company meeting the conditions relating to the size of the company and the scale of the risks as referred to in point a), and which should therefore be considered less

² Provisions that specifically refer to Article 272 of the Solvency II Law, which include conditions on income from premiums, total technical provisions, insurance activities to cover liability risks, credit risks and surety insurance risks, and activities abroad.

³ More particularly to insurance or reinsurance companies governed by Belgian law which are a participating undertaking in at least one insurance or reinsurance company in the European Economic Area or are from a third country, to insurance or reinsurance companies governed by Belgian law which have a mixed-activity holding company or mixed financial holding company in the European Economic Area or from a third country as their parent undertaking, and to insurance holding companies or mixed financial holding companies governed by Belgian law that are parent undertakings of an insurance or reinsurance company governed by Belgian law, insofar as these are subject to the legal provisions of this Circular.

⁴ Operational risk was chosen because it is determined on a flat-rate basis (it is modelled by very few companies) and because legal and governance risk can be classified as operational risk under international standards.

significant, should nevertheless be considered significant due to the nature and complexity of its transactions and the expected development of its risk profile and internal organisation.

Based on the indicative criteria, the National Bank of Belgium classifies annually insurance and reinsurance companies as well as insurance and reinsurance groups into two main categories: less significant companies/groups, on the one hand, and significant companies/groups, on the other.

Insurance and reinsurance companies that are responsible for an insurance or reinsurance group are **informed thereof through an *ad-hoc* letter from the Bank**.

0.5.2. Implications of proportionality

The application of the principle of proportionality does not imply that less significant companies can be exempted from the fundamental requirements, but rather that the expectations regarding the sophistication and formalisation of the governance system can be adjusted for them.

Possible examples are⁵ :

- a less frequent revision of the Regular Supervisory Report (every three years instead of every year);
- the possibility for a person responsible for an independent control function to hold several functions simultaneously;
- the possibility to outsource an independent control function externally (outside the group);
- less strict fitness rules for managers and the persons responsible for independent control functions;
- the possibility to request a derogation to appoint the Chief Risk Officer at 'N1' level;
- the possibility to request a derogation from the requirement to set up a management committee (implementation of senior management);
- lower level of sophistication required from the policies, procedures, implementation processes and internal control mechanisms to be implemented;
- etc.

Additionally, less significant companies are not required to apply a number of best practices recommended by the National Bank of Belgium. These best practices are recognisable from the statement "recommended..." or "...is deemed a best practice". If the insurance company does not apply these best practices, it must justify this in the RSR and state which alternative measures it has taken.

0.6. Definitions

The following terms used in this Circular have the following definitions:

'Bank': the National Bank of Belgium as prudential supervisor of insurance and reinsurance companies governed by Belgian law;

'Belgian Code on Corporate Governance': corporate governance code established by the 'Corporate Governance Committee' pursuant to Article 3:6, § 2, fourth paragraph of the Companies and Associations Code and promulgated by the King by Royal Decree of 12 May 2019;

'CAC': the Companies and Associations Code introduced by the Law of 23 March 2019;

'entity responsible for the group': the participating insurance or reinsurance company governed by Belgian law, the insurance holding company or the mixed financial holding company governed by

⁵ These examples of implications of the principle of proportionality are without prejudice to the exemptions and derogations that can be granted based on *ad-hoc* criteria in accordance with the Solvency II Law (e.g. the possibility to be exempted from the requirement to establish an audit committee, a risk committee and a remuneration committee, which is clarified in point 1.8.1. of this Circular).

Belgian law which is the parent undertaking of an insurance or reinsurance company governed by Belgian law or deemed to be responsible for the governance aspects at group level⁶;

'independent control functions': the risk management function, the actuarial function, the compliance function and the internal audit function⁷;

'less significant company/group': the insurance or reinsurance company or the insurance or reinsurance group that meets the proportionality criteria set out in point 0.5. of this introduction and implemented by the National Bank of Belgium in accordance with its internal methodology;

'significant company/group': the insurance or reinsurance company or the insurance or reinsurance group that does not meet the proportionality criteria set out in point 0.5. of this introduction and implemented by the National Bank of Belgium in accordance with its internal methodology;

'Solvency II Law': the Law of 13 March 2016 on the legal status and supervision of insurance or reinsurance companies.

The term **'insurance companies'** must be understood in this Circular to mean **'insurance or reinsurance companies'**, including the companies listed in point V. above, which fall under the scope of this Circular. Where there is no management committee, the term **'management committee'** must be interpreted as meaning the **'senior management'**.

⁶ In most cases, the entity responsible for the group aspects is the parent entity that heads up the group. In exceptional circumstances and insofar as the Bank has granted its approval, a subsidiary may be accepted as the entity tasked with complying with requirements at group level rather than the parent entity. In such a case, it is this subsidiary which must enforce the governance measures at group level (cf. Chapter 13 of this Circular).

⁷ If under the implementation of its governance system, the company opts to deem other functions key staff because it considers that they are of particular importance for its activity and organisation, it is recommended to apply, to the degree in which they are relevant, the same rules as those included in this Circular for the independent control functions.

1. MANAGEMENT STRUCTURE

Regulatory framework:

1. Solvency II Law: Articles 40 and 41 (Management), 42, § 1, 1° (management structure); 44 to 53 (management bodies and specialised committees of the board of directors), 56 (position of the person responsible for the risk management function), 77 to 80 (specific tasks of the management body and management committee)
2. Delegated Regulation 2015/35: Article 258(4) (two persons running the undertaking)
3. Underlying thematic NBB Circulars: [Communication CBFA 2009 22](#) of 25 May 2009 on the derogation policy with regard to audit committees (Communication amended⁸ and supplemented by point 1.8.3. below as regards the risk committee and the remuneration committee)
4. EIOPA Guidelines: Guidelines 1 to 7 and 10

The Solvency II Law contains a number of provisions on the management structure and management bodies that an insurance company should have.

1.1. GENERAL REQUIREMENTS

1.1.1. Board of directors and management committee

The insurance company shall have a management structure that guarantees effective and prudent management, taking into account the nature, scale and complexity of the risks inherent to the company's business model and activity. As a basic rule, this means that there must be a clear division at the highest level between the senior management of the insurance company and the supervision of this management (Article 42, § 1, 1° of the Solvency II Law).

In view of the new management structures provided for in the CAC (one-tier and two-tier structures and structure with a single director), the pre-existing two-tier structure, which consists of a board of directors and a management committee as stipulated in the Solvency II Law will be maintained. This structure could be considered a "specific" two-tier structure given that there are two differences with a fully-fledged two-tier structure: (i) the powers of the management committee are delegated by the board of directors and (ii) at least two or three members of the management committee are also directors, which creates a sort of overlapping between the board of directors and the management committee, enabling the establishment of a realistic general policy and strategy as the persons responsible for their implementation are able to comment on them.

This means that there must be a distribution of competences at the highest level between:

- the board of directors, which (i) determines the overall business strategy, the risk policy and the integrity policy and (ii) supervises activities;
- the management committee, which is responsible for the specific management of the insurance company's activity, the enforcement of the risk management system and the introduction of an organisation and operational structure.

The overall strategy, risk policy, integrity policy and the supervision of activities shall be conferred on the board of directors as a whole.

The management of the company's activity shall be conferred on the management committee. Without prejudice to the authority to represent the company, all important decisions on the operational management must be made by at least two people, and before those decisions are implemented.

⁸ Point 1 of this Communication, entitled "Derogation from the composition of an audit committee" has become redundant given that the Solvency II Law determines that the audit committee, the risk committee and the remuneration committee may only be composed of non-executive directors.

1.1.2. Interaction between the board of directors and the management committee

The board of directors and the management committee of the insurance company shall work appropriately together, both between themselves and with all committees they have set up (including the audit committee, risk committee and remuneration committee), as well as with those responsible for the company's independent control functions. The board of directors may have access to the senior management.

1.1.3. Documentation of decisions and internal regulations

Decisions made by the board of directors and management committee shall be properly documented by the company. This documentation must show how the information coming from the risk management system is incorporated into the decision-making process. The management bodies (board of directors, including the specialist committees, and management committee) shall also draw up internal regulations.

1.1.4. Internal evaluation of the governance system

The insurance company's board of directors and management committee shall determine the scope and frequency of the internal evaluation of the governance system, taking into account the nature, scale and complexity of the company's activity, both at an individual and group level, as well as the structure of the group.

The company shall see to it that the scope, results and conclusions from the evaluation are properly documented and sent to the board of directors and management committee. The company shall have appropriate feedback procedures to guarantee that follow-up measures are taken and established.

It is also advisable to base the internal evaluation of the governance system on self-assessments performed by the company's management bodies (board of directors, specialised sub-committees, management committee) with regard to their functioning and potential improvement.

1.1.5. Training

The company shall take appropriate measures to improve or refresh the knowledge of the members of the management bodies through training programmes. The Bank recommends that these training programmes cover all risks to which the company is exposed, including sustainability risks.

1.1.6. Dynamic discussions

The company shall ensure that the board of directors, its sub-committees and the management committee are organised in such a way as to promote dynamic discussions. For instance, the size of the board of directors and of the management committee should be proportionate to the size of the company (no excessively large board of directors or management committee) and companies should avoid having permanent invitees sitting on the board of directors and on the management committee – except in duly justified situations. The chairs of the board of directors and of the management committee also have an important role to play in maintaining the quality of the discussions.

1.2. THE BOARD OF DIRECTORS

1.2.1. Composition

a) Majority of non-executive directors

The board of directors shall be composed of non-executive directors and executive directors. For the exercise of supervisory and control tasks, the non-executive members of the board of directors, i.e. the ones that do not form part of the management committee, shall form the majority in the board of directors, and the chairs of the board of directors and management committee shall be two different people. In accordance with the Solvency II Law the (executive or non-executive) members of the board of directors must be natural persons (a legal person is prohibited from being appointed as director).

In terms of social status⁹, a position of director of an insurance company cannot be exercised under an employment contract (obliged self-employed status) and a combination of two statuses (self-employed and employee) within the same company is not reconcilable with the principles of sound governance applicable to insurance companies¹⁰.

For listed insurance companies or insurance companies of which the debt securities or subscription rights (warrants) are tradable on regulated markets, it is reminded that according to common law at least a third of the members of the board of directors are of a different sex from the other members (cf. Article 7:86 of the CAC).

b) Independent directors within the meaning of the Solvency II Law

The role of independent directors is to ensure that all stakeholders of the company are adequately represented and, where appropriate, to reinforce technical expertise, particularly with regard to risk management.

Before the entry into force of the CAC, the Solvency II Law stipulated that insurance companies required to establish an audit committee, risk committee and remuneration committee¹¹ should have at least two directors meeting the independence criteria set out in Article 526ter of the former Companies Code, in particular to enable the company to comply with the obligation to have a majority of independent directors in the audit committee.

The CAC limits itself to stating the general principle that a director is considered independent if he does not have a relationship with the company or with one of its major shareholders that could jeopardise his independence. For the definition of the independence criteria, the CAC refers to provision 3.5 of the Belgian Code on Corporate Governance, which is not in itself a regulatory act but a recommendation for sound practices, even if its content is incorporated in the legal order by Royal Decree.

Pending a clarification of the legislation on this aspect, the Bank considers that the old criteria set out in the aforementioned Article 526ter shall continue to apply unchanged to insurance companies even if they do not formally appear in the CAC. The intention is to confirm this approach through an amendment to the Solvency II Law reintegrating the old criteria of Article 526ter but providing for a so-called “comply or explain” system (consequently, independent directors will hereinafter be referred to as “independent directors within the meaning of the Solvency II Law”).

The Bank expects that all aforementioned independence criteria are met and, if not, that the insurance company explains to it why it did not meet one or more of the independence criteria set out in the Belgian Code on Corporate Governance (comply or explain). Specifically, this explanation should be in the form of a formal statement of the board of directors or, where appropriate, the nomination committee, explaining why one or more of the criteria are not met. This statement should be sent with the Fit & Proper file of the director concerned.

The recommended number of independent directors shall depend on the nature, scale and complexity of the risks inherent to the company’s business model and activity. Based on this risk profile, on the structure of the group to which the company belongs and on the other aforementioned factors, it could be considered adequate to have more than two independent directors within the meaning of the Solvency II Law.

In insurance companies that are not obliged to have an independent director within the meaning of the Solvency II Law, it is nevertheless advisable to appoint an independent director meeting the

⁹ By identity of reasons, the same rules apply whether the business enterprise is in the form of a company or of a mutual insurance association.

¹⁰ A link of subordination - supposing it to be proven - would jeopardize the effectiveness of the supervision of the Board of directors on the management of the company.

¹¹ Setting up an audit committee, a risk committee and a remuneration committee is not compulsory for insurance companies that fulfil, on a consolidated basis, at least two of the following three criteria: average number of employees during the financial year in question of less than 250, a balance sheet total equal to or less than € 43 million and an annual net turnover (premiums earned less reinsurance) equal to or less than € 50 million.

criteria that are set out in provision 3.5 of the Belgian Code on Corporate Governance and that will be included in the Solvency II Law.

c) Selection of directors

Apart from a policy on expertise and fitness and propriety (cf. Chapter 2 below), the company shall establish a policy for the composition of its management bodies (board of directors and management committee) and for the selection of the directors and members of the management committee, not only taking into account the Fit & Proper aspects but also, for example, the number of directors, their age, their gender, accumulation of mandates, length and rotation of mandates, rules on conflicts of interest, etc.

In this policy, the company shall establish the principles it will follow for the nomination for appointment, renewal, termination and removal of the directors.

1.2.2. Tasks

The board of directors has the final responsibility for the insurance company. More particularly, this concerns the following two functions.

a) Determining the general company strategy, risk policy and integrity policy

In accordance with Article 44 of the Solvency II Law, the board of directors shall determine *“the company’s strategy and objectives and; the risk policy, including the overall risk tolerance; the integrity policy [...]”*.

Firstly, as regards **the company’s strategy and objectives**, the Bank expects the board of directors at least to determine and validate:

- i. the company’s objectives (especially as regards the sales policy),
- ii. the main lines of its organisational structure and its internal control structure (which must be in proportion to the intended objectives),
- iii. the company’s policies on governance sensu stricto, i.e. the Fit & Proper policy, the remuneration policy, the outsourcing policy, the internal rules on external functions, the IT security and continuity policy and the charters of the independent control functions,
- iv. the reportings intended for the public (particularly the Solvency and Financial Condition Report or SFCR).

Secondly, as regards the **risk policy**, the board of directors must specifically:

- i. determine the company’s risk appetite and general risk tolerance limits for all of its activities (risk appetite policy);
- ii. approve the company’s general risk management policy (see below for the content of that policy), the specific risk management policies (i.e. the following relevant policies: a) the policy relating to the management of underwriting and reserve risk, b) the asset-liability management policy, c) the investment risk management policy, d) the liquidity risk management policy, e) the concentration risk management policy, f) the operational risk management policy, g) the reinsurance policy, h) where appropriate, the mortgage lending policy, i) the asset and liability valuation policy, j) the profit-sharing policy, k) the ORSA policy, and l) the capital management policy) and the policy guaranteeing that the information submitted to the Bank is always adequate (Article 77, § 7 of the Solvency II Law);
- iii. be the first line as regards risk-based strategic decisions and be closely involved in the ongoing supervision of the development of the company risk profile (this requires the board of directors, or where applicable the audit committee and the risk committee, to always be in possession of relevant and comprehensive information on the risks the company faces);
- iv. approve the Regular Supervisory Report (RSR) and the Own Risk and Solvency Assessment (ORSA). In this regard, the Bank highlights the fact that the annual and quarterly Quantitative Reporting Templates (QRTs) should not be approved by the board of directors as Articles 80, § 5, and 202 of the Solvency II Law explicitly state that this task falls to the management committee (except for the QRTs annexed to the SFCR).

Thirdly, the board of directors should also approve the **integrity policy**, which establishes the company's fundamental ethical principles and includes at least the following: rules on conflicts of interest, rules on whistleblowing, rules on the prevention of money laundering and terrorist financing, codes of conduct, etc.

b) **Supervision of activities**

Supervising activities and regularly assessing the effectiveness of the insurance company's governance system form another important pillar of the responsibilities of the board of directors. The supervision must relate to all of the insurance company's areas of activity and in particular cover the management committee (supervision of the management committee's decisions) and compliance with the risk policy.

This supervision on the operation of the company may be exercised through (i) reporting by the independent control functions, (ii) effective use of the investigative powers of the board of directors, (iii) reporting by the management committee on the development of the company's activity and (iv) access to the minutes of the management committee.

The Solvency II Law (Article 77) moreover determines that the board of directors as a minimum:

- i. must assess the effectiveness of the company's governance system at least once a year and ensure that the management committee take the necessary measures to tackle any non-conformity;
- ii. must regularly and at least once a year assess the proper functioning of the four independent control functions. Apart from the assessment it may make by virtue of its regular contacts and the information provided to it by these four functions, the board of directors shall base its assessments on the management committee's periodic report which includes, in particular, the measures needed to remedy any non-conformity. It should also be noted that, from 2018 onwards and pursuant to the Law of 5 December 2017 modifying the Solvency II Law, the board of directors is required to annually submit a report on the assessment of the proper functioning of the compliance function to the Bank;
- iii. must determine which measures must be taken as a result of the findings and recommendations in the internal audit and must ensure that these measures are taken;
- iv. must regularly and at least once a year assess the general principles of the remuneration policy and is responsible for the supervision of the implementation thereof;
- v. must assess whether the policy for reporting to the Bank approved by the board of directors on the basis of Article 77, § 7 of the Solvency II Law is complied with; and
- vi. must bear the responsibility for the integrity of the accounting and financial reporting systems, including the rules for operational and financial control, and ensure that these systems offer a reasonable degree of certainty as to the reliability of the financial reporting process.

1.3. MANAGEMENT COMMITTEE

Every insurance company must set up a management committee irrespective of its legal form (subject to exceptions, see below). A management committee enhances the efficiency of plural supervision and of collegial decision-making as regards the company's operations. Unlike the management board provided for in the CAC, the powers of the management committee are not conferred by law but delegated by the board of directors.

1.3.1. Composition

At least three members of the management committee must be directors to maintain the link with the board of directors. In accordance with the explanatory memorandum of the Solvency II Law, the Chief Executive Officer (CEO - Chair of the management committee, person tasked with the day-to-day management) and the Chief Risk Officer (CRO) must be directors, the Bank recommends that the Chief Financial Officer (CFO), the third member of the management committee, be a director.

If the company has received authorisation from the Bank to designate a person with 'N1' level as the person responsible for the risk management function (see the conditions under point 1.3.3. below), the management committee may be composed of only two directors¹².

As regards the requirements regarding integrity and expertise, professional bans, exercise of external functions, availability of managers or agreements with managers, the same provisions apply to the members of the management committee who are not directors as those that apply to directors.

The members of the management committee may only be natural persons.

In terms of social status¹³, a position of member of the management committee of an insurance company cannot be exercised under an employment contract (obliged self-employed status) and a combination of two statuses (self-employed and employee) within the same company is not reconcilable with the principles of sound governance applicable to insurance companies¹⁴.

The size of the management committee should always be adapted to the complexity of the company. An overly large management committee impairs the quality of the discussions and the proper functioning of the decision-making process. In this regard:

- (i) the Bank notes that the majority of the members of the board of directors should not be members of the management committee, in accordance with Articles 45 and 46, § 2 of the Solvency II Law;
- (ii) considering the fact that the management committee can be composed of members who are not directors, the Bank expects the management committee to have less members than the board of directors so as not to compromise the latter's supervision of the former.

In addition to the Fit & Proper policy (cf. Chapter 2), The company shall establish a policy with regard to the composition of its management bodies, including the management committee, in which it formulates the principles it will follow for nomination for appointment, renewal, termination and removal of the members of the management committee.

1.3.2. Collegiality and distribution of tasks between the members of the management committee

Members of the management committee (directors and non-directors) shall be loyal to the decisions made. These shall be included in the minutes. Collegiality does not prevent members from being allocated specific, albeit non-exclusive, areas of responsibility.

The reference situation for the distribution of tasks against which each individual situation will be assessed, is based on the following guiding principles (naturally without prejudice to compliance with the legal fit and proper requirement):

1. preference for the model where the CRO is a member of the management committee, in compliance with the provisions of Article 56 of the Solvency II Law;
2. strict separation between Risk Management and Investment as well as between Risk Management and Commercial (Underwriting);

¹² In such a situation, the following conditions must be met: (i) the company must be able to convincingly justify in a formal file submitted to the Bank that it is advisable to grant a derogation to appoint a CRO at 'N1' level on the basis of Article 56, § 3, second paragraph, 1°, and that therefore no conflicts of interest exist with regard to the CRO at 'N1' level; ii) Article 54 of the Solvency Law relating to the separation of control functions and operational functions should be complied with at the level of the persons responsible for the operational functions at 'N1' level who are in charge of the control functions (flexibility at management committee level); and (iii) tasks should be distributed evenly between the two members of the management committee.

¹³ By identity of reasons, the same rules apply whether the business enterprise is in the form of a company or of a mutual insurance association.

¹⁴ A link of subordination - even if it is proven - would compromise the proper functioning and collegiality of the management committee since the member of the management committee concerned would be in a relationship of subordination compared to his colleagues.

3. assignment of the internal audit to a member of the management committee who is not responsible for the Commercial function (Underwriting) but combines this function with operational functions that generate less risk¹⁵; and
4. even distribution of tasks between the different members of the management committee.

To translate these guiding principles, standard schemes were established for the distribution of tasks between members of the management committee of significant insurance companies¹⁶. These schemes are indicative schemes that translate the expectations of the Bank regarding the distribution of tasks for these significant companies. However, insurance companies are free to adopt another model insofar as they comply with the size recommendations included in point 1.3.1. above (the management committee may not be too large as this would be detrimental to the quality of the discussions).

- Model with CRO in the management committee:

	CEO (Chief Executive Officer)			CRO (Chief Risk Officer)			CFO (Chief Financial Officer)			CCOO (Chief Commercial & Operating Officer)		
	HR	Legal	IA	R M	Comp liance	Actuarial Function	Finance (Budget/Acc/tax /Reporting)	Investment		Commercial (Distribution/Prod Dylpt)	Operations (Souscription/ Sinistres)	IT
Qu	HR	Legal	IA	R M	Comp liance	Actuarial Function	Finance	Investme nt	IT	Life (commercial & operations)	P&C (commercial & operations)	

- Derogatory model without CRO in the management committee:

	CEO						CFO		CCO (Chief Commercial Officer) ou CLO (Chief Life Officer) ou CCoO (Chief Corporate Officer)			COO (Chief Operating Officer) ou CPCO (Chief P&C Officer) ou CReO (Chief Retail Officer)	
	HR	Leg al	IA	RM	Actuarial Function	Compli ance	Finance	Investment	Commercial			Operations	IT
Qu	HR	Leg al	IA	RM	Actuarial Function	Compli ance	Financ e	Investme nt	IT	Life	Corporate	P&C	Retail

Less significant companies are free to comply with the standard schemes. However, the Bank accepts that the (N-1) persons responsible for the control functions report to a member of the management committee who also performs operational tasks. As indicated above, the following limits should be complied with: (i) there is a strict separation between Risk Management and Investment as well as between Risk Management and Commercial (Underwriting) and (ii) internal audit is assigned to a member of the management committee who is not also responsible for Commercial (Underwriting) but combines this function with operational functions that generate less risk.

Furthermore, the Bank shall be notified of the distribution of tasks between the members of the management committee and any change thereto. As regards the suitability test of the members of the management committee, the Bank may, in the event of an incident, take account of the personal shortcomings of the managers in its individual assessment.

1.3.3. Availability of the Chief Risk Officer in the management committee

The Solvency II Law stipulates that the head of the risk management function shall be a member of the management committee, the risk management function being the only function for which he/she is individually responsible.

Although as a principle, the risk management function is the only function for which the Chief Risk Officer — who is a member of the management committee — is responsible, the Solvency II Law

¹⁵ The operational tasks (i) 'Legal' and (ii) 'HR' can be considered as generating less risk and can therefore be combined with the hierarchical responsibility of the internal audit function in the management committee.

¹⁶ These schemes illustrate the hierarchic reporting lines of the "N-1" persons responsible to the "N" members of the management committee. Naturally, they are without prejudice to the functional reporting lines which the persons responsible for independent control functions should have to the board of directors or one of its sub-committees. Furthermore, in accordance with Article 77, § 9 of the Solvency II Law and as indicated in point 5.1.6 of this Circular, it should be noted that the reporting to the management committee of the internal audit, as third line of defence, is limited to matters relating to (i) the determination of necessary human and IT resources and (ii) the performance of recommendations decided on by the board of directors or the audit committee.

allows the risk management function, the actuarial function and the compliance function, which form the second line of defence of the insurance company, to come under the responsibility of the Chief Risk Officer — who is a member of the insurance company's management committee—insofar as these three functions (i) are exercised separately from each other¹⁷ and (ii) this does not give rise to any conflicts of interest¹⁸. For insurance companies with a balance sheet total of less than € 3 billion, the aforementioned accumulation of functions is permitted *ex officio*. Companies with a balance sheet total of more than € 3 billion must submit a formal written request for such authorisation explaining the reasons for this request and provide evidence that this accumulation does not give rise to issues of conflicts of interest and availability.

By virtue of the nature, scale and complexity of the risks inherent to the company's business model and activity, and taking into account the appropriate organisation of the function at the level of the group concerned, the Bank may allow the risk management function to be fulfilled by a member of the senior staff ('N1'), as long as the exercise of this independent control function does not give rise to conflicts of interest vis-à-vis this person, in view of the other functions that he/she would otherwise exercise. In order to be granted such an exception, the insurance company must submit a formal written request to the Bank, explaining in detail why it wishes to be granted such an exception and in what way the aforementioned criteria are complied with.

Where the Chief Risk Officer is a member of the management committee, the company must ensure that this does not compromise the independence of the risk management function. For instance, if the CRO finds himself in a situation where he must choose between "his loyalty to the non-executive directors as independent control function" and "his loyalty as member of the management committee as a collegial body", the CRO should prioritise his loyalty to the non-executive directors. Furthermore, for the sake of good order, the Bank stresses that the presence of the CRO in the management committee should not lessen the collective expertise regarding risk management expected of the non-executive directors. In this respect, the Bank notes that Article 51 of the Solvency II Law stipulates that non-executive directors who are members of the risk committee should "individually possess the necessary knowledge, expertise, experience and proficiency to understand and comprehend the insurance or reinsurance company's strategy and risk tolerance".

1.3.4. Tasks of the management committee

The following tasks come under the responsibility of the management committee (non-exhaustive list):

- a) Implementing the strategy laid down by the board of directors and management of the business:
 - (i) implementing the strategy developed and approved by the board of directors,
 - (ii) undertaking the management of the company in accordance with the strategic goals established and with due regard to the risk tolerance limits laid down by the board of directors;
 - (iii) supervising line management ('CD1'), and compliance with the allocated competences and responsibilities;
 - (iv) making proposals and giving advice to the board of directors for determining the general policy and strategy of the company;

¹⁷ The requirement to have the functions exercised separately from each other must be applied proportionally. For significant insurance companies, this means that the three independent control functions should be separated from an organisational perspective (no single person holding multiple control functions simultaneously) and that Chief Risk Officers who are members of the management committee should only be responsible for the compliance function and the actuarial function in a hierarchical sense. For less significant companies, this means that the functions must be separate but that they can be held simultaneously by a single person who is thus appointed as person responsible for multiple control functions, provided that (i) there are no conflicts of interest between these control functions (e.g. avoid having a single person be both 'maker' and 'checker', and (ii) that this person meets the fitness requirements.

¹⁸ In the event of accumulation, except in the case of outsourcing, the person responsible for the compliance function ('N1') as the person with the most senior operational responsibility for the compliance function, the person responsible for the actuarial function ('N1') as the person with the most senior operational responsibility for the actuarial function, and, for the function of risk management, the Chief Risk Officer member of the MC ('N') shall be subjected to the Bank's Fit & Proper screening.

b) Implementing the risk management system:

- (v) translating the risk appetite framework, the general risk management policy and the specific risk management policies established by the board of directors into procedures and processes;
- (vi) implementing the necessary measures to control risks;
- (vii) making sure, based on the reports of the independent control functions, that all relevant risks to which the company is exposed (financial risks, insurance risks, operational and other risks) are appropriately identified, measured, management, controlled and reported;
- (viii) supervising the development of the company's risk profile and overseeing the risk management system;

c) Introducing, monitoring and assessing the organisational and operational structure:

- (ix) Implementing the governance policies sensu stricto established by the board of directors (Fit & Proper policy, remuneration policy, outsourcing policy, internal rules on external functions, security and continuity policy, integrity policy) by translating them into concrete procedures and processes;
- (x) setting up an organisational and operational structure to support the strategic goals and ensuring uniformity with the framework established by the board of directors for risk appetite, especially by determining the powers and responsibilities of each section of the company and specifying the reporting policies and procedures;
- (xi) setting up appropriate internal control mechanisms at every level of the company and assessing the appropriateness of those mechanisms,
- (xii) implementing the necessary framework for the organisation and the proper functioning of the independent control functions, and assessing — based on the work of those control functions — the effectiveness and efficiency of the policies on risk management, internal control and governance established by the company;
- (xiii) supervising the correct implementation of the remuneration policy;
- (xiv) setting up an internal reporting system that gives a reasonable degree of certainty as to the integrity of the financial information and prudential reporting;

d) Implementing the integrity policy established by the board of directors (covering in particular conflicts of interest, whistleblowing, rules on the prevention of money laundering and terrorist financing) by translating them into concrete procedures and processes;

e) Reporting to the board of directors and the Bank

- (xv) communicating the relevant information and data to the board of directors and/or where applicable to one of its sub-committees, to allow them to monitor the company's activity;
- (xvi) implementing the policy established by the board of directors for reporting to the Bank (Article 77, § 7 of the Solvency II Law) and, in this context, submitting the expected prudential information to the Bank. In this respect, the Bank highlights the fact that it is the task of the management committee to approve and provide the Bank with the reporting on the annual and quarterly Quantitative Reporting Templates (QRTs) in accordance with Articles 80, § 5, and 202 of the Solvency II Law. Moreover, the management committee should formally declare annually and half-yearly that the information provided to it in accordance with Articles 312 to 316 of the Solvency II Law (i) is complete, (ii) accurately reflects the situation of the company, taking into account its risk profile, and (iii) is established in accordance with the legal rules and the instructions of the Bank; and
- (xvii) providing a report at least once a year to the board of directors, the accredited statutory auditor and the Bank on the effectiveness of the governance system (cf. Chapter 14 of this Circular).

1.3.5. Exemption from the obligation to set up a management committee/senior management

The Bank may grant less significant companies an exemption from the obligation to set up a management committee by virtue of their size and risk profile or of the group to which they belong. Insurance companies that request such an exemption must submit a request, including the reasons,

and providing evidence that a 'senior management' model is appropriate in view of the nature, scale and complexity of the risks inherent to their business model and their activity.

The company's management model must in any case pass the test of the following general quality requirements regarding sound governance:

- (i) there is an appropriate segregation between the functions that manage the company's business and those that supervise it;
- (ii) the function of management is entrusted to at least two persons who, without prejudice to an adequate distribution of tasks, operate on a collegial basis¹⁹;
- (iii) the specific delegation of competences related to senior management is clearly regulated (for example in the articles of association);
- (iv) there is a structured dialogue between the functions that determine the general policy, those that manage the company's business, and those that supervise it.

1.4. SPECIALISED COMMITTEES WITHIN THE BOARD OF DIRECTORS - GENERAL ASPECTS

In order to enhance the effectiveness of the supervision and control of the activity, the operation and the risk profile of the company by the board of directors, the Solvency II Law provides for the set-up of three specialised committees within the board of directors:

- an audit committee;
- a risk committee; and
- a remuneration committee.

These committees are tasked with preparing the decisions of the board of directors in their respective areas, without this derogating from the latter's powers.

Other committees may be set up by the board of directors. Setting up a nomination committee, whose task is to assess the level of knowledge, commitment, availability and independent spirit of the directors, and to determine the needs and profile for future directors is deemed a best practice.

1.4.1. Composition of specialised committees - general rules

The specialised committees to be set up pursuant to the Solvency II Law should comprise at least 3 directors.

Only the non-executive members of the board of directors may form part of these committees, who reinforce the control function of the board of directors.

Risk and remuneration committees are required to have at least one member who is an independent director within the meaning of the Solvency II Law. For the audit committee, the majority of its members should be independent directors within the meaning of the Solvency II Law. The members shall be collectively skilled in the area of the specific tasks of the committee and have the requisite objectiveness and independence in the fulfilment of their task as regards the management committee.

Moreover, the Solvency II Law provides for specific requirements for the audit committee and the risk committee (see below).

1.4.2. Operation of the specialised committees

¹⁹ The concept of "senior management" means persons who participate at the highest level in the management of the company, i.e. the executive directors as well as persons who, without having the status of directors, are considered by the company to be effective managers because of the direct and decisive influence they can exercise on the management of all or part of the activities of the insurance company. In terms of their social status, senior managers who have the status of director are subject to the same rules as those set out in point 1.2.1. above. The other senior managers will necessarily have employee status, except in the capacity of 'delegate for daily management' (for corporate forms where it exists or may exist) and that their quality of senior manager derives exclusively from this quality of 'delegate to the daily management'.

The board of directors must draw up internal regulations for each committee, detailing the role (tasks), composition and operation of each committee (including minutes).

The Bank instructs insurance companies to ensure that the chairs of the audit committee and the risk committee do not chair the board of directors.

1.5. AUDIT COMMITTEE

1.5.1. Tasks

The audit committee has an essential role to play as regards the supervisory function carried out by the board of directors. In accordance with the Solvency II Law (Article 49), which was amended by the Law of 7 December 2016 on the organisation of the profession and the public supervision of auditors, the audit committee is at least responsible for the tasks listed in Article 7:99, § 4 of the CAC, namely:

1° notifying the board of directors of the results of the statutory audit of the annual accounts and, where appropriate, of the consolidated annual accounts as well as clarifying the manner in which the statutory audit of the annual accounts and, where appropriate, of the consolidated annual accounts contributed to the integrity of the financial reporting, and specifying the role of the audit committee in this process;

2° monitoring the financial reporting process and formulating recommendations or proposals to guarantee its integrity;

3° monitoring the effectiveness of the company's internal control and risk management systems²⁰ and monitoring the internal audit and its efficiency if there is any;

4° monitoring the statutory audit of the annual accounts and the consolidated annual accounts, which includes following up on the questions and recommendations formulated by the statutory auditor and, where appropriate, by the external auditor responsible for the audit of the consolidated annual accounts;

5° assessing and monitoring the independence of the statutory auditor and, where appropriate, of the external auditor responsible for the audit of the consolidated annual accounts, particularly regarding the merit of providing additional services to the company. The audit committee, together with the statutory auditor, specifically analyses risks to its independence and the safeguards applied to mitigate these risks when the total fees received from a public-interest entity as referred to in Article 1:12 of the CAC exceed the criteria laid down in Article 4(3) of Regulation (EU) No. 537/2014;

6° making recommendations to the company's board of directors with regard to the appointment of the statutory auditor and, where appropriate, of the external auditor responsible for the audit of the consolidated annual accounts, in accordance with Article 16(2) of Regulation (EU) No. 537/2014.

Additionally, Article 7:99, § 5 of the CAC specifies that the audit committee should report regularly to the board of directors on the performance of its tasks, in any case when the board of directors establishes annual accounts, consolidated annual accounts and, where appropriate, summarised financial statements for publication purposes.

²⁰ As regards the relationship between the task of the audit committee to assess the effectiveness of the risk management system and the tasks of the risk committee, it should be noted that these two committees work from a different perspective and base their assessments on different reports: (i) the audit committee assesses the suitability of the internal control processes and procedures, especially on the basis of the reports of the internal audit function and in this respect ensures that the internal control measures contribute to an effective risk management, while (ii) the risk committee is responsible for the assessment of the risk strategy used by the company, the appropriateness of the process for monitoring the risks, the quality of the reports provided by the risk management function (etc.). The tasks of the audit committee and the risk committee that relate to the assessment of the risk management system thereby complement each other: the risk committee assesses the company's risk strategy and the proper functioning of the risk management function, whilst the audit committee assesses the effectiveness of the internal control system (assessment of the appropriateness of the existing arrangements), as part of the notion of "risk management system".

1.5.2. Specific skills profile

In addition to the aforementioned general rules, Articles 48 and 49 of the Solvency II Law stipulate that:

- (i) the majority of the members of the audit committee should be independent within the meaning of the Solvency II Law;
- (ii) the members of the committee must have collective expertise in the field of the company's activity as well as in the area of audit and accounting; and
- (iii) at least one member of the audit committee must be an expert in the field of audit and/or accounting.

1.6. RISK COMMITTEE

1.6.1. Tasks

In accordance with the Solvency II Law, the risk committee must provide advice to the board of directors on all aspects connected to the current and future risk strategy and risk tolerance, and support the board of directors in exercising supervision of the implementation of that strategy by the management committee. More specifically, the tasks of the risk committee consist as a minimum of the following:

- a) As regards the risk strategy:
 - i. giving its opinion to the board of directors on:
 - the sufficiency of the organisation of the resources available and powers for the identification, measurement, control and reporting of the main risks to which the company is exposed;
 - the appropriateness of the procedure for monitoring the risks on the basis of the challenges for the company in its various areas of business and especially of the segregation between the executive and control functions;
 - ii. providing advice to the board of directors on all aspects relating to the current and future risk strategy and risk tolerance. The committee shall support the board where this supervision relates to the execution of this strategy by the management committee or where applicable the senior management;
 - iii. overseeing that the strategic decisions of the board of directors regarding entering into underwriting obligations, forming technical provisions, providing for transfers for reinsurance, investment policy, asset-liability management and liquidity management, take into account the risks incurred by the company in view of its business model and risk strategy — especially the reputational risks — that could arise from the types of products that are offered to clients;
 - iv. determining the nature, scale, form and frequency of the risk information that must be forwarded to the committee;
 - v. working with the remuneration committee, in particular to supervise that the total amount allocated for variable compensation and the performance targets included in the remuneration policy are compatible with the company's risk profile;
- b) As regards the operation of the risk management function:
 - i. researching the procedures used by the company in accordance with the strategy laid down by the board of directors, to provide for hedging the risks associated with its assets, transactions, and its liability as a result of amended insurance policies;
 - ii. requesting all necessary information (at least the annual report) from the risk management function and finding out about the action plan and the follow-up of this plan by the risk management function;
 - iii. listening to the Chief Risk Officer, providing advice to the board of directors on the organisation of the risk management function and finding out its work programme; where applicable asking the board to impose specific tasks to the risk management function.

The work of the risk committee relating to the risk strategy and the proper functioning of the risk management function, and the work of the audit committee with regard to internal control²¹, should enable the board of directors to form an opinion as to the effectiveness of the risk management system set up by the management committee.

1.6.2. Specific skills profile

The Solvency II Law stipulates that the members of the risk committee shall individually possess the necessary knowledge, expertise, experience and proficiency to understand and comprehend the company's risk strategy and risk tolerance. This requirement does not exclude certain education or backgrounds but rather means that these members must possess the necessary professional or academic baggage to be able to approach the subjects handled by the aforementioned committee with a critical mind.

1.7. REMUNERATION COMMITTEE

1.7.1. Tasks

The remuneration committee shall provide advice to the board of directors so that the incentives created by the remuneration policy are not of a nature so as to induce excessive risks being taken within the company, or behaviour that pursues interests other than the interest of the company and its stakeholders. In accordance with the Solvency II Law, the remuneration committee has the following tasks:

- i. giving advice on the company's remuneration policy;
- ii. preparing decisions on remuneration, in particular decisions that have consequences for the risks and risk management of the company and on which the board of directors must decide; and
- iii. exercising direct supervision of the remuneration of those responsible for the independent control functions.

1.7.2. Specific skills profile

In addition to the aforementioned rules, the Solvency II Law stipulates that the remuneration committee must be composed in such a way so as to be able to form a competent and independent opinion on the remuneration policy and supervision thereof. If no remuneration committee has been set up (because the company is not obliged to do so or because it is eligible for an exemption), the board of directors takes on the tasks that would otherwise have been allocated to the remuneration committee, and prevents conflicts of interest arising.

1.8. EXEMPTION AND DEROGATION FROM THE OBLIGATION TO SET UP AND COMPOSE SPECIALISED COMMITTEES

1.8.1. Exemption from an insurance company's obligation to set up an audit committee, a risk committee and a remuneration committee based on size

Setting up an audit committee, a risk committee and a remuneration committee is not compulsory for insurance companies that fulfil, on a consolidated basis, at least two of the following three criteria: average number of employees during the financial year in question of less than 250, a balance sheet total equal to or less than € 43 million and an annual net turnover (premiums earned less reinsurance) equal to or less than € 50 million.

In the absence of specialised committees, the whole board of directors is tasked with exercising the functions allocated to those committees. It follows from this that the standards laid down in the

²¹ As regards the relationship between the tasks of the risk committee and the audit committee that relate to assessing the effectiveness of the risk management system, reference is made to the footnote in point 1.5.1. above.

Solvency II Law for each of the committees concerned apply in that case to the board of directors, irrespective of the internal structure set up by this body.

1.8.2. Derogation from the obligation to set up a remuneration committee

The Bank may grant a derogation from setting up a remuneration committee to insurance companies that do not meet the conditions of the aforementioned derogation insofar as these companies clearly show that they are organised internally in such a way that the board of directors and management committee are supported in their respective tasks as regards the remuneration policy. In their application for derogation (addressed to the Bank) these companies must demonstrate that their internal organisation is of a nature so as to sufficiently support the management committee and board of directors in remuneration matters.

1.8.3. Derogation from the obligation to set up one or more sub-committees in a group context

Taking into account the group context, the Bank may grant a derogation from the obligation to set up one or more of the three committees laid down by law for insurance companies that do not meet the aforementioned conditions to be able to obtain the exemption referred to in point 1 above. The insurance company must be the subsidiary or sub-subsidiary of one of the following companies:

- a mixed financial holding company,
- a mixed-activity insurance holding company:
- an insurance holding company:
- a financial holding company,
- another insurance or reinsurance company,
- a credit institution,
- an investment firm,
- an Alternative Investment Fund Manager (AIFM),
- a management company of undertakings for collective investment.

In such a case, one or more committees must be set up within the group or sub-group concerned which have the power to represent the insurance company and meet the requirements of the Solvency II Law (including the requirement to have an audit committee comprised of a majority of independent directors within the meaning of the Solvency II Law).

The derogation policy described in [Communication CBFA 2009 22](#), which concerns audit committees, shall be applied *mutatis mutandis* for the setting up of the other audit committees, with the proviso that account should be taken of the specific tasks of each committee.²² Companies that wish to be eligible for this derogation from the obligation to set up a risk committee and/or remuneration committee are expected to submit a formal application to the Bank. As regards the audit committee, companies that have obtained a derogation from the obligation to set up an audit committee by virtue of [Communication CBFA 2009 22](#) may continue to make use of this derogation insofar as no aspects have been submitted that are new as compared to the situation at the time of submitting the request. The companies that had received a derogation as regards the composition of the audit committee must nevertheless take the necessary measures to comply with the Solvency II Law.

1.8.4. Composition of the audit committee and risk committee

The Solvency II Law stipulates that insurance companies may determine that only one committee executes the tasks of the audit committee and the risk committee, insofar as the composition of that audit committee and risk committee complies with the legal conditions for each of the two committees, i.e.:

- the majority of members are independent directors within the meaning of the Solvency II Law;

²² It is also noted, as already stated on page 9 of this Circular, that Section 1 of this Communication, which relates to the derogation from the composition of an audit committee, no longer applies given that the Solvency II Law determines that the audit committee, the risk committee and the remuneration committee may only be composed of non-executive directors.

- at least one director has individual expertise in the field of accounting and/or audit;
- all members individually possess the necessary knowledge, expertise, experience and proficiency to understand and comprehend the insurance company's risk strategy and risk tolerance;
- the committee possesses collective expertise in the field of the company's activity as well as in the area of accounting and audit.

As part of the implementation of the Solvency II Law, companies that wish to make use of this possibility are expected to inform the Bank on compliance with the aforementioned conditions and on the practical methods for the operation of this audit committee and risk committee (frequency of meetings, work schedule, etc.).

2. SUITABILITY OF MANAGERS AND THOSE RESPONSIBLE FOR CONTROL FUNCTIONS

Regulatory framework:

1. Solvency II Law: Articles 40, 41, 81 to 83 (Fit & Proper and external functions/incompatibilities) and 93 and 94 (transactions subject to limitation or prohibition and payments subject to being declared null and void)
2. Delegated Regulation 2015/35: Articles 258(1), (c) (collective skills) and (d) (individual skills), and 273 (F&P requirements)
3. Underlying thematic NBB Circulars: (i) the new [Fit & Proper Handbook attached to the Circular NBB 2018_25](#), (ii) [Regulation of 9 July 2002](#), [Regulation of 6 December 2011](#) and [Circular PPB-2006-13-CPB-CPA](#) of 13 November 2006 on the exercise of external functions, (iii) Circular NBB 2017_21 on loans, credits and guarantees to managers, shareholders and related persons, and (iv) NBB Regulation of 6 February 2018 on the fitness of the persons responsible for the compliance function (Regulation approved by Royal Decree of 15 April 2018).
4. EIOPA Guidelines: Guidelines 11 to 14

In accordance with the Solvency II Law, directors, members of the management committee and persons responsible for independent control functions in insurance companies must permanently possess the expertise and professional integrity required for their role. They must also devote the necessary time to the exercise of their function in the company and — if they exercise external functions — avoid conflicts of interest. The Law also provides for specific rules for loans and insurance policies for managers and a number of other special transactions.

2.1. 'FIT & PROPER' CHECKS

The suitability assessment of directors, members of the management committee, persons responsible for independent control functions and branch managers is usually described as the assessment of their 'Fit & Proper' nature. For more information on this subject, please refer to the [Fit & Proper Handbook](#). Furthermore, the fitness expected of the person responsible for the compliance function is also specified in the NBB Regulation of 6 February 2018.

2.2. AVAILABILITY AND EXTERNAL FUNCTIONS

The directors, members of the management committee, and persons responsible for independent control functions of insurance companies must devote the necessary time to the exercise of their functions in the company and, if they exercise external functions, avoid conflicts of interest and take into account a number of incompatibilities. In accordance with the Solvency II Law (Article 83) the company introduces internal rules for the external functions and oversees compliance therewith. The Bank recommends that these internal rules be extended to the persons responsible for the independent control functions and include specific rules for these persons (extension of the scope of the internal rules to the persons responsible for the independent control functions, except for the aspects relating to disclosure).

The [Regulation of 9 July 2002](#), [Regulation of 6 December 2011](#) and [Circular PPB-2006-13-CPB-CPA](#) give a detailed explanation of the rules that apply to external functions and also points out the incompatibilities established by law for non-executive directors and members of the management committee. These texts remain applicable.

2.3. LOANS TO MANAGERS AND OTHER SPECIAL TRANSACTIONS

To ensure conflicts of interest are managed properly, Article 93 of the Solvency II Law (provision amended in 2017) also lays down specific rules regarding loans, credits, guarantees and (retail life) insurance contracts for managers, shareholders and related persons.. These contracts must be concluded under normal market conditions.

The list of loans, credits and guarantees amounting, on a consolidated basis for a particular person, company or institution, to more than € 100,000 must be sent to the Bank (cf. Chapter 15 of this Circular) using the reporting table provided for this purpose in the Annex to Circular NBB_2017_21.

3. RISK MANAGEMENT SYSTEM

Regulatory framework:

1. Solvency II Law: Article 42, § 1, 3° (internal reporting on risks) and 11° (identifying a deterioration in the financial circumstances), Article 56 (the risk management function), Articles 84 to 90 (risk management system) and Article 91 (ORSA)
2. Delegated Regulation 2015/35: Articles 259, 260 and 261 to 265
3. NBB Circular: [Circular NBB 2019 30](#) regarding the guidelines for the own risk and solvency assessment (ORSA)
4. EIOPA Guidelines: Guidelines 17 to 26

The Solvency II Law and Delegated Regulation 2015/35 require the insurance company to develop an effective risk management system.

3.1. DEFINITION

In accordance with Delegated Regulation, a risk management system shall include the following:

- (a) a clearly defined risk management strategy which is consistent with the undertaking's overall business strategy. The objectives and key principles of the strategy, the approved risk tolerance limits and the assignment of responsibilities across all activities of the undertaking shall be documented;
- (b) a clearly defined procedure on the decision-making process;
- (c) written policies which effectively ensure the definition and categorisation by type of the material risks to which the undertaking is exposed, and the approved risk tolerance limits for each type of risk. Such policies shall implement the undertaking's risk strategy, facilitate control mechanisms and take into account the nature, scope and time periods of the business and the associated risks;
- (d) reporting procedures and processes which ensure that the material risks faced by the undertaking and the effectiveness of the risk management system are actively monitored and analysed and that appropriate modifications are made to the system where necessary.

The aim of this system is to identify, assess, control and monitor the risks to which the insurance companies are or could be exposed.

Insurance companies must also introduce systems to identify a deterioration in financial circumstances and to immediately inform the Bank where such a deterioration occurs.

3.2. THE ROLE OF THE BOARD OF DIRECTORS, MANAGEMENT COMMITTEE AND THE RISK MANAGEMENT FUNCTION

3.2.1. Specific role of the board of directors in the risk management system

The board of directors of the insurance company has the final responsibility for the effectiveness of the risk management system, for establishing the risk appetite and general risk tolerance limits of the company and for approving the main strategies and policies for risk management.

3.2.2. Role of the management committee

The management committee is responsible for the implementation of the risk management system. In accordance with the Delegated Regulation, the management committee and the persons responsible for control functions must take into account the information reported as part of the risk management system in their decision-making process.

3.2.3. Role of the risk management function

Please refer to point 5.2. below.

3.3. GENERAL RULES FOR THE RISK MANAGEMENT SYSTEM

3.3.1. Areas covered by the risk management system

The Solvency II Law stipulates that the risk management system has to cover the risks that must be taken into consideration when calculating the solvency capital requirement as well as the risks that are not — or not fully — taken into account in this calculation, and cover at least the following areas:

- 1° entering into underwriting obligations and forming reserves;
- 2° asset-liability management (ALM);
- 3° investment, in particular in derivatives and similar commitments;
- 4° liquidity and concentration risk management;
- 5° operational risk management;
- 6° reinsurance and other risk-mitigation techniques.

These different areas are covered in the documented policies on risk management.

3.3.2. Liquidity plan

Where the insurance companies apply the matching adjustment referred to in Article 129 of the Solvency II Law or the volatility adjustment referred to in Article 131 of the Solvency II Law, they shall draw up a liquidity plan with an estimate of the incoming and outgoing cash flows relating to the assets and liabilities on which these adjustments are applied.

3.3.3. Asset-liability management

As regards asset-liability management, insurance or reinsurance companies shall make a regular assessment of:

1° the sensitivity of their technical provisions and their eligible own funds for the assumptions at the basis of the extrapolation of the relevant risk-free interest rate term structure as referred to in Article 126, § 2 of the Solvency II Law;

2° in the event of application of the matching adjustment specified in Article 129 of the Solvency II Law:

- a) the sensitivity of their technical provisions and their eligible own funds for the assumptions at the basis of the calculation of the matching adjustment, including the calculation of the fundamental spread as referred to in Article 130, § 1, 2°, and the potential effect of a forced sale of assets on their eligible own funds;
- b) the sensitivity of their technical provisions and eligible own funds to changes in the composition of the assigned portfolio of assets;
- c) the impact of a reduction of the matching adjustment to zero;

3° in case of application of the volatility adjustment specified in Article 131 of the Solvency II Law:

- a) the sensitivity of their technical provisions and their eligible own funds for the assumptions at the basis of the calculation of the volatility adjustment, and the potential effect of a forced sale of assets on their eligible own funds;
- b) the impact of a reduction of the volatility adjustment to zero;

The insurance companies shall provide these aforementioned assessments to the Bank on an annual basis. Where the reduction of the matching adjustment or the volatility adjustment to zero would result in non-compliance with the solvency capital requirement, the company also submits an analysis of the measures it could apply in such a situation to re-establish the level of eligible own funds to cover the solvency capital requirement or to reduce its risk profile to restore compliance with the solvency capital requirement.

Where the volatility adjustment referred to in Article 131 of the Solvency II Law is applied, the written policy on risk management shall comprise a policy on the criteria for the application of the volatility adjustment.

3.3.4. Investment risk

As regards investment risk, insurance companies shall show that they comply with the provisions of Articles 190 to 198 of the Solvency II Law regarding (i) the 'prudent person' principle, (ii) keeping a running inventory and (iii) localisation of assets.

3.3.5. External credit assessment

In order to avoid overreliance on external credit assessment institutions, when they use external credit rating assessments for calculating the technical provisions and the solvency capital requirement, insurance companies shall assess the appropriateness of those external credit assessments as part of their risk management by using additional assessments wherever practicably possible in order to avoid any automatic dependence on these external assessments.

In addition to the requirements established for the calculation of technical provisions and the solvency capital requirement, Delegated Regulation 2015/35 moreover determines that the internal risk management methods may not rely solely or automatically on external credit assessments. Where the calculation of technical provisions or of the solvency capital requirement relies on external credit assessments by an ECAI or on the fact that an exposure has no rating, this does not absolve the insurance companies from the obligation to take into consideration other relevant information too.

3.3.6. Stress tests

Delegated Regulation 2015/35 stipulates that where appropriate, insurance companies must integrate in their risk management system stress tests and scenario analyses as regards all relevant risks to which they are exposed.

3.4. AREAS COVERED BY THE RISK MANAGEMENT SYSTEM

3.4.1. Areas covered by risk management

Delegated Regulation 2015/35 stipulates that the risk management system must cover the following areas:

- (a) Entering into underwriting obligations and forming reserves:
 - (i) measures to be taken by the insurance company to estimate and control the risk of loss or of adverse change in the value of insurance obligations, due to inadequate pricing and provisioning assumptions;
 - (ii) the sufficiency and quality of data to be considered in the underwriting and reserving processes, as set out in Delegated Regulation 2015/35, and their consistency with the standards of sufficiency and quality;
 - (iii) the adequacy of the claims management procedures, including the extent to which they cover the overall cycle of claims.
- (b) Asset-liability management:
 - (i) the structural mismatch between assets and liabilities and in particular the duration mismatch of those assets and liabilities;
 - (ii) any dependency between risks of different assets and liability classes;
 - (iii) any dependency between risks of different insurance obligations;
 - (iv) any off-balance-sheet exposures of the undertaking;
 - (v) the effect of relevant risk-mitigation techniques on asset-liability management;
- (c) Investment risk management:

- (i) action to be taken by the insurance company to ensure that the investments comply with the 'prudent person' principle;
 - (ii) actions to be taken by the insurance company to ensure that its investment takes into account the nature of the company's business, its approved risk tolerance limits, its solvency position and its long-term risk exposure;
 - (iii) the insurance company's own internal assessment of the credit risk of investment counterparties, including where the counterparties are central governments;
 - (iv) where the insurance company uses derivatives or any other financial instrument with similar characteristics or effects, the objectives of — and the strategy underlying — their use and the way in which they facilitate efficient portfolio management or contribute to a reduction of risks, as well as procedures to assess the risk of such instruments and the principles of risk management to be applied to them;
 - (v) where appropriate in order to ensure effective risk management, internal quantitative limits on assets and exposures, including off-balance-sheet exposures.
- (d) Liquidity risk management
- (i) action to be taken by the insurance company to take into account both short- and long-term liquidity risk;
 - (ii) the appropriateness of the composition of the assets in terms of their nature, maturity and liquidity in order to meet the company's obligations as they fall due;
 - (iii) a plan to deal with changes in expected cash inflows and outflows;
- (e) Concentration risk management: action to be taken by the insurance company to identify relevant sources of concentration risk to ensure that the risk concentrations remain within established limits and actions to analyse possible risk contagion between concentrated exposures;
- (f) Operational risk management: action to be taken by the insurance company to assign clear responsibilities to regularly identify, document and monitor relevant operational risk exposures;
- (g) Reinsurance and other insurance risk-mitigation techniques:
- (i) actions to be taken by the insurance company to ensure the selection of suitable reinsurance and other risk-mitigation techniques;
 - (ii) action to be taken by the insurance company to assess which types of risk-mitigation techniques are appropriate according to the nature of the risks assumed and the company's capability to manage and control the risks associated with those techniques;
 - (iii) the insurance company's own assessment of the credit risk inherent to the risk-mitigation techniques.

Delegated Regulation 2015/35 also stipulates the following:

- 1) the expected profit included in future premiums shall be calculated as the difference between the technical provisions, with a risk margin calculated in accordance with the Solvency II Law, and a calculation of the technical provisions, without a risk margin under the assumption that the premiums relating to existing insurance and reinsurance contracts that are expected to be received in the future are not received for any reason other than the insured event having occurred, regardless of the legal or contractual rights of the policy-holder to discontinue the policy.
- 2) the calculation of the expected profit included in future premiums shall be carried out separately for the homogenous risk groups used in the calculation of technical provisions, provided that the insurance and reinsurance obligations are also homogenous in relation to the expected profit included in the future premiums.
- 3) Loss-making policies may only be offset against profit-making policies in a homogenous risk group.

3.4.2. Risk management in companies providing loans and/or mortgage insurance

1. Insurance and reinsurance companies that provide loans shall have written policies to ensure all of the following points:

- (a) lending is based on sound and clearly defined criteria and the process for approving, amending, renewing and refinancing loans is clearly established;
- (b) companies have internal methods that enable them to assess the credit risk of exposures to individual borrowers and at portfolio level;
- (c) that the ongoing administration and monitoring of loan portfolios, including for identifying and managing non-performing loans and for making adequate value adjustments, is operated through effective systems;
- (d) the diversification of loan portfolios is adequate given the company's target markets and overall investment strategy.

2. Insurance companies that engage in mortgage insurance or reinsurance shall base their underwriting on sound and clearly defined criteria and comply with the requirements set out in point 1 a), b) and c).

3.5. GENERAL RISK MANAGEMENT POLICY

The board of directors of the insurance company shall set out a policy for risk management, which as a minimum:

- a) determines the risk categories and methods for measuring risks;
- b) defines how the company manages every relevant risk category and every potential aggregation of risks;
- c) describes the link between the assessment of the overall solvency requirements established under the ORSA supervisory report, the legal capital requirements and the risk tolerance limits of the company;
- d) establishes risk tolerance limits for all relevant risk categories, in line with the company's risk appetite;
- e) describes the frequency and content of the regular stress tests and the situations that justify a stress test.

3.6. RISK POLICIES

3.6.1. Policy relating to the management of the underwriting risk and reserve risk

In its risk management policy, the insurance company shall at least include the following as regards the underwriting risk and the reserve risk:

- a) the different types of insurance activities that the company exercises and the characteristics thereof, such as the type of insurance risk that the company is prepared to take on;
- b) how the adequacy of premium income to cover the expected claims and costs is guaranteed;
- c) identification of the risks arising from the company's insurance obligations, including the options included and guaranteed surrender value included in its products;
- d) how the company takes account of investment limitations in the process of developing a new insurance product and calculating premiums.
- e) how the company takes account of the reinsurance or other risk-mitigation techniques in the process of developing a new insurance product and calculating premiums.

3.6.2. Policy relating to the management of the operational risk

In its risk management policy, the insurance company shall at least include the following as regards operational risk:

- a) identification of the operational risks to which the company is or could be exposed and the assessment of how those risks can be mitigated;
- b) activities and internal processes for the management of operational risk, including the IT system to support those activities and internal processes;
- c) risk tolerance limits for the company's main operational risk areas.

The company shall have processes for identifying, analysing and reporting operational risks. To this end, the company shall operate a process for registering and monitoring incidents with an operational risk component.

The company shall develop and analyse a suitable number of stress scenarios for managing operational risks. These stress scenarios shall at least be based on the following approaches:

- a) failure of a key process or departure of key staff or failure of a key system;
- b) occurrence of unforeseen external events.

3.6.3. Reinsurance and other risk-mitigation techniques - risk management policy

In its risk management policy, the insurance company shall at least include the following as regards reinsurance and other risk-mitigation techniques:

- a) identification of the level of risk transfer that is appropriate given the risk limits established for the company and the types of reinsurance policies that are the most suitable given the risk profile of the company;
- b) principles for the selection of counterparties concerned by such risk-mitigation techniques and procedures for assessing and monitoring the financial solidity and diversification of the reinsurance counterparties;
- c) the procedures for assessing an effective risk transfer and the manner in which account is taken of the basis risk;
- d) liquidity management to remedy every timing mismatch between the payment of claims and compensation under reinsurance.

3.6.4. Strategic risk and reputational risk

The company shall manage, supervise and report on the following situations:

- a) actual or potential exposure to reputational and strategic risks and the mutual relationship between these risks and other material risks;
- b) important issues that influence its reputation in view of the expectations of interested parties and market sensitivity.

3.6.5. Policy relating to asset-liability management

In its risk management policy, the insurance company shall at least include the following as regards asset-liability management:

- a) a description of the procedure for establishing and assessing the various forms of mismatch between assets and liabilities, especially as regards conditions and currencies;
- b) a description of the risk-mitigation techniques used and the expected effect of relevant risk-mitigating techniques on asset-liability management;
- c) a description of the mismatches permitted by the company;
- d) a description of the method that forms the basis of the stress and scenario tests and the frequency with which these tests must be carried out.

3.6.6. Policy relating to investment risk management

In its risk management policy, the insurance company shall at least include the following as regards investment risks:

- a) the level of security, quality, liquidity, return and availability the company is aiming for, for the asset portfolio as a whole, and the way in which the company intends to achieve this;
- b) its quantitative limits with respect to assets and exposures, including exposures not included in the balance sheet, which must be established to help the company be sure of reaching the desired level of security, quality, liquidity, return and availability for the portfolio;
- c) the level of availability that the company is aiming for, for the asset portfolio as a whole, and how the company intends to achieve this;

- d) accounting for the situation on the financial markets;
- e) the terms under which the company can provide assets as security and lend out assets;
- f) the relationship between the market risk and other risks in unfavourable scenarios;
- g) procedure for adequate marking to market and verification of investment assets;
- h) procedures for monitoring returns on investment and, insofar as necessary, reviews of this policy;
- i) how it is ensured that the assets are selected in the interest of policy-holders and beneficiaries.

3.6.7. Policy relating to the management of the liquidity risk

In its risk management policy, the insurance company shall at least include the following as regards liquidity risks:

- a) the procedure for establishing the level of mismatch between incoming and outgoing cash flows as regards both assets and liabilities, including the expected cash flows by virtue of direct insurance and reinsurance policies, such as claims, early exit or surrender;
- b) how total liquidity needs are taken into account for the short- and medium term, including an appropriate liquidity buffer to cover liquidity shortages;
- c) how the level of monitoring of liquid assets is taken into account, including quantification of the potential costs and financial losses arising from forced sales;
- d) the establishment of alternative financing instruments and the costs thereof;
- e) how the effect on the liquidity position of expected new activity is taken into account.

3.7. OWN RISK AND SOLVENCY ASSESSMENT

The Solvency II Law (Article 91) stipulates that each insurance company shall assess its own risk and solvency by way of an Own Risk and Solvency Assessment or ORSA as part of its risk management system.

This assessment shall at least contain:

- 1) overall solvency needs, taking into account the company's specific risk profile, overall risk tolerance limits and business strategy, approved by the board of directors and management committee;
- 2) compliance on a continuous basis with the capital requirements laid down in Section II of Chapter VI of the Solvency II Law and the requirements on technical provisions laid down in Section I, Sub-section II of Chapter VI;
- 3) the extent to which the risk profile of the company concerned deviates from the assumptions underlying the solvency capital requirement as laid down in Article 151 of the Solvency II Law, calculated using the standard formula in accordance with Articles 153 to 166 or an internal model or partial internal model in accordance with Articles 167 to 188 of the aforementioned Law.

A procedure should be devised to further determine the practical methods for drawing up the ORSA supervisory. The Bank's expectations regarding ORSA are described in [Circular NBB 2019 30](#) on the Own Risk and Solvency Assessment.

4. ORGANISATIONAL STRUCTURE AND INTERNAL CONTROL SYSTEM

Regulatory framework:

1. Solvency II Law: Article 42, § 1, 2° (administrative and accounting procedures and internal control) and 10° (reporting system), Article 61 (central administration), Article 76 (record-keeping) and Article 199 (periodic provision of information and accounting rules)
2. Delegated Regulation 2015/35: Article 258(1)(b) (organisational structure), (k) (reporting lines), (f) (procedures) and (g) (assignment of tasks)
3. Underlying thematic NBB Circulars: the 'internal control' section of [Regulation of 19 May 2015](#) and [Circular NBB 2015 21](#) on the internal audit function
4. EIOPA Guidelines: Guidelines 2, 5, 38 and 39

The requirement for insurance companies to have sound and appropriate structures for the organisation of the business to ensure effective and prudent management is further explained in the various provisions of the Solvency II Law and Delegated Regulation 2015/35. Insurance companies are also expected to comply with the following aspects specific to the insurance sector.

4.1. ORGANISATIONAL AND OPERATIONAL STRUCTURE

The insurance company shall have an organisational and operational structure focused on supporting its strategic goals and activity. Whenever there are any changes to the company's strategic goals or activity or in the business climate relevant to the company, such structures may be adjusted to these changes within a reasonable period of time.

4.1.1. Allocation and segregation of tasks and responsibilities

The insurance company shall ensure that the tasks and responsibilities are allocated, segregated and coordinated based on its policy, and that these are reflected in the descriptions of tasks and responsibilities. The company shall ensure that all important tasks are covered, that unnecessary overlaps are avoided and that the reporting lines are clearly defined (in particular in an organisation chart). Effective cooperation between staff is promoted.

4.1.2. Administrative and accounting procedures and financial reporting

The insurance company shall have appropriate administrative and accounting procedures and internal control, especially including a control system that provides a reasonable level of assurance of the reliability of the financial reporting process. Under the supervision of the board of directors, the management committee shall take the necessary measures to provide the company with reliable financial and prudential reporting. This financial reporting system should enable the company to meet the requests for information made by the Bank, pursuant to Articles 201 and 312 of the Solvency II Law in particular.

4.1.3. Policies, procedures and implementation processes

The insurance company should establish a series of policies, procedures and implementation processes that are efficient and proportionate to the risk.

The policies shall include the fundamental principles to be adhered to in the context of the insurance company's activities. These principles shall then be translated in detail into procedures and implementation processes (such as IT tools).

The company shall align all of the policies required under the governance system²³ with each other and with the company strategy. Each policy shall clearly specify at least:

²³ 'Policies required' should be understood to mean all policies that must be drawn up pursuant to the Solvency II Law, irrespective of whether they relate to aspects of risk management (e.g. general risk management

- a) the objectives sought;
- b) the tasks that must be carried out and the person or function responsible;
- c) the reporting processes and procedures that must be applied;
- d) the obligation of the relevant organisational units to inform the risk management function, the compliance function, the internal audit function and the actuarial function of all relevant facts necessary for the performance of their tasks.

From a prudential point of view, the Bank expects companies to establish the following policies and be able to submit them to the Bank at the first request of its services.

Policies that must be provided to the Bank at first request	Legal basis for the development of the policies
Risk management policies	
Risk appetite policy	Article 259 of Delegated Regulation 2015/35
General risk management policy	Article 259 of Delegated Regulation 2015/35
Policy relating to the management of the underwriting risk and reserve risk	Article 260 of Delegated Regulation 2015/35
Asset-liability management (or ALM) policy;	Article 260 of Delegated Regulation 2015/35
Investment risk management policy	Article 260 of Delegated Regulation 2015/35
Liquidity risk management policy	Article 260 of Delegated Regulation 2015/35
Concentration risk management policy	Article 260 of Delegated Regulation 2015/35
Operational risk management policy	Article 260 of Delegated Regulation 2015/35
Reinsurance policy	Article 260 of Delegated Regulation 2015/35
Mortgage lending policy (where applicable)	Article 261 of Delegated Regulation 2015/35
Asset and liability valuation policy	Article 267(2) of Delegated Regulation 2015/35
Profit-sharing policy	Article 59, § 1, 10° of the Solvency II Law
ORSA policy	Article 91, § 2 of the Solvency II Law
Capital management policy	Article 262 of Delegated Regulation 2015/35
Policy on reporting to the NBB	Article 77, § 7 of the Solvency II Law
Policies on governance sensu stricto	
Fit & Proper policy	Article 273 of Delegated Regulation 2015/35
Remuneration policy	Article 42, § 1, 6° of the Solvency II Law and Article 275 of Delegated Regulation 2015/35
Internal rules on external functions	Article 83, § 3 of the Solvency II Law
Outsourcing policy	Article 274 of Delegated Regulation 2015/35
Continuity policy	Article 258(3) of Delegated Regulation 2015/35
Integrity policy covering at least the following subjects: (i) Company goals and values, (ii) Prevention of money laundering and terrorist financing, (iii) Whistleblowing and (iv) Conflicts of interest	Articles 42, § 1, 5°, 8°, and 44 of the Solvency II Law and Article 258(5) of Delegated Regulation 2015/35
Independent control function charters/policies	
Risk management charter/policy	Article 54, § 1, second paragraph of the Solvency II Law

policy and policies regarding the management of underwriting risk and reserve risk, asset-liability management, investment risk, liquidity risk, concentration risk, operational risk, reinsurance, mortgage lending, valuation of assets and liabilities and ORSA) or to aspects of governance sensu stricto (e.g. the Fit & Proper policy, the outsourcing policy, the remuneration policy, internal rules on external functions, integrity policy, rules on whistleblowing, continuity, management of conflicts of interest).

Actuarial function charter/policy	Article 54, § 1, second paragraph of the Solvency II Law
Internal audit charter/policy	Article 54, § 1, second paragraph of the Solvency II Law
Compliance charter/policy	Article 54, § 1, second paragraph of the Solvency II Law

4.2. INTERNAL CONTROL SYSTEM

4.2.1. Internal control environment

The company shall emphasise the importance of the exercise of adequate internal controls by ensuring that all staff are aware of their role within the internal control system. The control activity must be aligned with the risks that arise from the activity and processes to be controlled.

4.2.2. Monitoring and reporting

There are monitoring and reporting mechanisms incorporated within the internal control system, which provide the board of directors and management committee with all relevant information for the decision-making process.

4.2.3. Internal control mechanisms

The company shall implement an internal control system covering all its activities. This system shall be comprised of periodic and ongoing control mechanisms for all employees of the company.

4.3. CENTRAL ADMINISTRATION IN BELGIUM

The Solvency II Law states as a condition for authorisation that the insurance companies governed by Belgian law must have their central administration in Belgium, i.e. in the same Member State as their registered office. This legal requirement arises from Directive 95/26/EC of 29 June 1995, also referred to as the “post-BCCI Directive”.

The term ‘central administration’ must be interpreted within the meaning of Article 48 of the EC Treaty and therefore relates to the term ‘principal place of business’, or the place where the principal decisions of the company are taken and where the company’s business is actually conducted. This relates to the administrative head office and not the main headquarters. ‘Central administration’ must therefore be understood to mean the place from which the company is managed and where its management bodies meet.

It is established that the means used at present for remote decision-making render it difficult to delimit the term ‘central administration’. To be able to conclude that the “nerve centre” for conducting the business of a company with a cross-border organisation is in Belgium and that the company in question therefore complies with the legal requirement to have its central administration in Belgium, it is recommended at least that:

- (i) all persons responsible for independent control functions be included in the staff register (payroll) of the insurance company governed by Belgian law;
- (ii) the majority of meetings of the board of directors and the management committee take place on Belgian territory and
- (iii) the members of the management committee are sufficiently present in Belgium.

4.4. RECORD-KEEPING

The Solvency II Law (Article 76) stipulates that insurance companies should keep documents relating to their activities at their registered office. Taking into account recent technological developments and the fact that information on insurance and reinsurance activities will from now on

be very regularly stored in data centres or on equivalent secure computer storage media (such as clouds), the Bank – after consultation with the FSMA – considers that such a system could be deemed equivalent to storage at the registered office if it meets the following four conditions:

1. the insurance companies have permanent access to the documents stored at the data centres or on the secure equivalent computer storage media;
2. the insurance companies are able to fulfil requests for information from the Belgian supervisory or legal authorities completely, adequately and quickly – in principle within two working days after the request is made;
3. the insurance companies maintain control over important decisions regarding the data centres or equivalent secure computer storage media; maintaining control over important decisions implies that the insurance companies should receive prior notification of important changes and, if they do not accept these changes, they should have the ability to terminate the contract and transfer the information to another system before those changes are implemented;
4. the data centres or equivalent secure computer storage media used guarantee the confidentiality, integrity and availability of the information transmitted and meet
 - a. the requirements of the Bank relating to the security of the IT system (cf. Circular NBB_2015_32 for systemically important institutions);
 - b. the requirements of the Bank relating to the continuity of the IT system (cf. Circular NBB_2015_32 for systemically important institutions);
 - c. where appropriate, the requirements of the Bank relating to outsourcing.

If information is stored (completely or in part) on paper, the following conditions apply:

1. The two parties should enter into an agreement to regulate the record-keeping and the related rights and obligations;
2. Documents pertaining to a single business portfolio should be kept at the same place while ensuring that all protection measures necessary have been taken (e.g. fireproof storage);
3. The storage space(s) should be accessible to both the FSMA and the NBB;
4. If not all documents are stored on computer storage media, the storage space(s) should be situated in Belgium; and
5. The security and continuity measures should be reviewed periodically.

5. INDEPENDENT CONTROL FUNCTIONS

Regulatory framework:

1. Solvency II Law: Article 42, § 1, 4°, Articles 54 to 59 (organisation of control functions), Article 82 (Fit & Proper)
2. Delegated Regulation 2015/35: Articles 268 (general provisions), 269 (risk management), 270 (compliance), 271 (internal audit) and 272 (actuarial function)
3. Underlying thematic NBB Circulars:
 - [Circular NBB 2012 14](#) on the compliance function as supplemented and amended by this chapter;
 - [Regulation of 19 May 2015](#) and [Circular NBB 2015 21](#) on the internal audit function as supplemented and amended by this chapter;
 - Communication NBB_2018_05 on the report of the statutory governing body with regard to the assessment of the compliance function.
4. EIOPA Guidelines: Guidelines 40 to 51

The Solvency II Law stipulates that the insurance companies must set up four efficient and permanent independent control functions, given that these functions are instruments necessary for optimally fulfilling the tasks allocated to their management bodies:

- the risk management function,
- the actuarial function,
- the compliance function, and
- the internal audit function.

These four independent control functions are needed to enable the board of directors to perform its supervision of the management committee.

5.1. GENERAL ASPECTS

5.1.1. Three lines of defence

The relationship between the business units and the independent control functions is sometimes described as the insurance company's 'three lines of defence' model:

- the business units (including the front office) form the company's first line of defence and are responsible for identifying the risks associated with each transaction and must comply with the established procedures and limits;
- the second line of defence encompasses the control functions, i.e. the risk management function, the actuarial function, and the compliance function, which must ensure that the risks are identified in accordance with the established rules and procedures and managed by the business units;
- the third line of defence is formed by the internal audit, which assesses compliance with the procedures by the first and second lines of defence and, more generally, the effectiveness of the internal control system.

The risk management function, actuarial function, compliance function and internal audit function together form a coherent whole of transversal control functions between which coordination is required. Given that these control functions are connected, they shall harmonise their activity and ensure sufficient sharing of relevant information.

The findings and recommendations of these independent control functions shall be translated by the management committee into measures to reinforce the management structure, organisation or internal control. There are no areas of activity of the insurance company which may be diverted as a whole from the oversight of the control functions for commercial or financial reasons.

5.1.2. Status, resources and independence

The four control functions shall have a charter/policy which, as a minimum, states their status (place in the organisation chart), their independence (see below), their tasks, their rights and prerogatives, their reporting obligations and their resources. Without prejudice to the specific characteristics of the position of the Chief Risk Officer, the persons responsible for the control functions are in principle at “N-1” level in the organisation chart and report hierarchically to a member of the management committee²⁴.

They shall have sufficient resources (personal and IT) to be able to fulfil their tasks in an appropriate and independent manner. The persons responsible for independent control functions shall ensure that their staff possess the necessary qualifications and skills to deliver efficient work, and that they act with integrity, in particular by avoiding conflicts of interest.

The method and procedures used by these four control functions shall be commensurate with the nature, scale and complexity of the risks inherent to the company’s business model and work, and they shall be clearly explained in writing.

The four control functions shall be independent, which must at least be reflected in the status of the function concerned in the insurance company (organisational segregation of the functions that could give rise to risks²⁵), the prerogatives of this function (resources and access within the company), and the rules for the remuneration of the persons responsible for these functions and of the staff allocated to the performance thereof (for which objectives other than commercial objectives shall be taken into account and that must be separate from the results of the work supervised).

To guarantee this independence, the persons responsible for independent control functions shall have access to the board of directors, where applicable via the audit committee and/or the risk committee. This direct access — which therefore entails that they do not first have to go through the management committee (or where applicable the senior management) — is necessary to enable the board of directors to more strictly exercise its supervisory function as regards the execution of the strategy mapped out and the company’s operation.

In accordance with the Solvency II Law (Article 82), the persons responsible for independent control functions may only be removed from their function by the board of directors. It is after all necessary that the board of directors be the only body with the power to remove such managers from their functions, given that these functions entail supervision of the way in which the management committee performs its tasks. If someone responsible for an independent control function is considered for removal from their function, the company shall inform the Bank thereof in advance, so that it may determine whether the reasons for the dismissal are founded and where applicable, so that it may investigate whether any special measures must be taken relating to the corporate governance of the company.

As part of its supervisory role, the board of directors shall determine periodically and at least once a year whether the independent control functions work properly. For this purpose, the board shall

²⁴ The reporting to the management committee of the person responsible for the internal audit is limited to the aspects specified in point 5.1.6. of this Circular.

²⁵ Article 54 of the Solvency II Law more specifically lays down the following: “The persons performing the [control] functions shall be independent from the company’s business units and operational functions”. In significant insurance companies, the Bank expects these persons to be both operationally and hierarchically independent. This implies that the persons responsible for the control functions should not only be fully independent from the business units and operational functions, but should also report to a member of the management committee who is not subject to conflicts of interest due to simultaneously performing multiple tasks, including risk-generating tasks of units or functions. In less significant companies, the persons responsible for the control functions are only required to be operationally independent, which means that they cannot perform any other operational functions within the company. In application of the proportionality principle, the solution that consists of those responsible for the actuarial function and the compliance function reporting to the Chief Risk Officer contributes to guaranteeing an appropriate hierarchical separation, insofar as the conditions of Article 56 of the Solvency II Law are met. Given that Article 77 of the Solvency II Law determines that the board of directors decides which measures must be taken as a result of the findings and recommendations of the internal audit, hierarchical reporting by the person responsible for internal audit to the Chair of the management committee could ensure that the necessary checks & balances are carried out, insofar as this person does not have any commercial responsibilities. The reporting in question largely relates to the organizational circumstances (sufficiency of the staffing and IT resources allocated to the internal audit function).

receive a report from the management committee at least once a year on the effectiveness of the governance system, without prejudice to the directly relevant information provided by the functions in question.

5.1.3. Fit & Proper checks of persons responsible for independent control functions

The control functions shall be headed up by managers who have acquired specific expertise in the area of the tasks for which the control function concerned is responsible and that meet the Bank's Fit & Proper requirements.

In accordance with the Solvency II Law (Article 81), insurance companies shall inform the Bank of any proposal to appoint someone responsible for an independent control function, so that the Bank may analyse the Fit & Proper nature of that person and make a decision.

The outsourcing of a control function (both within and outside the group) must be regulated in accordance with the outsourcing rules; however, the company is not thereby exempted from the obligation to appoint someone responsible for the outsourced control function. This person, who is called the 'contact person responsible', must be appointed internally and possess the requisite professional integrity and appropriate expertise, and therefore sufficient knowledge of and experience with the outsourced function to put the performance and results of the service provider to the test (cf. section 7.4. below).

5.1.4. Outsourcing of independent control functions

Outsourcing independent control functions may not lessen the responsibility of the insurance company to have an adequate and effective organisation. As a result, the responsibility for these control functions may not be outsourced.

However, for reasons of efficiency, it is acceptable to outsource the implementation tasks falling under the responsibility of the independent control functions in full or in part to a third party or to another entity belonging to the same group. Outsourcing may in particular be justified, for less significant insurance companies, by the application of the principle of proportionality (cf. Introduction). Outsourcing may also be justified, for significant companies belonging to a group, by the need to optimise the management of the resources needed to perform this function in the various entities of the group.

When outsourcing all or part of the tasks of an independent control function, specific conditions must be met. Please refer to Chapter 7 below for a detailed overview of these conditions. Three elements are of particular importance in this respect: (i) the appointment of a contact person responsible for monitoring the outsourcing, (ii) the direct reporting of the service provider to the company's management bodies and (iii) the transmission of a detailed case file to the Bank (in particular as regards the service provider).

5.1.5. Combination of functions by the persons responsible for the independent control functions

With regard to the combination of functions by the person responsible for an independent control function, the following legal rules should be complied with:

- Article 54 of the Solvency II Law, which stipulates that "the persons performing the [control] functions [...] shall be independent from the company's business units and operational functions (...)."
- Article 56, § 3, second paragraph, 2° of the Solvency II Law, which stipulates that the second-line control functions (the compliance and actuarial functions) for which a CRO who is a member of the management committee is responsible, should be "exercised separately from each other" and cannot give rise to conflicts of interest; and
- Article 271 of Delegated Regulation 2015/35, which provides for specific rules for the combination of functions by the person responsible for the internal audit function.

In practice, the Bank expects insurance companies to comply with the following guiding principles:
- the persons responsible for the compliance, actuarial and internal audit functions (referred to as 'N1' in the organisation chart) each only perform their own control function without simultaneously performing another control function, especially a business unit or an operational function; and

- a person responsible for the risk management function (CRO) who, pursuant to Article 56 of the Solvency II Law, is in principle a member of the management committee (level 'N') who can only combine this function, under certain conditions, with hierarchical responsibility for the compliance function and the actuarial function.

However, in accordance with recital 32 of the Solvency II Directive, which stipulates that “in smaller and less complex undertakings it should be possible for more than one function to be carried out by a single person or organisational unit”, this reference situation can be derogated from in less significant companies on the basis of the principle of proportionality. For instance, in less significant insurance companies, the Bank accepts, if certain conditions are met:

- that a single person simultaneously performs several second-line control functions²⁶; and
- that a single person simultaneously performs an independent control function and serves as member of the management committee.

a) Combination of multiple second-line control functions

A single person may perform two or three second-line independent control functions (the risk management, compliance²⁷ and/or actuarial function) simultaneously, provided that:

- (i) there are no conflicts of interest from a functional point of view between the second-line functions performed simultaneously, which implies that the company should avoid having the person who is developing a service assess the adequacy of the said service (maker/checker principle). An example would be the task to design and develop an internal model, on the one hand, and the task to assess and validate its adequacy, on the other;
- (ii) the person responsible combining the operational responsibility for multiple second-line control functions possesses the knowledge and expertise needed for the different areas concerned. This is particularly relevant for functions requiring very different basic skills (quantitative risk measurement on the one hand, analysis of the risk of non-compliance with the legal rules on the other);
- (iii) the person responsible combining the operational responsibility for multiple second-line control functions has the time needed to perform these different control functions correctly.

b) Combination of an independent control function with management committee membership

In cases where it is duly justified by the principle of proportionality in less significant companies and barring the specific case referred to in Article 56 of the Solvency II Law whereby the CRO is a member of the management committee, the operational responsibility for a control function may be combined with membership of the management committee, provided that:

- (i) Article 54 of the Solvency II Law is complied with, so that the member of the management committee concerned does combine an independent control function and a risk-generating operational function. In this respect, the (i) legal, (ii) HR and even (iii) IT tasks could be considered to generate less risk.
- (ii) such a combination is accompanied by specific regulations to avoid conflicts of interest (providing in particular for escalation to the board of directors); and that
- (iii) the member of the management committee concerned has the time necessary to correctly perform the tasks conferred upon him as person responsible for the operations of a control function.

²⁶ The Bank considers that a risk of conflicts of interest arises by definition between the exercise of second-line control functions and the third-line internal audit control function. Operational responsibility for second-line control functions may never be combined with responsibility for the internal audit function.

²⁷ With regard to the compliance function, it should be noted that point 3.4.4. of Circular NBB_2012_14 recommends not having employees of the risk management function perform tasks falling under the compliance function. If the company nevertheless wishes to combine these tasks, it should specifically demonstrate that it will take alternative measures to avoid neglecting the compliance aspects compared to the other risks managed by the risk management function.

If a less significant insurance company wishes to be granted one of the two aforementioned derogations, it should contact the Bank to verify which conditions must be met and provide the Bank with a file containing the information requested.

5.1.6. Reporting by the independent control functions

The Solvency II Law lays down the following with respect to reporting to the board of directors and management committee by the independent control functions:

- The persons responsible for the risk management function, the actuarial function, the compliance function and the internal audit function shall report at least once a year directly to the board of directors on the performance of their task, and shall inform the management committee. This activity report addressed to the board of directors can, where applicable, occur through a sub-committee: for the internal audit function through the audit committee (Article 54, § 1, third paragraph), for the risk management function and the actuarial function through the risk committee, for the compliance function through the audit committee and/or the risk committee. Without prejudice to the provisions under 5.3.3. regarding the activity report of the actuarial function, the (at least) annual activity report of the independent control functions should (i) document all tasks performed by the independent control function during the preceding period, (ii) clearly indicate all shortcomings identified and (iii) provide recommendations to remedy these shortcomings;
- The person responsible for the compliance function shall regularly inform the board of directors and management committee on compliance with the legal and regulatory provisions governing the insurance or reinsurance activity, especially the rules pertaining to integrity and conduct that apply to that activity, and address recommendations on this subject to these bodies (Article 55, § 2);
- When justified by specific circumstances, the persons responsible for the risk management function and the compliance function²⁸ may, of their own accord and without needing to refer the matter to the management committee, inform the board of directors of their concerns, and where applicable alert it, where specific developments related to risk have or could have a negative influence on the company, or in particular could be damaging to its reputation (Article 57, first paragraph);
- Without prejudice to the annual activity report referred to in Article 54, § 1, third paragraph of the Solvency II Law, the person responsible for the internal audit function shall share his/her findings and recommendations as regards the quality of the internal control to the board of directors and the management committee (Article 58, § 2). In accordance with Article 77, § 9 of the Solvency II Law, however, it is the board of directors that decides which measures must be taken as a result of the findings and recommendations of the internal audit and ensures that these measures are taken. The board of directors and/or the audit committee approve the audit plan and the recommendations made in the context of the audits performed and monitor the implementation of these recommendations. The role of the management committee with regard to the internal audit function is limited to, on the one hand, defining the human and IT resources that are needed for the function to be able to perform its tasks correctly, in consultation with the board of directors and/or the audit committee and, on the other hand, implementing the recommendations made by the internal audit function that are relevant to the management committee, in accordance with the decisions made by the board of directors and/or the audit committee.

5.2. RISK MANAGEMENT FUNCTION

5.2.1. Tasks

The risk management function shall ensure that all of the company's significant risks are detected, measured, managed and duly reported. It shall be actively involved in mapping out the insurance company's risk strategy as well as in all management decisions that have a significant influence on the risks, and shall be able to provide a full picture of the whole range of risks run by the institution.

²⁸ While the actuarial function is not explicitly mentioned in Article 57 of the Solvency II Law, the final paragraph of section 5.3.3. below stipulates that the actuarial function should inform the company's board of directors and management committee of the risks that have or could have a negative influence on the company, which also implies that it has a certain alert function for the performance of its tasks.

More particularly, the risk management function shall take on at least the following tasks:

§1. Tasks referred to in Article 269 of Delegated Regulation 2015/35

- (a) assist the board of directors, the management committee and the other functions in the effective operation of the risk management system;
- (b) monitor the risk management system;
- (c) monitor the general risk profile of the company as a whole;
- (d) report in detail on risk exposures and advise the board of directors and the management committee on risk management matters, including in relation to strategic affairs such as corporate strategy, mergers and acquisitions, and major projects and investments. In this respect, the risk management function informs the board of directors and the management committee of risks identified as potentially material and acquires information on other specific risk areas, at its own initiative or at the request of the board of directors and the management committee; and
- (e) identify and assess emerging risks.

The Bank also recommends identifying and assessing sustainability risks²⁹.

§ 2. Extra tasks when using an internal model

For insurance companies that make use of an internal model or partial internal model approved in accordance with Articles 167 and 168 of the Solvency II Law, the risk management function shall also fulfil the following extra tasks:

- (i) designing and applying the internal model;
- (ii) testing and validating the internal model;
- (iii) keeping information on the internal model and any changes made thereto;
- (iv) analysing the operation of the internal model and drawing up summary reports thereon; and
- (v) providing information to the board of directors and the management committee on the operation of the internal model and stating where improvements need to be made, as well as keeping these bodies informed of the progress made with remedying the weaknesses previously established.

In this context, the risk management function must maintain close contact with the users of the outputs of the internal model.

§ 3. Extra task relating to the coordination and coherence of the RSR

If the company decides to refer to internal documents in the chapter on “Governance system” of the RSR (cf. Chapter 15 of this Circular), the risk management function should, without prejudice to the task of the compliance function to coordinate the RSR in accordance with point 5.4. below, coordinate and ensure the coherence of the aspects of the RSR other than governance in the strictest sense which are referred to in this Circular, such as financial management, continuity and IT infrastructure.

This coordination task consists of ensuring (i) that the RSR remains comprehensible and coherent, (ii) that the references made actually correspond to detailed information, and (iii) that these

²⁹ For a definition of the concept of “sustainability risks”, please refer to paragraph 24 of the “Technical Advice on the integration of sustainability risks and factors in the delegated acts under Solvency II and IDD” published by EIOPA on 30 April 2019, which defines sustainability risks as follows: “sustainability risks should be understood as risks that could affect the insurance and reinsurance undertakings’ risk profile, on the investments and liabilities side, due to ESG factors, i.e. (i) Environmental (E) issues relate to the quality and functioning of the natural environment and natural systems; (ii) Social (S) issues relate to the rights, well-being and interests of people and communities; and (iii) Governance (G) issues relate to the governance of companies and other investee entities”.

references are made to existing documents that are sufficiently detailed/accurate so the underlying information can be retrieved quickly.

If the company has decided to apply the rules for referring to internal documents set out in Chapter 15 of this Circular to chapters of the RSR besides the chapter on the governance system, the risk management function should also carry out the coordination task described above.

5.2.2. Management of the risk management function

In principle, the Solvency II Law requires the head of the risk management function to be a member of the management committee with no functions other than this responsibility. For further details on this matter, please consult point 1.3.3. above.

5.3. ACTUARIAL FUNCTION

The Solvency II Law determines that the insurance companies must continuously have an appropriate actuarial function. As an independent control function, the objective of the actuarial function is to offer the management committee and the board of directors a certain degree of quality assurance in a number of areas described below for the actuarial calculations and underlying assumptions.

5.3.1. Tasks of the actuarial function

5.3.1.1. Tasks relating to the technical provisions

§ 1. Tasks included in the Solvency II Law

The Solvency II Law leaves it to the insurance company to assign the person or department responsible for calculating the technical provisions. This Law also requires the actuarial function to provide for the coordination and the supervision of this calculation.

Article 59 of the Solvency II Law requires the actuarial function to:

- i. coordinate the calculation of technical provisions;*
- ii. ensure that the methodologies, underlying models and assumptions used for the calculation of the technical provisions are suitable;*
- iii. assess the sufficiency and quality of the data used in the calculation of technical provisions;*
- iv. compare best estimates against experience;*
- v. inform the board of directors and the management committee of the reliability and adequacy of the calculation of technical provisions;*
- vi. oversee the calculation of technical provisions in the cases set out in the Solvency II . Law.*

As specified in Article 126, § 1 of the Solvency II Law, the value of the technical provisions is equal to the sum of the best estimate and the risk margin. The risk margin (Article 127, § 2 of the Solvency II Law) is calculated on the basis of the solvency capital requirement needed to settle the insurance and reinsurance obligations over the lifetime thereof (SCR of the reference company as described in Article 38 of Delegated Regulation 2015/35). The actuarial function's task to coordinate and monitor the calculation of the technical provisions pertains to all elements of the technical provisions³⁰.

(i) Coordination of technical provisions

Delegated Regulation 2015/35 (Article 272) sets out that in coordinating the calculation of the technical provisions, the actuarial function includes all of the following tasks:

³⁰ While it is the responsibility of the risk management function to calculate the different individual risk modules comprising the solvency capital requirement, the actuarial function is expected to conduct a minimum of checks relating to the models referred to in Article 38 of Delegated Regulation 2015/35 as part of its task to coordinate and monitor the calculation of the risk margin (professional scepticism).

- (a) applying methodologies and procedures to assess the sufficiency of the technical provisions and to ensure that their calculation is consistent with the requirements set out in Articles 123 to 139 of the Solvency II Law;
- (b) assessing the uncertainty associated with the estimates made in the calculation of technical provisions;
- (c) ensuring that any limitations of data used to calculate technical provisions are properly dealt with;
- (d) ensuring that the most appropriate approximations for the purposes of calculating the best estimate are used in cases referred to in Article 137 of the Solvency II Law;
- (e) ensuring that homogenous risk groups of insurance and reinsurance obligations are identified for an appropriate assessment of the underlying risks;
- (f) considering the relevant information provided by financial markets and generally available data on underwriting risks and ensuring that it is integrated into the assessment of technical provisions;
- (g) comparing and justifying any material differences in the calculation of technical provisions from year to year;
- (h) ensuring that an appropriate assessment is provided of the options and guarantees included in insurance and reinsurance contracts.

(ii) Control of methodologies used

Delegated Regulation 2015/35 sets out that the actuarial function assesses whether the methodologies and assumptions used in the calculation of the technical provisions are appropriate for the company's specific lines of business and for the way the business is managed, having regard to the available data.

The actuarial function shall identify any inconsistencies with the requirements of the Solvency II Law as regards the calculation of the technical provisions and where necessary proposes corrective measures. It shall justify, and where applicable clarify any potential material effect of changes in data, methodologies or assumptions between valuation data on the amount of technical provisions.

(iii) Data quality control

Delegated Regulation 2015/35 sets out that the actuarial function assesses whether the IT systems used in the calculation of technical provisions sufficiently support the actuarial and statistical procedures.

The actuarial function shall review the quality of the internal and external data used in the calculation of the technical provisions against the standards in the Solvency II Law. Where applicable, the actuarial functions shall issue recommendations on internal procedures to improve data quality, to ensure that the company is able to comply with the requirement from the Solvency II Law that applies in this context.

(iv) Comparing best estimates against experience

Delegated Regulation 2015/35 sets out that the actuarial function, when comparing best estimates against experience, reviews the quality of past best estimates and uses the insights gained from this assessment to improve the quality of current calculations. Comparing best estimates against experience includes comparisons between observed values and the estimates underlying the calculation of the best estimate, in order to draw conclusions on the appropriateness, accuracy and completeness of the data and assumptions used as well as on the methodologies applied in their calculation.

The actuarial function shall report to the board of directors on potential material deviations between experience and best estimates. In this report, the causes of the deviations shall be explained and, where applicable, proposals shall be made for the adjustment of the assumptions and changes in the valuation model to improve the calculation of best estimates.

(v) Informing the board of directors and the management committee of the reliability and adequacy of the calculation of technical provisions;

Delegated Regulation 2015/35 sets out that the information submitted to the board of directors and the management committee on the calculation of the technical provisions includes at least a reasoned analysis of the reliability and adequacy of their calculation, and on the sources and degree of uncertainty of the estimate of the technical provisions. That reasoned analysis is supported by a sensitivity analysis that includes an investigation of the sensitivity of the technical provisions to each of the major risks underlying the obligations covered by the technical provisions. The actuarial function shall clearly state and explain any concerns it may have regarding the adequacy of technical provisions.

§ 2. Tasks associated with the calculation of technical provisions based on the annual accounts (Belgian standards)

Apart from the tasks associated with the calculation of technical provisions on the basis of the Solvency II regulation, the actuarial function has two additional tasks relating to the annual accounts:

- (i) ascertaining whether the calculation of the level of technical provisions as included in the annual accounts complies with the rules of Royal Decree of 17 November 1994 on annual accounts of insurance and reinsurance companies ('accounting decree');
- (ii) verifying the calculation of the 'flashing-light provision', if the company must form such a provision.

As regards this latter point, the task of the actuarial function consists in verifying that the flashing-light provision is calculated in accordance with the Royal Decree of 17 November 1994.

5.3.1.2. Tasks relating to the underwriting and pricing policy

The Solvency II Law (Article 59) requires the actuarial function to express an opinion on the insurance company's general underwriting policy.

Regarding the underwriting policy, Delegated Regulation 2015/35 stipulates that this opinion must at least include conclusions regarding the following considerations:

- (a) the sufficiency of the premiums to be earned to cover future claims and expenses, notably taking into consideration the underlying risks (including underwriting risks), and the impact of options and guarantees included in insurance and reinsurance contracts on the sufficiency of premiums;
- (b) the effect of inflation, legal risk³¹, change in the composition of the company's portfolio, and of systems which adjust the premiums paid by policy-holders upwards or downwards depending on their claims history (bonus-malus systems) or similar systems, implemented in homogenous risk groups;
- (c) the progressive tendency of a portfolio of insurance contracts to attract or retain insured persons with a higher risk profile (anti-selection).

The Bank also recommends including sustainability risks in this opinion.

In other words, the actuarial function includes the following tasks:

- a. at the time of launch of new products or changes in existing products that could influence the company's returns, giving an opinion on the pricing, formation of reserves and reinsurance;
- b. analysing the annual profitability of the different products in a context of a consistent market and as part of the annual accounts;
- c. analysing the existing underwriting limits;
- d. making recommendations and providing advice on risk acceptance.

As part of this task, the actuarial function is especially responsible for the following: (i) the coherence between the underwriting policy and the risk profile and risk appetite of the company; (ii) the appropriate nature of the product pricing; (iii) evaluating the assumptions used to calculate the future

³¹ The analysis of the legal risk occurs in consultation with the Legal and Compliance departments.

returns from the products to which the underwriting policy relates and (iv) the main risk factors that determine the profitability of the activity.

5.3.1.3. Tasks relating to reinsurance

The Solvency II Law (Article 59) requires the actuarial function to express an opinion on the adequacy of reinsurance arrangements.

Delegated Regulation 2015/35 sets out that this opinion must include an analysis of the adequacy of:

- (a) the company's risk profile and underwriting policy;
- (b) reinsurers, taking into account their credit rating;
- (c) the expected cover under stress scenarios in relation to the underwriting policy;
- (d) the calculation of the best estimate of the amounts recoverable from reinsurance contracts and special purpose vehicles.

In other words, the actuarial function must issue a technical opinion on the appropriate nature of the company's reinsurance agreements, taking into account the risk profile of the company, the reinsurance policy and the connections between these agreements and the technical provisions.

If the company forms part of a group, the actuarial function moreover shall take into account any reinsurance within the group. If it is a group governed by Belgian law under the supervision of the Bank, the actuarial function allocated to the group at the level of the entity responsible for the group shall also issue an opinion on that group's reinsurance policy and reinsurance programme (reinsurance assigned within the group or to a company not belonging to the group's consolidation perimeter).

5.3.1.4. Tasks relating to the implementation of the risk management system

The Solvency II Law (Article 59) sets out that the actuarial function must contribute to the effective implementation of the risk management system, especially with respect to the risk modelling underlying the calculation of the capital requirements, and as regards the ORSA. This is without prejudice to the fact that the risk management function and the actuarial function are two separate control functions, which along with the compliance function must form a coherent and coordinated whole of second-line control functions (with no gap or overlap).

The contribution of the actuarial function to the risk management system is more specifically limited to two specific domains: the risk modelling and ORSA.

For companies that develop an internal model, the use of which must be submitted for the Bank's approval, the actuarial function shall help determine which of the risks that fall under its area of expertise are part of the internal model. It shall also contribute to the way in which the mutual dependencies of these risks and other risks are derived. This contribution is based on a technical analysis and reflects the experience and expertise of the actuarial function.

As regards the assessments conducted as part of the ORSA process, the actuarial function has the following tasks:

- a) acquiring input on the question of whether the company permanently complies with the requirements for the calculation of the technical provisions;
- b) establishing the potential risks arising from uncertainties relating to this calculation.

5.3.1.5. Tasks relating to the profit-sharing and rebate policy

The Solvency II Law (Article 59) determines that the actuarial function must issue an opinion on the profit-sharing and rebate policy as well as on compliance with the legislation and regulations on the matter.

The Royal Decree also sets out, as regards the distribution of profit-sharing and the granting of rebates for insurance transactions, that the actuarial function must at least explain the following:

- that the amount of the profit-sharing is in line with the policy drawn up in writing and approved by the statutory governing body;
- that correct account was taken of this written policy in the calculation of the best estimate.
- the amount of variation of the inactive zillmerisation value, given that this data is not included in the detailed life profit and loss account.

5.3.1.6. Tasks relating to the transitional measures referred to in Articles 668 and 669 of the Solvency II Law

§ 1. Transitional measure relating to the risk-free interest rates

As regards the transitional measures relating to the risk-free interest rates referred to in Article 668 of the Solvency II Law, it should be noted that the transitional matching adjustment must be recalculated on a quarterly basis. The best estimate of the admissible portfolio must be recalculated with the new interest rate term structure. Where applicable, the assumptions relating to the conduct of the policy-holders must be adjusted to this new interest rate term structure to leave the relevance of these assumptions unchanged.

On a monthly basis, EIOPA shall issue the post-shock risk-free interest rate term structure that must be used for the calculation of the SCR interest rate risk submodules. If a transitional interest rate term structure is used for the calculation of the best estimate of the admissible portfolio, a post-shock interest rate term structure must be used for the calculation of those submodules. The company must release these new post-shock transitional interest rate term structures itself. It must also calculate the impact of the transitional matching adjustment on the best estimate, own funds and SCR.

Given the frequency, scale and complexity of the additional calculations relating to this transitional measure, companies that wish to make use of this are expected to document in detail the calculation of the transitional matching adjustment and the impact thereof on the various balance-sheet items and the SCR.

This documentation must be validated by the actuarial function and must be included in the application file.

§ 2. Transitional measure relating to the technical provisions

As regards the transitional measure relating to the technical provisions included in Article 669 of the Solvency II Law, the Bank requires the amounts of technical provisions, where applicable including the amount of volatility adjustment, used for the calculation of the transitional deduction to be recalculated every two years. These calculations must be sufficiently documented to be able to be verified.

With each recalculation of the transitional deduction, account also needs to be taken of the development of the additional provision (flashing-light provision). This provision depends on the decisions of the Bank as regards exemption. This should be on the basis of the principle that the Bank will adjust its exemption criteria to the accounting policy criteria (see § 2 above).

In this context, the actuarial function must validate the amounts of the technical provisions, which must be recalculated every two years, and its report must be included in the file for the application for approval of the transitional measure referred to in Article 669 of the Solvency II Law.

More information can also be found in [Circular NBB 2015 30](#) of 9 December 2015 on the requirements for submitting information to the Bank for applications for approval for the use of one or more measures as referred to in Article 308bis of Directive 2009/138/EC.

5.3.1.7. Allocation of additional tasks

If the company decides to add additional tasks or activities to the tasks and activities of the actuarial function, it shall take appropriate measures to tackle potential conflicts of interest. The company in particular shall see to it that the actuarial function does not have to express an opinion about its own

work, work for which it is responsible or work that used to be performed by one of its members of staff.

5.3.2. Management of the actuarial function

The actuarial function shall be managed by a manager who does not only meet the legal requirements as regards professional integrity, but also has specific skills in the area of actuarial mathematics, commensurate with the nature, scale and complexity of the risks inherent to the appointing company's business model and activity.

In accordance with point 5.1.3. hereinabove, the expertise and professional integrity of the manager of the actuarial function to be appointed will be assessed by the Bank in advance. From a hierarchical point-of-view, the manager of the actuarial function shall report to a member of the management committee (N1). If the hierarchical responsibility for the actuarial function is combined with other responsibilities, it is ensured that this does not give rise to any conflicts of interest. It should for example be ensured that the member of the management committee to whom the actuarial function reports is not also responsible for business units that take care calculating technical provisions.

If the manager of the actuarial function exercises other activities or functions, especially in the case of an insurance company with a not very evident risk profile, the company must in particular ensure that no conflicts of interest occur with these other activities or functions.

5.3.3. Reporting by the actuarial function to the board of directors and management committee

The Solvency II Law determines that the manager of the actuarial function, just like the manager of the other independent control functions, must report at least once a year directly to the board of directors on the performance of the tasks of the actuarial function and inform the management committee thereof.

Delegated Regulation 2015/35 (Article 272) specifies that this (annual) report must

- (i) document all tasks that have been undertaken by the actuarial function and their results
- (ii) clearly identify any deficiencies, and
- (iii) give recommendations on how these deficiencies should be remedied.

This activity report should at least contain the following elements for the above-mentioned points:

- the technical provisions pertaining to the past financial year (cf. point 5.3.1.1.)
- the underwriting policy (cf. point 5.3.1.2. above)
- the reinsurance policy (cf. point 5.3.1.3. above)
- the profit-sharing and rebate policy (cf. point 5.3.1.5)

as well as the follow-up to the recommendations made by the actuarial function in previous reports.

It is advisable to base the structure of the activity report on the task descriptions specified in point 5.3.1.

Additionally, the activity report of the actuarial function presented to the board of directors should contain (in annex) the relevant technical documentation, including the detailed analyses and tests conducted on the basis of which it performs its tasks and formulates its opinions.

In addition to this activity report, the Bank advises the actuarial function to regularly report to the board of directors, where applicable through the risk committee. This reporting may occur at various periods, for example:

- at the time of launch or change of a product that has an impact on the company's profitability (cf. point 5.3.1.2. above on the tasks relating to the underwriting policy);
- when entering into a new reinsurance agreement (cf. point 5.3.1.3. above on the tasks relating to reinsurance);
- when transferring portfolios of insurance or reinsurance contracts;

- at the time of any other significant events requiring intervention or validation by the actuarial function.

The actuarial function must in any case inform the management committee and the board of directors if specific developments related to risk have or could have a negative influence on the company, or in particular could be damaging to its reputation.

5.4. COMPLIANCE FUNCTION

In accordance with the Solvency II Law (Article 55), the compliance function is tasked with supervising compliance with the legal and regulatory provisions governing the insurance business, especially the rules pertaining to integrity and conduct that apply to that activity. The compliance function must prevent the insurance company from suffering the consequences — in particular a loss of reputation or credibility, that could put it at a serious financial disadvantage — of non-compliance with the legal and regulatory provisions or the ethical provisions that apply to the banking profession (compliance risk). Article 270 of Delegated Regulation 2015/35 also sets out that the compliance function is responsible for testing the soundness of the measures the insurance company has taken to prevent non-compliance.

Article 270 of Delegated Regulation 2015/35 also sets out that the compliance function draws up a compliance policy as well as a charter (cf. point 5.1.2. above), defining the planned activities of the compliance function.

Reference should also be made to [Circular NBB 2012_14](#).

As regards the specific tasks expected from the compliance function relating to the Solvency II Law, without prejudice to the tasks of the compliance function included in Circular NBB_2012_14, the Bank expects the compliance function at least to:

- (i) make a list of all the policies required by the Solvency II Law and ensure that the structure of these policies complies with the requirements under point 4.4. of this Circular; and
- (ii) if the company decides to refer to internal documents in the chapter on “Governance system” of the RSR (cf. Chapter 15 of this Circular), and without prejudice to the task of the risk management function in accordance with point 5.2.1. above, oversee the coordination and coherence of the subjects pertaining to governance in the strictest sense included in the RSR, i.e. the following subjects: shareholdership, management structure, Fit & Proper, incompatibility of mandates, loans, credits and insurance for managers, independent control functions, remuneration, conflicts of interest and outsourcing. More specifically, this coordination task consists of ensuring, as regards the aspects of governance sensu stricto, (i) that the RSR remains comprehensible and coherent, (ii) that the references made actually correspond to detailed information, and (iii) that these references are made to existing documents that are sufficiently detailed/accurate so the underlying information can be retrieved quickly.

5.5. INTERNAL AUDIT FUNCTION

In accordance with the Solvency II Law (Article 58), the internal audit function shall provide the board of directors and the management committee with an independent assessment of the quality and the effectiveness of the company’s internal control, risk management and governance system. Article 271 of Delegated Regulation 2015/35 sets out that the internal audit function fulfils all of the following tasks: (a) establishing, implementing, and maintaining an audit plan setting out the audit work to be undertaken in the upcoming years, taking into account all activities and the complete system of governance of the insurance or reinsurance company; (b) taking a risk-based approach to set priorities; (c) reporting the audit plan to the management or supervisory body; (d) issuing recommendations based on the result of work carried out in accordance with point (a) and submitting a written report on its findings and recommendations to the management or supervisory body on at least an annual basis; (e) verifying compliance with the decisions made by the management or supervisory body on the basis of those recommendations referred to in point (d). If necessary, the internal audit function may conduct audits not included in its audit plan.

Article 271 of Delegated Regulation 2015/35 also sets out the following:

1. The persons carrying out the internal audit function do not assume any responsibility for another function.
2. Notwithstanding this, and in particular with due regard to the principle of proportionality, the persons carrying out the internal audit function may also carry out other key functions, where all of the following conditions are met: (a) this is commensurate with the nature, scale and complexity of the risks associated with the company's activity; (b) no conflict of interest arises for the persons carrying out the internal audit function; (c) the costs of maintaining persons for the internal audit function that do not carry out other key functions would impose costs on the company that would be disproportionate with respect to the total administrative expenses.

Reference is also made to [Regulation of 19 May 2015](#) and to [Circular NBB 2015 21](#) on the internal audit function, which is supplemented by the following documents:

5.5.1. Independence of the internal audit function

The company shall ensure that the internal audit function does not carry out any operational functions and is free from inappropriate influence by any other function, including the independent control functions. The company shall ensure that the internal audit function is not influenced by the management committee when carrying out an audit and when evaluating and reporting audit results to such an extent that this could limit the independence and impartiality of that internal audit function.

5.5.2. Conflicts of interest within the internal audit function

The company shall take appropriate measures to limit the risk of conflicts of interest.

It shall ensure that the auditors taken on internally do not audit any activity or functions that they have previously carried out within the time frame encompassed by the audit.

5.5.3. Internal audit policy

The company shall have an internal audit policy that covers at least the following areas:

- a) the conditions under which the internal audit function can be asked for advice or support or asked to conduct other special tasks;
- b) where applicable, the internal regulation describing the procedures that must be followed by the manager of the internal audit function before providing information to the Bank;
- c) if applicable, the criteria for rotation of tasks.

5.5.4. Internal audit plan

The company shall ensure that the internal audit plan is based on a methodical risk analysis, taking into account all activity and the entire governance system as well as expected developments in the activity and innovations, including all major activities that must be audited within a reasonable period of time.

5.5.5. Internal audit documentation

The company shall keep data on the work of the internal audit to be able to assess the effectiveness of its work, and document the audits well enough to be able to trace the audits conducted and the conclusions therefrom.

5.5.6. Tasks of the internal audit function

The company shall ensure that the internal audit function states in its report to the board of directors, about which the management committee is informed, the period of time that is expected to be needed to remedy the deficiencies identified and provides information on the completion of earlier audit recommendations.

6. FINANCIAL MANAGEMENT

Regulatory framework:

1. Solvency II Law: Articles 190 to 193 (investments - 'prudent person' principle), 37, 74, 140 to 189 (own funds and capital requirements) and 123 et seq. (valuation rules)
2. Delegated Regulation 2015/35: Articles 262 (overall solvency needs) and 267 (valuation of assets and liabilities)
3. Underlying thematic NBB Circular: /
4. EIOPA Guidelines: Guidelines 27 to 37 and 52 to 59

6.1. INVESTMENT - THE 'PRUDENT PERSON' PRINCIPLE

The Solvency II Directive and Delegated Regulation 2015/35, as well as Chapter 3 of this Circular explain in detail certain aspects of the 'prudent person' principle, such as asset-liability management, investments in derivatives, liquidity risk and concentration risk management. Below, it is primarily the other aspects of the 'prudent person' principle that are explained.

6.1.1. Investment risk management

The insurance company shall not depend solely on information from third parties, such as financial institutions, portfolio managers and rating agencies. In particular, the company shall develop its own range of key risk indicators adapted to its policy on investment risk management and its business strategy.

When the company makes investment decisions, it shall take into account the investment-related risks and shall not rely solely on the capital requirements taking sufficient account of the risks, so that they can be appropriately managed.

6.1.2. Assessment of non-routine investment activities

Before carrying out an investment or investment activity of a non-routine nature, the company must assess at least the following:

- a) its capacity to make the investment or carry out and manage the investment activity;
- b) the risks specifically related to the investment or investment activity and the effect of the investment or investment activity on the company's risk profile;
- c) the alignment of the investment or investment activity with the interests of beneficiaries and policy-holders, including the restrictions set by the company as regards the commitments that may be taken on, and efficient portfolio management;
- d) the effect of that investment or investment activity on the quality, security, liquidity, return and availability of the portfolio as a whole.

When the investment or investment activity entails a significant risk or leads to a substantial change to the risk profile, the company shall have procedures requiring the company's risk management function to inform the statutory governing body and management committee of that risk or change in the risk profile.

6.1.3. Investment portfolio security, quality, liquidity, and returns

The company shall regularly assess and regularly supervise the security, quality, liquidity and returns of the portfolio as a whole by at least looking into:

- a) any restrictions arising from commitments, including from policy-holder guarantees, and any published policies for future discretionary pay-outs and, where applicable, the reasonable expectations of policy-holders;
- b) the level and nature of risks that the company is prepared to assume;
- c) the level of diversity of the portfolio as a whole;
- d) the characteristics of the assets, such as the credit rating of counterparties, the liquidity, the question of whether assets are tangible or intangible, the durability, existence and quality of guarantees or other assets or that cover the assets, gearing or encumbrances;
- e) events which could change the characteristics of investments, including any guarantees, or which could influence the value of the assets;
- f) circumstances relating to the location and availability of the assets such as: non-portability; legal problems in other countries; monetary measures; custodian risk; extra collateral and lending.

6.1.4. Return

The company shall set objectives for returns it wishes to gain on its investments, taking into account the need to obtain durable revenue on the asset portfolios to comply with the reasonable expectations of policy-holders.

6.1.5. Conflicts of interest

In its investment policy, the company shall describe how it identifies and handles any potential conflicts of interest in relation to investments, irrespective of whether these conflicts arise within the company or within the entity that manages the asset portfolio. It shall also document the measures taken to manage such conflicts.

6.1.6. Unit-linked insurance and index-linked policies

The company shall ensure that its investments under its unit-linked insurance and index-linked policies are selected in the interest of policy-holders and beneficiaries, taking into account all published policy objectives.

In case of unit-linked insurance activity, the company shall take into account and manage the limitations that unit-linked insurance entails, especially liquidity constraints.

6.1.7. Assets not admitted to trading on a regulated market

For investments that are not admitted to trading on a regulated market, and for complex products that are difficult to mark to market, the company shall implement procedures and manage, supervise and audit these procedures.

Assets admitted to trading on a regulated market but which are not traded or are not traded in the usual way shall be handled by the company in the same way as assets not admitted to trading on a regulated market.

6.1.8. Derivatives

If the company uses derivatives, it shall lay down procedures in line with its policy on investment risk management to exercise supervision on the results of these derivatives.

If the company uses derivatives to promote effective portfolio management, it shall provide evidence of how it improves the quality, security, liquidity or return on the portfolio without this having a significant negative impact on these aspects.

If derivatives are used to reduce the risks or if they are used as a risk-mitigation technique, the company shall document the reasons for the use of derivatives and provides evidence that there is actually an effective risk transfer.

6.1.9. Securitised instruments

If the company invests in securitised instruments, it shall have a good overview of its own interests and the interests of the initiator or sponsor as regards those securitised instruments and shall guarantee that those interests are adequately in line with each other.

6.1.10. Sustainability risks

In implementing the prudent person principle, the Bank also recommends that the company ensure that sustainability risks³² are taken into account when assessing the security, quality, liquidity and profitability of its portfolio.

6.2. CAPITAL MANAGEMENT

The formal aspects of capital management and own funds requirements are covered below.

6.2.1. Capital management policy

The company shall develop a capital management policy that includes a description of the procedures to:

- a) ensure that own funds items are classified using the aspects listed in Articles 71, 73, 75 and 77 of Delegated Regulation 2015/35, both at the time of pay-out and afterwards;
- b) supervise separately for each tier the pay-out of own funds items in accordance with the medium-term capital management plan, and supervise before any pay-out of own funds items that the criteria can continuously be met for the right tier.
- c) ensure that own funds items are not encumbered by any existing agreements or connected transactions or as a result of a group structure, which would undermine their effectiveness as capital;
- d) guarantee that the measures required or allowed pursuant to contractual, legal or regulatory provisions that apply to an own funds item are initiated and completed on time;
- e) guarantee that where necessary, supplementary own funds items can be called up on time and that where applicable, they can also effectively be called up;
- f) identify and document regulations, legal texts or products that lead to segregated funds, and to ensure that appropriate calculations and adjustments are made when establishing the solvency capital requirement and own funds;
- g) guarantee that the contractual terms and conditions for own funds items are clear and unequivocal as regards the criteria for classification into tiers;
- h) guarantee that sufficient account is taken with any policy or statement on regular dividends with a view to investigating the capital position and assessing the expected dividends;
- i) establish and document the cases in which pay-outs based on tier-1 own funds items could be cancelled on a discretionary basis;
- j) establish, document and enforce the cases in which pay-outs based on an own funds item must be deferred or cancelled in accordance with Article 71(1)(l), and Article 73(1)(g) of Delegated Regulation 2015/35;
- k) establish the extent to which the company relies on own funds items that fall under transitional measures;
- l) ensure that the way in which items that belong to the own funds under transitional measures behave during a stress situation and especially the way in which the items compensate for losses, is assessed and where necessary is taken into account in the own risk and solvency assessment.

³² Cf. the definition mentioned above.

6.2.2. Medium-term capital management plan

The company shall draw up a medium-term capital management plan, which is supervised by the board of directors and the management committee, taking into account at least the following aspects:

- a) all planned issues of capital;
- b) the maturity date of the own funds items, taking into account both the contractual maturity date and any possibilities for early repayment or redemption;
- c) the result of the projections in the ORSA;
- d) the way in which an issue, redemption or repayment or any other variation in the valuation of an own funds item influences the application of limitations on tiers;
- e) the application of the pay-out policy and the effect thereof on the own funds;
- f) the impact at the end of the transitional period.

6.3. VALUATION OF ASSETS AND LIABILITIES OTHER THAN TECHNICAL PROVISIONS

The governance aspects relating to the valuation of assets and liabilities are covered below.

6.3.1. Valuation of assets and liabilities other than technical provisions

In its risk policy and procedures for the valuation of assets and liabilities, the insurance company shall at least include the following:

- a) the method and criteria that must be used for assessing active and inactive markets;
- b) the requirements to guarantee adequate documentation of the valuation process and of the associated means of control, including those of data quality;
- c) the requirements relating to the documentation of the valuation approaches used as regards:
 - (i) their set-up and the way in which they are implemented;
 - (ii) the soundness of data, parameters and assumptions;
- d) the process for independent review and verification of the valuation approaches;
- e) the requirements for periodic reporting to the board of directors and management committee on matters important for governance in the area of valuation.

6.3.2. Data quality control procedures

The company shall introduce procedures for data quality control to identify deficiencies and to measure, monitor, manage and document the data quality. These procedures shall include the following:

- a) the completeness of data;
- b) the adequacy of data, both from internal and external sources;
- c) independent review and verification of data quality.

The policy and procedures introduced by the company are focused on the need to periodically test market data and inputs against alternative sources and experience.

6.3.3. Documentation when using alternative valuation methods

When alternative valuation methods are used, the company shall document the following:

- a) a description of the method, objective, main assumptions, limitations and output;
- b) the circumstances under which the method is not effective;
- c) a description and analysis of the valuation process, and the means of control coupled with that method;
- d) an analysis of the valuation uncertainties that the method entails;
- e) a description of the procedures to test results after the fact and, where possible, a comparison with similar models or other benchmarks, which is carried out when the valuation method is introduced and periodically thereafter;

- f) a description of the instruments or programmes used.

6.3.4. Independent review and verification of valuation methods

The company shall ensure that an independent review takes place, in accordance with Article 267(4)(b) of Commission Delegated Regulation 2015/35, before the introduction of a new method or an important change, and thereafter at set times.

The company shall establish the frequency of the evaluation in accordance with the importance of the method for the decision-making and risk-management processes.

The company shall apply the same principles to the independent review and verification of both internally developed valuation methods or models, as for valuation methods or models provided by third parties.

The company shall have processes for reporting the results of the independent evaluation and verification as well as the recommendations for corrective measures to the right level of management of the company.

6.3.5. Supervision by the board of directors and the management committee

The members of the management committee and the board of directors should be able to prove that they have enough of an overall insight into the valuation approaches and the uncertainties inherent to the valuation process to be able to duly oversee the risk management process as regards valuation.

6.3.6. Request by the Bank to the company to carry out an independent valuation or verification

The company must be prepared to react promptly to any requests by the Bank to conduct an independent valuation or verification if there is a risk of an incorrect representation in the valuation of asset or liabilities of material importance with potential material consequences for the company's solvency.

6.3.7. Independence of the external expert

The company should be able to demonstrate to the Bank that the external valuation or verification is carried out by independent experts with the relevant professional skills, appropriate diligence and relevant experience.

6.3.8. Information to be provided to the Bank on the external valuation or verification

The company shall provide the Bank with all relevant information on the external valuation or verification on request. In all cases, the company shall describe the written advice of the experts regarding the valuation of the asset or liability concerned.

7. OUTSOURCING

Regulatory framework:

1. Solvency II Law: Article 92 (outsourcing)
2. Delegated Regulation 2015/35: Article 274
3. Underlying thematic NBB Circular: [Circular NBB 2020_018](#) on the recommendations of the Bank in relation to cloud outsourcing
4. EIOPA Guidelines: Guidelines 60 to 64

Outsourcing, which is defined in Article 15, 54° of the Solvency II Law, is calling on third parties to exercise activities or implement procedures which (i) are specific to the insurance company and (ii) are performed on a recurring or continual basis. The outsourcing can be for services rendered to insureds (call centres, etc.), or administrative work (bookkeeping, claims settlement, investment management, etc.) and specialist functions (IT, internal audit, data management, etc.).

7.1. GENERAL RULES FOR OUTSOURCING

7.1.1. Responsibility

The Solvency II Law requires all insurance companies that outsource functions, activities or operational tasks to remain fully responsible for discharging all of their obligations under that Law.

It is specified that the outsourcing of operational tasks shall not lead to any of the following:

- 1° material impairment of the quality of the governance system of the insurance company;
- 2° undue increase of the operational risk;
- 3° impairment of the Bank's ability to monitor compliance by the insurance company with the obligations laid down by or pursuant to the Solvency II Law;
- 4° undermining of the continuous and satisfactory service to policy-holders, insureds and beneficiaries of insurance policies or the persons concerned by the execution of reinsurance policies.

7.1.2. Outsourcing policy

Delegated Regulation 2015/35 sets out that an insurance company intending to outsource must put an outsourcing policy in writing. This policy shall be approved by the board of directors and takes into account the principles listed below as regards sound management.

In its outsourcing policy, the insurance company shall include the approach and processes that apply to the outsourcing for the entire term of the agreement, and especially:

- (i) the process to determine whether a function or activity is a critical or important function or activity; It determines and documents this analysis by asking whether the function or activity concerned is crucial for the company's operation, in the sense that the company would not be able to provide its services to policy-holders without this function or activity.
- (ii) the way in which the service provider is selected (due diligence process) and how, and with which frequency, the services and results are assessed (monitoring system), making a distinction based on whether it is a critical or important function or activity that is being outsourced;
- (iii) the internal competence for concluding outsourcing agreements and the details that must be included in the agreement in writing with the service provider, making a distinction based on whether it is a critical or important function or activity that is being outsourced;
- (iv) the rules as regards continuity plans³³;

³³ As regards continuity aspects, the company pays attention to ensuring that (i) the technology, systems, applications and instruments used are sufficiently customary and well-known, and that solutions that are less common or rely too much on the service provider are avoided; (ii) good, functional documentation of the

- (v) the rules as regards the processing of personal or confidential data (cf. the GDPR);
- (vi) the rules as regards documentation (outsourcing register) and reporting to the Bank.

7.1.3. Critical or important functions and activities

The company shall set out a process to determine whether a function or activity is a critical or important function or activity; It shall determine and document this analysis by asking whether the function or activity concerned is crucial for the company's operation, in the sense that the company would not be able to provide its services to policy-holders without this function or activity. In other words, the critical or important functions or activities are those that are fundamental to the insurance business.

Examples of critical or important functions or activities are the design and pricing of insurance products, the conclusion of contracts, the investment of assets or portfolio management, the provision of computer data storage and the Own Risk and Solvency Assessment or ORSA (cf. the consultation report of EIOPA Guidelines 13/431, paragraph 5.174). Examples of non-critical or non-important functions or activities are legal advice, training of personnel, security of premises, purchase of standardised services, logistical support, the provision of elements of human resources support such as recruiting temporary employees (cf. the consultation report of EIOPA Guidelines 13/431, paragraph 5.175).

The independent control functions are also considered to be critical or important functions as compliance with the Solvency II Law is dependent on them.

The strictness of the rules on outsourcing shall depend on whether it is critical or important functions or activities being outsourced. Stricter rules shall apply to outsourcing critical or important functions or activities, than to outsourcing functions or activities that are not critical or important.

7.2. REQUIREMENTS OF SOUND MANAGEMENT FOR CASES OF OUTSOURCING OF FUNCTIONS OR ACTIVITIES THAT ARE NOT CRITICAL OR IMPORTANT

For the outsourcing of functions or activities not considered critical or important, the insurance company shall take the following into account:

- (i) the decision to outsource is based on an in-depth analysis which at least contains a detailed description of the functions or activities to be outsourced, of the expected consequences of the outsourcing, of compliance with the rules in the outsourcing policy and of an estimation of the risks in the proposal;
- (ii) in the procedure for selecting the service provider, the necessary diligence and caution is employed and account is taken of the service provider's financial health, reputation and technical and management skills³⁴;
- (iii) this outsourcing is laid down in an agreement in writing with the service provider, which takes into account the management principles explained in the outsourcing policy and explains the method and frequency for the assessment of the performance and results of the service provider;
- (iv) particular attention is paid to continuity aspects.

systems used by the service providers is drawn up and updated; (iii) the necessary knowledge of the technical characteristics for the operation, organisation and management of the outsourced services is maintained; and (iv) all own data can be requested at any time in a workable format.

³⁴ The selection process should be laid down in the outsourcing policy. As regards the criteria for technical and management skills, the company should (i) take into account the service provider's capacity to provide the service in a satisfactory manner so as to adequately cover the operational risks and reimburse any damage, (ii) assess to what extent the service provider has adequate contingency plans and check these plans against its own continuity requirements, and (iii) take the precautions necessary to be able to adequately transfer the outsourced services to another service provider or manage them itself whenever the continuity or the quality of the services provided could be compromised.

7.3. REQUIREMENTS OF SOUND MANAGEMENT FOR CASES OF OUTSOURCING CRITICAL OR IMPORTANT FUNCTIONS OR ACTIVITIES

7.3.1. Pre-contractual stage: verifications to be conducted before entering into an outsourcing agreement

Before entering into an outsourcing agreement with regard to a critical or important function or activity, insurance companies shall:

- (i) assess whether the outsourcing authorization conditions are met;
- (ii) conduct the necessary verifications with regard to the service provider;
- (iii) identify and assess all relevant risks of the outsourcing arrangement; and
- (iv) identify and assess the conflicts of interest that could arise from the outsourcing (cf. section 9.5. of this Circular).

§1. Authorization conditions

Insurance companies ensure that activities or functions are only outsourced to a service provider located in Belgium or in a Member State of the European Economic Area (EEA), insofar as the performance of this function or activity requires an authorisation or registration by a competent authority of the Member State in which they are authorised, if one of the following conditions is met:

- a. the service provider has been authorised or registered by a competent authority to perform these activities or functions;
- b. the service provider is allowed to perform these activities or functions in accordance with the applicable national legal framework.

If the service provider is located in a third country, the conditions specified in § 2 of section 7.4.3. should be met.

§2. Appropriate due diligence

Before selecting a service provider for critical or important functions or activities, the management committee of the insurance company shall carry out an appropriate enhanced due diligence process and thus ensure that:

- (a) an in-depth investigation is carried out to establish whether the potential service provider has the capacity suitability required to satisfactorily carry out the required functions or activities, taking into account the company's objectives and needs;
- (b) the service provider has the necessary financial resources to perform the additional tasks in a proper and reliable way, and that all staff of this service provider who will be involved in providing the outsourced functions or activities are sufficiently qualified and reliable;
- (c) the service provider has done everything possible to prevent actual or potential conflicts of interest compromising the contracting company's needs;
- (d) an agreement in writing is entered into between the company and the service provider, clearly explaining the respective rights and obligations of both parties;
- (e) the general conditions of the outsourcing agreement are clearly explained to the company's board of directors and management committee, which agrees thereto;
- (f) the outsourcing does not breach any legal text, especially the legislation and regulations on data protection;
- (g) the service provider is subject to the same rules regarding security and confidentiality of information on the insurance company or the policy-holders or beneficiaries thereof as those that apply to the insurance company.

§3. Assessment of risks related to the outsourcing arrangement

Before entering into a critical or important outsourcing arrangement, insurance companies should, taking into account the principle of proportionality, identify, assess and manage all risks to which they are or could be exposed in the context of outsourcing agreements (loss of control, concentration risk, conflicts of interest, lock-in risk, etc.).

Specifically, insurance companies should perform an assessment of the risks related to the outsourcing.

This risk assessment should comprise scenarios of possible risk events, including high-severity operational risk events. As part of the scenario analysis, insurance companies should assess the potential impact of failed or inadequate services, including the risks caused by processes, systems, persons or external events. Taking into account the principle of proportionality, insurance companies should document the analysis performed and its results and estimate the extent to which the outsourcing arrangement would increase or decrease their operational risk.

In this assessment, insurance companies should also take account of the expected benefits and costs of the proposed outsourcing arrangement, in particular by weighing any risks that may be reduced or better managed against any risks that may arise from the proposed outsourcing arrangement, taking into consideration at least:

- a. concentrations risks, including from: (i) outsourcing to a dominant service provider that is not easily substitutable and (ii) multiple outsourcing agreements with the same service provider or closely connected service providers;
- b. the aggregated risks resulting from outsourcing several functions across the company;
- c. in the case of significant companies, the step-in risk, i.e. the risk that may result from the need to provide financial support to a service provider in distress or to take over its business operations; and
- d. the measures implemented by the company and by the service provider to manage and mitigate the risks.

7.3.2. Contractual stage: minimum content of the agreement in writing with the service provider

The rights and obligations of the insurance company and of the service provider should be clearly allocated and set out in an agreement in writing.

The general conditions of the agreement in writing should be clearly explained to the board of directors and to the management committee of the company and should be approved by them.

In accordance with Article 274 of Delegated Regulation 2015/35, the agreement in writing to be entered into by the insurance company and service provider for critical or important functions or activities in particular shall include a clear mention of the following points:

- (a) the tasks and responsibilities of both parties;
- (b) the service provider's commitment to comply with all applicable legal and administrative rules and guidelines, as well as the policies approved by the insurance company, and to cooperate with the Bank as regards the outsourced activities or functions;
- (c) the service provider's obligation to report any development that could be of material influence on its ability to conduct the outsourced activities or functions efficiently and with due regard to the applicable legal rules and regulatory requirements;
- (d) a notice period for the service provider to terminate the agreement that is long enough for the insurance company to find an alternative solution;
- (e) that the insurance company may, where necessary, terminate the outsourcing agreement with no negative consequences for the continuity and quality of its service to policy-holders;
- (f) that the insurance company reserves the right to be informed on the outsourced functions and activities and the performance thereof by the service provider, as well as the right to give the service provider general guidelines or individual instructions on what needs to be taken into account in the performance of the outsourced functions or activities;
- (g) that the service provider must safeguard all confidential information on the insurance company and its policy-holders, beneficiaries, staff, contractual parties and all other persons;
- (h) that the insurance company, its statutory auditor and the Bank must have effective access to all information on the outsourced functions and activities as well as the service provider's places of work to be able to conduct on-site audits/inspections;

- (i) that the Bank, where such is appropriate and necessary for supervisory purposes, may ask the service provider questions directly, which the service provider must answer;
- (j) that the insurance company may obtain information on the outsourced functions and activities and give instructions on the outsourced functions and activities;
- (k) the conditions under which the service provider may sub-outsource any outsourced functions and activities;
- (l) that the obligations and responsibilities of the service provider by virtue of its contract with the insurance company remain unchanged by any sub-outsourcing in accordance with point k).

The Bank asks that insurance companies take particular care to ensure that the following 4 aspects are described accurately and clearly in the written outsourcing agreement:

a) sub-outsourcing: if sub-outsourcing is permitted, the agreement should (i) specify all types of activities that are excluded from sub-outsourcing; (ii) specify the conditions to be met in case of sub-outsourcing (including the obligations for the sub-contractor to comply with the applicable laws and regulatory requirements and to grant the same access and audit rights to the company); (iii) specify that the service provider is required to oversee the services it has itself outsourced; (iv) require the service provider to obtain prior specific or general written authorisation from the insurance company before sub-outsourcing data; (v) provide for the obligation for the service provider to inform the insurance company of any sub-outsourcing and any material changes thereof; (vi) ensure that the insurance company has the right to object to the intended sub-outsourcing or material change thereof; (vii) ensure that the insurance company has the contractual right to terminate the agreement in case of undue sub-outsourcing. Furthermore, additional information should be provided to the Bank in the context of the notification.

b) access, information and audit rights: the written agreement stipulates that the service provider grants the company's internal audit function, the accredited statutory auditor and the Bank (i) full access to all relevant business premises and (ii) unrestricted rights of inspection and auditing related to the outsourcing arrangement.

c) security of data and systems: the written agreement stipulates that the service provider complies with appropriate IT norms.

d) termination rights: the written agreement stipulates that the insurance company can terminate the agreement when (i) the service provider is in breach of applicable legal, regulatory or contractual provisions, (ii) impediments capable of altering the performance of the outsourced function are identified, (iii) there are material changes affecting the outsourcing arrangement or the service provider, (iv) there are weaknesses regarding data management and security and (v) instructions to this effect are given by the Bank, e.g. when it can no longer effectively supervise the insurance company as a result of the outsourcing arrangement.

7.3.3. Post-contractual stage: requirements to be met after entering into an outsourcing agreement

An insurance company that outsources important or critical functions, activities or operational tasks must also comply with the following requirements:

- (a) ensuring that the relevant aspects of the service provider's risk management and internal control system are adequate enough to safeguard compliance with the following provisions of the Solvency II Law;
- (b) sufficiently taking into account the outsourced functions in its risk management and internal control system to safeguard compliance with the following provisions of the Solvency II Law;
- (c) implementing a system to monitor the outsourced functions or activities through regular monitoring of the performance of the service provider (e.g. using key performance indicators) according to a risk-based approach including in particular data integrity and security;
- (d) ensuring that the service provider has suitable contingency plans to deal with emergencies or business interruptions and conduct periodic tests and back-ups if necessary in light of the outsourced functions or activities;

- (e) having a documented exit strategy in accordance with its outsourcing policy and its business continuity plan, ensuring that withdrawal from an outsourcing agreement does not cause any disruption to its business operations.

7.4. SPECIAL CASES OF OUTSOURCING

7.4.1. Entering into agreements

The company shall ensure that the activities of an insurance intermediary³⁵ who is not a member of staff of the insurance company and who is authorised to enter into agreements or settle claims in the name or on behalf of this insurance company, meet the outsourcing requirements above (with a distinction made based on whether this activity is considered critical or important or not).

7.4.2. Outsourcing within a group

§1. General rules

In principle, the same rules apply for outsourcing within a group³⁶ as for external outsourcing, irrespective of whether or not the outsourcing within the group relates to critical or important functions or activities.

Nevertheless, two special methods apply for the implementation of the aforementioned requirements on sound management:

- 1) in the context of the analyses that the insurance company must conduct before deciding to outsource (pre-contractual stage), it takes into account the degree of say it has over the service provider or the amount of influence it can exert on its actions (simplification of the appropriate due diligence process, possibility of using a centralised risk analysis, etc.); and
- 2) in the context of the implementation of the sound management requirements included above for the contractual and post-contractual stages, the framework agreement takes account of the fact that the service provider is subject to the same consolidated supervision as it is (simplification of the rules to be included in the written outsourcing agreement, possibility of implementing a centralised monitoring system, possibility of using a centralised exit plan, etc.).

Apart from the compliance with the rules on outsourcing that the insurance companies must follow individually, if critical or important functions or activities are outsourced within the group, the company responsible for the group must document which functions relate to which legal person. It shall also ensure that such rules do not breach the performance of those critical or important functions, activities or tasks at the level of the subsidiary.

If the outsourcing within the group relates to an independent control function, attention is drawn to the fact that the insurance company outsourcing this independent control function should always appoint an internal contact person responsible. All rules included in section 7.4.4. of this Circular shall apply in full.

§2. Outsourcing to a centralised services company within the group

A centralised services company is a company which – within a group – provides services to multiple entities of the group without being subject to prudential supervision or equivalent supervision and which is therefore considered unregulated.

When insurance companies outsource activities or functions to a centralised services company, the general proportionality rules for outsourcing within a group included in § 1 shall apply, but the insurance companies are also expected to comply with the following specific recommendations:

³⁵ 'Insurance intermediary' in the broad sense and not "ancillary insurance intermediary" within the meaning of Directive 2016/97 of the European Parliament and of the Council of 20 January 2016 on insurance distribution.

³⁶ The rules for outsourcing within a group also apply to consortiums.

- a. to ensure that there is a regular monitoring of the centralised services company by the group risk management function or by a dedicated team and that companies outsourcing a critical or important function or activity to this company receive, at least annually and upon request of the group risk management function or the dedicated team, reports containing at least a summary of the risk assessment and of the performance monitoring. Additionally, the insurance companies should also receive a summary of the relevant audit reports relating to the centralised services company³⁷;
- b. to be informed of any relevant planned changes regarding the centralised services company that could impact the critical or important functions outsourced, including by way of a summary of the risk analysis relating in particular to legal risks, compliance with regulatory requirements and impact on service levels, in order for them to assess the impact of these changes;
- c. when the choice of the centralised services company is based on a centralised risk assessment, to receive a summary of this assessment and ensure that it takes into account the specific structure and risks of the insurance company;
- d. to have the complete list of all outsourcings performed by the centralised services company;
- e. when they rely on a centralised exit plan with regard to the centralised services company to receive a copy of this plan and to ensure that it can be effectively executed.

7.4.3. Outsourcing outside the European Economic Area

§1. General rule for all cases of outsourcing

Functions or activities may be outsourced outside the European Economic Area (to third countries) provided that the insurance company can expressly guarantee that itself, its accredited statutory auditor and the Bank will be able to exercise and enforce their right of access and review, in accordance with Article 307 of the Solvency II Law.

The capacity to restructure and liquidate the company in Belgium should also be guaranteed. The information needed for this purpose should be accessible at all times in Belgium.

§2. Additional rules for the outsourcing of critical or important functions or activities

In addition to the general rule described in §1, a critical function or activity may only be outsourced to a service provider located in a third country if the following conditions are met:

- a. there is an appropriate cooperation agreement between the Bank and the prudential supervisory authority where the service provider is located or, if the service provider is part of a group that is subject to supervision at group level in accordance with Directive 2009/138/EC (Article 343 of the Solvency II Law), there is a coordination agreement for a college of supervision where the Bank and the prudential supervisory authority of the third country are part; and
- b. the cooperation or coordination agreement referred to in point a ensures that the Bank is at least able to obtain, upon request, the information necessary to carry out its tasks, on the one hand, and obtain appropriate access to any data, documents, premises or personnel in the third country that are relevant for the performance of its supervisory powers.

However, these 2 conditions do not have to be met if the services concerned are performed in a subsidiary or branch located in the EEA of the service provider and this notwithstanding the fact that the service provider is a legal person which is established in a third country.

7.4.4. Outsourcing of independent control functions

³⁷ If the internal audit function is itself outsourced to the service company, a report from an external independent company is a recommended alternative.

If an independent control function is outsourced, the company shall follow all the rules that apply in the case of outsourcing of critical or important functions or activities as referred to in point 7.2 above. Moreover, two additional rules should be complied with:

§ 1. Appointment of a contact person responsible

As stated in points 2.1 and 5.1.3 of this Circular, if the insurance company decides to outsource an independent control function, it shall appoint a person with overall responsibility for the outsourced independent control function ('contact person responsible') and oversees that this person possesses the requisite professional integrity and has sufficient knowledge of and experience with the outsourced function to put the performance and results of the service provider to the test.

§ 2. Reporting to management bodies

When outsourcing an independent control function, the Bank recommends having direct contact between the service provider performing this function and the company's management bodies. Without prejudice to the role of the contact person responsible, whose primary task is to monitor the quality of the service provider's performance, companies should avoid having the reporting of the outsourced control functions "filtered" through this contact person responsible. As a result, the Bank recommends having service providers responsible for an independent control function notify their activities and their observations directly to the board of directors or to one of its specialised sub-committees, such as the audit and risk committee. Naturally, the contact person responsible may attend these reportings and offer advice as person responsible for monitoring the quality of the service provider's performance and as the person who is ultimately responsible for the outsourced independent control function.

7.4.5. Ban on 'empty shells'

Insurance companies that intensively outsource their control activities and functions must always have one or more persons among their staff tasked with monitoring the outsourcing. The impact of outsourcing may not be of such a scale that the insurance company exhibits the characteristics of an empty shell that is no longer capable of complying with its conditions for authorisation and pursuit of business. Reference is also made to section 4.3. of this Circular on the rules to be complied with as regards central administration.

7.4.6. Supply of staff

In order to be valid under Belgian social law, supply of staff must meet strict conditions (cannot be a regular activity of the employer supplying employees, limited duration, written document, prior consent of the General Directorate for Supervision of Social Legislation (*Algemene Directie Toezicht op de Sociale Wetten / Direction générale Contrôle des lois sociales*), etc.). In a cross-border context, the supply of staff raises complex questions regarding international private law. The insurance company should verify whether the relevant rules of social law and international private law are complied with. For its part, the NBB considers that (i) from a prudential point of view, cases of supply of staff may be treated similarly to cases of outsourcing, with the regulated companies also being responsible for compliance with Belgian social law; and that (ii) all legal and regulatory prudential rules set out in this Chapter should be complied with.

7.4.7. Outsourcing to cloud service providers (cloud outsourcing)

The insurance company determines whether an arrangement entered into with a cloud service provider falls under the definition of outsourcing according to the Solvency II Law. If so, in addition to the general outsourcing requirements included in this chapter, the company should also comply with the specific recommendations for cloud outsourcing specified in Communication NBB_2012_11 and, from 1 January 2021, those set out in Circular NBB_2020_018(cf. also Chapter 10 of this Circular).

7.5. MONITORING BY INTERNAL AUDIT AND COMPLIANCE FUNCTIONS

The activities of the internal audit and compliance functions should cover, following a risk-based approach, the independent review of outsourced activities or functions.

7.5.1. Internal audit

The audit plan and programme should include, in particular, the review of the outsourcing arrangements of critical or important functions. With regard to the outsourcing process, the internal audit function should at least ascertain:

- a) that the insurance company's framework for outsourcing, including the outsourcing policy, is correctly and effectively implemented and is in line with the applicable laws and regulations, the risk strategy and the decisions of the management bodies;
- b) the adequacy, quality and effectiveness of the assessment of the criticality or importance of the functions or activities concerned;
- c) the adequacy, quality and effectiveness of the risk assessment for critical or important outsourcing arrangements and that the risks remain in line with the company's risk strategy;
- d) the appropriate involvement of governance bodies; and
- e) the appropriate monitoring and management of outsourcing arrangements.

7.5.2. Compliance function

The compliance function is tasked with ex ante monitoring of critical or important outsourcings. Thus, for each new critical or important outsourcing, the Bank asks the compliance function to at least verify:

- a) Compliance with the general governance requirements relating to the outsourcing and its different stages: pre-contractual stage, contractual stage³⁸ and post-contractual stage (cf. sections 7.3.1 to 7.3.3 above); and
- b) Compliance with requirements for documentation and reporting to the Bank (cf. section 7.6).

This ex ante monitoring³⁹ will take the form of the issuance, for each file for notifying the Bank of the outsourcing of a critical or important activity or function, of an opinion of the compliance function on this case of outsourcing (cf. section 7.6.2 below). The Bank asks that the content of this opinion be in compliance with the standard form included in Annex 4 of this Circular.

The specific outsourcing monitoring task assigned to the compliance function is without prejudice to the duties and obligations of the insurance company's governing bodies and first-line operational services.

7.6. DOCUMENTATION AND REPORTING TO THE BANK

Outsourcing insurance companies are advised to keep a register with information on all outsourcing arrangements across the company, distinguishing between the outsourcing of critical or important functions or activities and the outsourcing of non-critical or non-important functions or activities.

For reporting to the Bank, outsourcing obligations are twofold:

- 1) the reporting of a part of the outsourcing register, namely the list of outsourcings of critical or important functions or activities, to be submitted through the eCorporate platform (reporting B.9. included in the eCorporate Communication NBB_2019_22); and
- 2) the notification to the Bank of planned outsourcings of critical or important functions or activities.

7.6.1. List of critical or important outsourcings

The Bank expects the list of outsourcings of critical or important functions or activities, which is to be submitted through the eCorporate platform, to include at least the following information:

- 1) start and end dates of the outsourcing agreement;
- 2) brief description of the outsourced function or activity;
- 3) brief description of the reason why the function or activity is considered critical;
- 4) name of the service provider;
- 5) country where the service is to be performed (including the location of the data);

³⁸ For compliance with the requirements relating to the contractual stage, the compliance function can, where appropriate, rely on the work of the legal department.

³⁹ For the monitoring of the post-contractual stage, the compliance function is expected to ensure that the necessary framework is in place.

- 6) where appropriate, the names of any sub-contractors to which material parts of a critical or important function are sub-outsourced, including the country where the sub-contractor is registered.

7.6.2. Notification to the Bank

In accordance with the Solvency II Law, insurance companies shall inform the Bank promptly, before outsourcing critical or important functions or activities or independent control functions (i) of their intention to do so as well as (ii) later important developments as regards these functions or activities (including the decision to end the outsourcing of a function or activity).

Specifically, the Bank asks insurance companies to provide it within a reasonable period of time (in principle 6 weeks before the outsourcing enters into force at the latest, barring any duly justified specific derogation) with a file in accordance with the standard notification form included in Annex 3 of this Circular. This standard notification form is the same for all cases of outsourcing (within a group, externally, outsourcing of an independent control function, cloud outsourcing, etc.) but the annexes to be enclosed differ depending on the case.

The notification file should systematically be accompanied by an opinion of the person responsible for the compliance function in accordance with Annex 4 of this Circular, confirming point by point (i) compliance with the requirements relating to the different stages of the outsourcing (i.e. points 7.3.1 to 7.3.3, supplemented where appropriate with 7.4) and (ii) the completeness of the file provided⁴⁰.

⁴⁰ Statement to be submitted in all cases of outsourcing except when relating to the compliance function.

8. REMUNERATION

Regulatory framework:

1. Solvency II Law: Articles 42, § 1, 6° (remuneration policy), 50 (remuneration committee), 77, § 5 and 80, § 3 (role of the board of directors and management committee)
2. Delegated Regulation 2015/35: Articles 258(1)(l), and 275 (policy and principles to be observed)
3. Underlying thematic NBB Circular: Communication NBB_2019_05 / Insurance and reinsurance - Submission of figures relating to the remuneration of Identified Staff through OneGate
4. EIOPA Guidelines: Guidelines 9 and 10 (EIOPA's Opinion on remuneration of 7 April 2020 is also taken into account)

The Solvency II Law and Delegated Regulation 2015/35 require insurance companies to lay down a remuneration policy with the aim of aligning the personal objectives of the members of staff with the long-term interests of the company, and of complying with remuneration practices that contribute to effective risk control.

8.1. SCOPE

8.1.1. Determination of the 'identified staff' category

In view of the need to set up an effective risk management system, the insurance company shall determine the categories of persons who are subject to specific provisions of the remuneration policy on the basis of the nature, scale and complexity of the risks inherent to the company's business model and activity.

In accordance with Article 275(1)(c) of Delegated Regulation 2015/35, the Bank assumes that the principles stated below regarding the remuneration policy in particular apply to:

- 1) the members of the insurance company's board of directors;
- 2) the members of the management committee;
- 3) the persons responsible for independent control functions;
- 4) the members of staff of the company whose work, performed individually or as a team such as a department or section of a department, has or could have a material influence on the risk profile of the insurance company ('risk takers'), for example the members of staff who make investments, 'assets & cash managers', members of the credit committee, etc.

These persons make up the category of 'identified staff'.

All identified staff should comply with the rules set out in Article 275 of Delegated Regulation 2015/35 and included in point 8.3. below.

8.1.2. Identified staff receiving significant variable remuneration

Pursuant to the principle of proportionality, identified staff receiving significant variable remuneration are subject to stricter requirements, namely those included in point 8.4. below.

'Identified staff receiving significant variable remuneration' refers to identified staff that receive an annual variable remuneration which exceeds € 50,000 gross and represents more than a third of their total annual remuneration.

Conversely, identified staff that do not meet these two cumulative criteria are not subject to the additional prudential requirements mentioned in point 8.4. below.

8.2. REMUNERATION POLICY

In accordance with Delegated Regulation 2015/35, insurance companies shall take all the following principles into consideration:

- (a) the remuneration policy and remuneration practices are established, implemented and enforced in accordance with the company strategy and risk management strategy, the risk profile, the objectives, the risk management practices and the long-term interests and performance of the company as a whole, and include measures focused on avoiding conflicts of interest;
- (b) the remuneration policy contributes to a sound and effective risk management and discourages risk-taking that exceeds the level of tolerated risk established by the company;
- (c) the remuneration policy applies to the company as a whole and provides for specific rules taking into account the tasks and performance of the members of the board of directors and the management committee, of the persons responsible for independent control functions, and of the other categories of staff whose work has material consequences for the risk profile of the company;
- (d) the company's board of directors and, where appropriate, its general meeting⁴¹ set the general principles of the remuneration policy as well as the specific rules for the 'identified staff';
- (e) there is a clear, transparent and effective governance for remuneration, which encompasses supervision of the remuneration policy;
- (f) the remuneration policy is communicated to all members of staff of the company.

The remuneration policy is designed to take into account the internal organisation of the insurance company and the nature, scale and complexity of the risks inherent to the company's business model and activity.

Furthermore, the insurance company is expected, in its remuneration policy, at least to ensure that:

- a) the remuneration granted does not jeopardise the ability of the company to maintain a sufficient capital basis;
- b) remuneration contracts with service providers do not encourage the taking of excessive risks, taking into account the company's risk management strategy.

Chapter 13 below is also referred to for a detailed overview of the specific rules on remuneration that must be complied with in a group context.

Additionally, listed insurance or reinsurance companies should ensure that their remuneration policy complies with Article 7:92, fourth paragraph, last phrase of the CAC, which stipulates that no variable remuneration may be granted to an independent director within the meaning of the Solvency II Law.

8.3. REQUIREMENTS FOR SOUND REMUNERATION PRACTICES TO BE OBSERVED BY ALL IDENTIFIED STAFF

In accordance with Delegated Regulation 2015/35, the remuneration policy must meet all of the following principles:

- (a) if remuneration policies include both a fixed and variable component, both components are distributed evenly, so that the share of the fixed or guaranteed component in the overall remuneration package is enough to avoid staff being too dependent on the variable component, and to enable the company to operate an entirely flexible bonus policy, including the option of not paying out any variable component at all;
- (b) where the variable remuneration is performance-based, the total amount of the variable compensation is based on a combination of an assessment of the performance of the person in question, the business unit in question and the total results of the company or of the group to which the company belongs;
- (c) the payment of a substantial part of the variable remuneration component, irrespective of the form of payment thereof, includes a flexible, deferred component that takes into account the nature and time horizon of the company's business: the duration of the deferral period is no shorter than three years and the period is established in accordance with the nature of the company, the risks associated therewith and the work of the staff in question;
- (d) when evaluating personal performance, both financial and non-financial criteria are used;

⁴¹ The validation of the remuneration policy by the general meeting is only necessary if it provides for a notice period and a termination payment for non-executive directors.

- (e) when evaluating performance as a basis for the variable compensation, a downwards correction is applied for exposure to current and future risks and account is taken of the company's risk profile and capital costs;
- (f) compensation for dismissal is in line with the performance during the whole period of active service and designed in such a way that failures are not remunerated;
- (g) for persons to whom the remuneration policy applies, it is required that they make no use of personal hedging strategies or insurance linked to a remuneration or liability, which would undermine the risk control effects embedded in their remuneration policies;
- (h) the variable part of the remuneration of staff involved in the independent control functions is separate from the performance of the business units and areas on which they exercise control.

8.4. REQUIREMENTS FOR SOUND REMUNERATION PRACTICES TO BE OBSERVED BY IDENTIFIED STAFF RECEIVING SIGNIFICANT VARIABLE REMUNERATION

This section specifies certain principles set out in Article 275 of Delegated Regulation 2015/35 and in point 8.3 below for identified staff receiving significant variable remuneration.

8.4.1. Balanced remuneration

If, for identified staff receiving significant variable remuneration, the ratio of fixed remuneration to variable remuneration exceeds the reference ratio of 1:1 (1:0.5 for the persons responsible for the independent control functions), the insurance company should justify to the Bank why it does not comply with this ratio.

This justification should be communicated in the explanatory memorandum "Non-compliance Section 8.4" to be submitted to the Bank through eCorporate.

On this basis, the Bank will engage with the insurance company to determine whether the remuneration can still be considered balanced.

The Bank will also pay specific attention to very low fixed remunerations.

8.4.2. Deferral of a substantial portion of the variable remuneration

For identified staff receiving significant variable remuneration, the Bank considers that a deferral (of at least three years) of 40 % of the variable remuneration constitutes a "substantial portion" of the variable remuneration within the meaning of Article 275 of Delegated Regulation 2015/35. If a person's fixed/variable ratio exceeds 1:1, the deferral rate should be higher than 40 %. If an insurance company does not comply with the deferral of the aforementioned portion of the variable remuneration, it should justify this to the Bank in an ad hoc letter.

8.4.3. Financial and non-financial criteria to be used when assessing individual performance

The individual performance of identified staff receiving significant variable remuneration should be based on financial and non-financial criteria to be detailed in the company's remuneration policy.

The financial criteria should cover a sufficiently long period to reflect the risks taken by the identified staff concerned and should be risk adjusted.

The non-financial criteria should contribute to the creation of value for the company, such as compliance with external and internal regulations, the efficiency of customer service management, the achievement of strategic goals (e.g. environmental, social and sound governance criteria), compliance with sustainability objectives, ethical aspects, turnover of staff, adherence to the values of the company, impact on the company's reputation, policy-holder and beneficiary satisfaction, adherence to the risk management policy, leadership, teamwork, creativity, motivation and cooperation with other business units and internal control.

The Bank expects these financial and non-financial criteria to be appropriately balanced. For example, the Bank considers that a system with 80 % financial criteria and 20 % non-financial criteria is not appropriately balanced.

If an insurance company does not comply with the requirements set out above, it should justify this in the explanatory memorandum “Non-compliance Section 8.4”, to be submitted to the Bank through eCorporate.

8.4.4. Downward adjustments

In accordance with Article 275 of Delegated Regulation 2015/35, the measurement of performance as a basis for the calculation of the variable remuneration should include a downward adjustment. The term downward adjustment encompasses all types of adjustments: malus, clawback and in-year adjustments.

Variable remuneration should not only be adjusted downward when the identified staff do not meet their personal objectives, but also when their business units or departments and/or the company as a whole fail to do so. If an insurance company is likely to breach or has breached the solvency capital requirement (SCR), its remuneration policy should prescribe that a downward adjustment will be applied.

The Bank requires insurance companies to ensure that downward adjustments for identified staff receiving significant variable remuneration are described in the remuneration policy, and that this description:

- (i) shows how the short and long-term risks, the cost of capital, (internal) capital requirements, as well as the dividends policy have been taken into account (downward adjustment in case of an actual or potential breach of the SCR);
- (ii) includes examples of how the downward adjustment works;
- (iii) includes the rationale for the chosen downward adjustment and the triggers used; and
- (iv) explains that the downward adjustment was designed in a way that, in the event of an individual’s negative contribution to the company’s results in any year of the deferral period, any unvested portion of the variable remuneration may be subject to malus.

If an insurance company does not comply with the requirements set out above, it should justify this in the explanatory memorandum “Non-compliance Section 8.4”, to be submitted to the Bank through eCorporate.

8.4.5. Termination payments

Insurance companies are expected to specify in their remuneration policies the rules applied by them with regard to the potential granting of termination/severance payments to identified staff receiving significant variable remuneration, including the maximum amount authorised for termination payments or the criteria used to determine the amount of the payment. The concept of termination payment used here should be understood in the broad sense and cover all payments to identified staff in relation to their termination, regardless of the form, in addition to compensations in lieu of notice.

In general, termination payments are qualified as variable remuneration. However, the following amounts of termination payments do **not** qualify as variable remuneration:

- a) mandatory payments under Belgian labour law, mandatory payments following a court decision or payments which are calculated through a predefined generic formula set within the remuneration policy;
- b) payments made as a result of a non-competition clause in the agreement and awarded in future periods up to the amount of the fixed remuneration which would have been paid for the non-competition period if the person concerned were still employed at the insurance company; and
- c) payments that belong to the category listed in the following paragraph and that do not fulfil the condition in point (a) above, where the company has demonstrated to the Bank the reasons for and the appropriateness of the amount of the termination payment.

Conversely, the termination payments made under the following conditions do qualify as variable remuneration:

- a) when the insurance company terminates the agreement because of a failure of the company;
- b) when the insurance company terminates an agreement following a material reduction of the activities in which the person concerned was active or where business areas are acquired by another insurance company without the option for this person to stay employed in the acquiring company;

c) when the company and the person concerned agree on a settlement in case of a potential or actual labour dispute, to avoid a decision on the settlement by the courts.

When assessing the company's remuneration policy and discussing the termination payments, the Bank will verify that:

(i) the calculation of the fixed/variable remuneration ratio takes into account, on the one hand, the sum of any higher amounts than the fixed remuneration for the future periods which would have been paid as a result of a non-competition clause if the person concerned were still employed at the company and, on the other hand, any other payments made as termination payments that are not included in the above list of termination payments that do not qualify as variable remuneration;

(ii) the amount of the termination payments and the criteria used to determine this amount accurately reflect the effective performance achieved over time by the person concerned;

(iii) the termination payments that qualify as variable remuneration are deferred in time in accordance with the deferral rules listed above;

(iv) there is a link between the severity of any failures and the amount of the termination payment, and that the termination payments never reward failures (failures of the company and failures of the person concerned); and

(v) the remuneration policy lists the situations in which termination payments will not be made.

Finally, the Bank expects insurance companies to always be able to demonstrate to it, for each specific case: (i) the reasons for the termination payment, (ii) the appropriateness of the amount awarded and (iii) the criteria used to determine the amount, including that it is linked to the performance achieved over time and that it does not reward failure.

If an insurance company does not comply with the requirements above, it should justify this in the explanatory memorandum "Non-compliance Section 8.4", to be submitted to the Bank through eCorporate.

8.5. REMUNERATION COMMITTEE

Please refer to Section 1.7. above.

8.6. REPORTING

Insurance companies shall report remuneration figures annually using the template provided by the Bank for all identified staff (including the risk-takers and the persons responsible for the independent control functions). This reporting should be submitted to the Bank through the communication channel OneGate (cf. Communication NBB 2019_05). The reporting template is included in Annex 3.

"Qualitative" information on the remuneration policy should be submitted in the chapter "Governance system" of the Regular Supervisory Report (RSR; cf. Annex 2 of this Circular).

Additionally, the ad hoc justification information to be submitted by insurance companies to the Bank when they do not comply with the requirements set out in section 8.4. above for identified staff receiving significant variable remuneration, should be communicated to the Bank through eCorporate using an explanatory memorandum "Non-compliance Section 8.4". After discussing this with the Bank, the explanations given to justify non-compliance with sound practices should be included in the RSR.

9. INTEGRITY POLICY

Regulatory framework:

1. Solvency II Law: Articles 42, § 1, 5° (integrity policy) and 8° (whistleblowing), and 44 (role of the board of directors)
2. Delegated Regulation 2015/35: Articles 258(5) (conflicts of interest) and 270 (integrity)
3. Underlying thematic NBB Circular: /
4. EIOPA Guidelines: /

Sound governance cannot be achieved through organisational structures, procedures and control mechanisms alone, but to a great extent rely on the commitment and dedication of all members of staff of the insurance company.

In this regard, the Law of 5 December 2017 amending the Solvency II Law reinforces the role of the board of directors as regards compliance risk management. In addition to establishing and supervising the integrity policy, the board of directors must annually provide the Bank with a report on the assessment of the proper functioning of the compliance function. In this way, the board of directors shall report on its responsibilities regarding compliance: in particular, it ensures that compliance risks are sufficiently detected and managed. Additionally, the Solvency II Law provides for the obligation for insurance companies to develop a whistleblowing system.

9.1. INTEGRITY POLICY

In accordance with the Solvency II Law, the board of directors shall establish the company's integrity policy. This policy must contain the essential elements of the integrity rules the company imposes on itself. At least the following subjects should be covered:

- 1) Company goals and values;
- 2) Prevention of money laundering and terrorist financing (in case of life insurance activities);
- 3) Conflicts of interest;
- 4) Whistleblowing.

These different subjects must then be translated into thematic policies or internal procedures, as the case may be. This integrity policy must be updated periodically or whenever significant events occur that could influence the company's compliance risk profile. The compliance function fulfils an important role in the updating of this policy.

9.2. COMPANY GOALS AND VALUES

It is important that the board of directors establish the strategic goals and business values of the insurance company, as well as the internal codes of conduct or formal rules, which determine how business is done in a spirit of integrity and engagement with the stakeholders of the company. These goals, values and codes are communicated and promoted throughout the company. For the application of these values, it is important that the management impose strict rules of conduct on itself and set the good example (tone at the top).

The internal rules of conduct cover subjects such as corruption, commercial gestures (voluntary bearing of costs for claims), accepting or giving gifts, undue self interest in transactions between staff and the company, and all sorts of other unethical or illegal conduct within the activities inside or outside the insurance company.

The insurance company must set up an appropriate organisation and procedures to find out whether or not the company's members of staff are irreproachable. Apart from the usual checks at the time of recruitment, the insurance company must permanently take the necessary measures to supervise compliance by its staff with the legal and regulatory provisions relating to integrity and conduct.

9.3. PREVENTION OF MONEY LAUNDERING AND TERRORIST FINANCING

Insurance companies authorised to perform life insurance activities referred to in Annex II to the Solvency Law in Belgium are expected to incorporate the policy for the prevention of money laundering and terrorist financing (AML/CFTP) referred to in Article 8 of the Law of 18 September 2017 into the integrity policy. In the AML/CFTP policy, each insurance company concerned should mention the AML/CFTP related objectives it sets itself and the guidelines to be complied with in this area (two main parts: money laundering and terrorist financing risk management and customer acceptance). For more information, please refer to the AML/CFTP section of the Bank's website.

9.4. WHISTLEBLOWING/WHISTLEBLOWER'S POLICY

Compliance with the company values and internal codes of conduct, and the effectiveness of the insurance company's internal control, are promoted when there are channels available to staff to internally communicate, in good faith, legitimate concerns regarding significant breaches of these company values and codes or on the subject of unethical or illegal behaviour relating to aspects that are under the powers and supervision of the insurance company.

To that end, the insurance company shall provide for a procedure and information channel to directly or indirectly (ombudsman, compliance, internal audit) report complaints to the management outside the normal hierarchical channels. Bona fide whistleblowers shall be protected against direct or indirect disciplinary measures or decisions with equivalent effects.

The proper functioning of the whistleblower policy relies on clear rules which clearly explain the subjects on which complaints may be lodged and what steps and escalation rules the procedure entails. The management shall ensure that the information provided by the whistleblowers is effectively investigated and that the necessary measures are taken to tackle irregularities.

The policy must be in line with the legislation on privacy and data protection (cf. the GDPR). Recommendations from the competent authorities on the subject can help the companies test their policies against these provisions.

9.5. CONFLICTS OF INTEREST

The business of an insurance company is characterised by the convergence of myriad interests, often in parallel but equally as often divergent or conflicting, which require an appropriate framework.

Conflicts of interest can, inter alia, exist between:

- shareholders and the company;
- directors and the company;
- members of staff and the company;
- the company and its clients, as a consequence of the business used and/or the different services and activities offered by the company;
- clients between themselves;
- the company and its parent undertaking, subsidiary or other affiliated enterprises in intra-group transactions.

The main objectives for the management of conflicts of interest should be specified in a conflicts of interest policy to be incorporated in the insurance company's integrity policy. Furthermore, without prejudice to the application of the provisions of Articles 7:96, 7:115 and 7:117 of the CAC and 45bis of the Solvency II Law or other specific rules that apply, Delegated Regulation 2015/35 sets out that the company must have effective processes and procedures to prevent conflicts of interest and identify potential sources of conflicts of interest, and must establish procedures to tackle such conflicts.

10. IT INFRASTRUCTURE

Regulatory framework:

1. Solvency II Law: Article 42, § 1, 7° (security) and 9° (continuity)
2. Delegated Regulation 2015/35: Article 258(1)(i) (records of business), (j) (IT security) and (3) (continuity)
3. Underlying thematic NBB Circulars:
[Circular NBB 2009_17](#) of 7 April 2009 on IT security,
[Communication NBB 2012_11](#) of 9 October 2012 on cloud computing
[Circular NBB 2015_32](#) on IT continuity
[Circular NBB 2020_018](#) on the recommendations of the Bank in relation to cloud outsourcing
4. EIOPA Guidelines: /

The Solvency II Law and Delegated Regulation 2015/35 leave the existing regulatory framework for IT infrastructure unchanged. As a result, the regulatory requirements in the area of IT security, business continuity and cloud computing are explained below in broad terms. The Circulars below can be referred to for more information.

10.1. IT SECURITY (INCLUDING CYBERSECURITY)

Insurance companies must have an IT system that functions properly (which can keep records of business) and appropriate control and security measures in the area of IT. Alongside areas such as outsourcing and business continuity, which are explained elsewhere in this Circular, this also applies to insurance services offered via the internet. See [Circular NBB 2009_17](#) on IT security and [Circular NBB 2015_32](#) on continuity (the Bank recommends that all significant companies and groups comply with the latter Circular, which was originally aimed at systemically important companies).

Furthermore, the Bank stresses the importance of cybersecurity. Thus, it expects that insurance companies hence adopt the necessary measures to manage cyber risks in the context of their aforementioned IT security system. These measures should be reviewed and updated regularly in order to incorporate the latest techniques and best practices.

10.2. CLOUD COMPUTING

The insurance company determines whether an arrangement entered into with a cloud service provider falls under the definition of outsourcing according to the Solvency II Law. If so, in addition to the general outsourcing requirements included in Chapter 7 of this Circular, the company should also comply with the specific recommendations for cloud outsourcing specified in [Communication NBB_2012_11](#) and, from 1 January 2021, those set out in [Circular NBB_2020_018](#).

11. CONTINUITY POLICY, CONTINGENCY PLANS AND RECOVERY PLANS

Regulatory framework:

1. Solvency II Law: Articles 204 to 211 (recovery plans)
2. Delegated Regulation 2015/35: Article 258, § 3 (continuity policy)
3. Underlying thematic NBB Circular: [Circular PPB/D.256](#) of 10 March 2005 on business continuity (**remains applicable**)
4. EIOPA Guidelines: Guideline 8 (contingency plans)

Insurance companies must have a continuity policy for their business and they are expected to draw up contingency plans for areas in which they consider themselves vulnerable. The Bank may also ask companies to draw up an *ex-ante* recovery plan if it deems this justified.

11.1. CONTINUITY POLICY

Delegated Regulation 2015/35 sets out that insurance companies must develop a business continuity policy to ensure that in case of an interruption of their systems and procedures, critical data and business functions are protected and their insurance activities can be pursued or, if this isn't possible, that these data and business functions are recovered as quickly as possible and their insurance activities are resumed as soon as possible. This is not a new requirement given that [Circular PPB/D.256](#) already recommended that insurance companies have a business continuity policy and ensure that their organisation is designed in such a way as to be able to maintain or as quickly as possible recover their critical or important functions, activities or tasks in the case of serious and unplanned interruption to the business, although the scope is broader (IT and other issues).

11.2. CONTINGENCY PLANS

In addition to the aforementioned continuity policy, insurance companies are expected to identify material risks and draw up contingency plans for areas in which they consider themselves vulnerable and to regularly evaluate, update and test these contingency plans. These contingency plans can cover a wide range of vulnerabilities and are not limited to IT. This should allow the Bank to have a constructive and structured dialogue about the company's vulnerabilities.

11.3. RECOVERY PLANS

The Solvency II Law (Article 204 et seq.) stipulates that the Bank may ask a company to draw up a recovery plan if it deems this justified in light of the potential risks of considerable deterioration of the company's financial situation.

12. SUITABILITY OF SHAREHOLDERS AND MEMBERS

Regulatory framework:

1. Solvency II Law: Articles 23, 39 (shareholders or members) and 64 to 73 (change in the capital structure)
2. Delegated Regulation 2015/35:
3. Underlying thematic NBB Circulars: [Communication NBB 2017_22](#) and [Circular NBB 2017_23](#) of 22 September 2017
4. EIOPA Guidelines: the Joint Guidelines of the ESAs on the prudential assessment of acquisitions and increases of qualifying holdings in financial sector entities, which were published on 5 May 2017, apply and are annexed to the aforementioned Communication NBB_2017_22.

Shareholders who have a qualifying holding in an insurance company (hereinafter referred to as 'significant shareholders') must be suitable to ensure sound and prudent management of the insurance company and to ensure development focused on its continuity⁴².

12.1. PRUDENTIAL EXPECTATIONS FOR SIGNIFICANT SHAREHOLDERS WITH A QUALIFYING HOLDING

From a prudential point of view, it is of great importance that shareholders with a qualifying holding present specific qualities that guarantee that they will use their influence to promote sound and prudent management of the insurance company as well as development focused on its continuity. They must also take into account the prudential expectations regarding sound governance that the insurance company must comply with.

This prudential requirement is not only a prerequisite for obtaining authorisation but is also upheld in the subsequent phases. It can in particular be found in the form of the prudential assessment that must be made of the qualities of the natural and legal persons which have decided to acquire a qualifying holding in the capital of the insurance company or considerably increase their participating interest.

Shareholders with a qualifying holding, as well as insurance companies as soon as they have knowledge thereof, shall inform the Bank of any changes (increases or decreases exceeding certain thresholds, see Articles 64 to 73 of the Solvency II Law) in the capital structure of the insurance company.

Insurance companies must provide to the Bank all relevant information they possess on their shareholders with a qualifying holding and that could influence the prudential assessment of these shareholders. The same obligation applies to the shareholders concerned.

12.2. SUITABILITY TEST

The criteria used for the prudential assessment, both for the application for authorisation and thereafter, are explained in more detail in the Joint Guidelines of the European Supervisory Authorities (EBA, EIOPA, and ESMA) on the prudential assessment of acquisitions and increases of qualifying holdings in financial sector entities, which were published on 5 May 2017. Potential and existing shareholders must read this document in conjunction with [Communication NBB 2017_22](#); insurance companies must read it in conjunction with [Circular NBB 2017_23](#).

⁴² This chapter refers to shareholders, but it should be noted that, since the entry into force of the CAC, insurance companies (except those incorporated as cooperative companies) may be established by a physical or legal person.

12.3. FAMILY AND MEMBER CHARTER

Insurance companies with a family shareholding or a shareholder structure comprising a closed number of partners would be well advised to draw up a charter governing the relationships between the family and/or partners and the company, as regards sound governance, entrepreneurial vision, financial objectives, management follow-up, careers, and remuneration.

13. GROUP ASPECTS

Regulatory framework:

1. Solvency II Law: Articles 392 to 398 (governance of the insurance group), 443 (specific rules for insurance holding companies), 464 to 466, 468 to 469 (governance of conglomerates) and 470 (specific rules for mixed financial holding companies)
2. Delegated Regulation 2015/35: Article 359 (Group SFCR)
3. Underlying thematic NBB Circular: /
4. EIOPA Guidelines: Guidelines 1, 2, 9, 17, 38, 62 and 65 to 70

The principles on sound governance also apply when the insurance company forms part of a group.

A distinction needs to be made depending on whether it is a Belgian group (i.e. a group for which the Bank is the group supervisor; cf. section 13.1 below) or a foreign group that the insurance company governed by Belgian law forms part of (cf. section 13.2 below).

13.1. SPECIFIC GOVERNANCE REQUIREMENTS FOR BELGIAN GROUPS

Two categories of insurance groups are subject to the Bank's supervision: the insurance groups subject to the Bank's supervision pursuant to Article 343 of the Solvency II Law and the Belgian conglomerates as defined in Article 451 of the Solvency II Law.

13.1.1. Rules for Belgian groups

For Belgian groups, the Solvency II Law provides for two categories of group requirements as regards governance:

- (i) requirements that must be met **at a group level**, i.e.:
 - a. for insurance groups that come under the supervision of the Bank: pursuant to Articles 392 to 398 of the Solvency II Law, requirements on organisation in the broad sense (Section VII, Chapter II, Title I of Book II of the Law or Articles 42 to 60 of the Law), as regards the management structure (Section III, Chapter III, Title II of Book II of the Law or Articles 77 to 83 of the Law), on systems for risk management, internal control and reporting;
 - b. for financial conglomerates that come under the supplementary supervision of the Bank: pursuant to Articles 464 to 466, 468 and 469 of the Solvency II Law, requirements on risk management, internal control, management structure and reporting;
- (ii) requirements that apply to **individual holding** companies, i.e.:
 - a. for insurance holding companies governed by Belgian law and mixed financial holding companies governed by Belgian law at the head of an insurance group that comes under the supervision of the Bank: pursuant to Article 443 of the Solvency II Law, supervision of shareholdership (Articles 39 and 64 to 72), 'Fit & Proper' requirements (Articles 40, 41, 81, 82 and 83), the setting up of a management committee (Articles 45 and 46, §§ 1, 3 and 4 and 47), and the rules relating to loans and insurance policies for managers (Articles 93 and 94) with the possibility in case of non-compliance with these rules of the application of mandatory measures and exceptional recovery measures pursuant to Articles 508, § 1 and 517;
 - b. for mixed financial holding companies governed by Belgian law at the head of a financial conglomerate that comes under the supervision of the Bank: pursuant to Article 470 of the Solvency II Law, supervision of shareholdership (Articles 39 and 64 to 72), Fit & Proper requirements (Articles 40, 41, 81, 82 and 83), the setting up of a management committee (Articles 45 and 46, §§ 1, 3 and 4, and 47), and the rules relating to loans and insurance policies for managers (Articles 93 and 94), with the possibility in case of non-compliance with these rules of the application of mandatory measures and exceptional recovery measures pursuant to Articles 508, § 1 and 517;

In practice, the Solvency II Law stipulates that all rules relating to the governance system included in this Circular apply to insurance groups governed by Belgian law (*mutatis mutandis* application of the individual rules at a group level)⁴³ and that the Bank is responsible supervising compliance with these rules.

The rules for financial conglomerates with predominantly insurance activities are not covered in this Circular as there are no such financial conglomerates in Belgium.

Consequently, the Bank expects the entity responsible for an insurance group governed by Belgian law to comply with all the rules included in this Circular. Additionally, the three specific requirements for governance at group level stated in points 13.1.4. to 13.1.6. below, also apply to this responsible entity. The way in which the company complies with all these rules is explained in the Group RSR.

13.1.2. Distinction between insurance holding company and mixed-activity insurance holding company

In accordance with Article 338, 5° of the Solvency II Law, an “**insurance holding company**” is “a parent undertaking which is not a mixed financial holding company, and the main business of which is to acquire and hold participations in subsidiaries where those subsidiaries are exclusively or mainly insurance or reinsurance companies, or third-country insurance or reinsurance companies, at least one of such subsidiaries being an insurance or reinsurance company”. In accordance with Article 338, 6° of the Solvency II Law, a “**mixed-activity insurance holding company**” is “a parent undertaking other than an insurance or reinsurance company, a third-country insurance or reinsurance company, an insurance holding company or a mixed financial holding company, which includes at least one insurance or reinsurance company among its subsidiaries”.

In order to determine when a company’s main activity can be considered to consist of acquiring and holding participations in subsidiaries that are exclusively or mainly insurance or reinsurance companies, and, as a result, whether the company is an insurance holding company, the Bank analyses the situation based on at least the following criteria:

- a) size of the balance sheet total of the subsidiary insurance or reinsurance company or companies in relation to the balance sheet total of the group;
- b) amount of the turnover (revenue) of the subsidiary insurance or reinsurance company or companies in relation to the overall turnover of the group;
- c) amount of the operating results of the subsidiary insurance or reinsurance company or companies in relation to the overall operating results of the group;
- d) number of FTEs in the subsidiary insurance or reinsurance company or companies in relation to the total number of FTEs in the group;
- e) number of companies with the legal status of subsidiary insurance or reinsurance company in relation to the total number of companies belonging to the group.

If, on the basis of this analysis, the Bank finds that the holding company’s main activity consists of holding one or more insurance companies, this company should be considered an insurance holding company and is required to submit the group reporting described in the eCorporate Communication to the Bank. If the Bank finds that the holding company’s main activity does not consist of holding one or more insurance companies, this company should be considered a mixed-activity insurance holding company and its reporting to the Bank required shall be determined on a case-by-case basis by the Bank and the said company, in accordance with Article 422 of the Solvency II Law.

13.1.3. Specific governance system requirements for Belgian groups

13.1.3.1. Responsibilities as regards establishing internal governance requirements

The entity responsible for the group shall establish internal governance requirements for the whole group commensurate with the structure, activities and risks of the group and associated entities, and set up an appropriate structure and organisation for group-level risk management, with a clear allocation of responsibilities between all companies in the group.

⁴³ With the exception of Belgian insurance groups headed by a mixed-activity insurance holding company, for which governance is limited to the existence of appropriate administrative and accounting procedures and adequate internal control (Article 450, § 1 of the Solvency II Law).

The entity responsible for the group shall not prejudice the responsibilities of the management or supervisory bodies of the companies that form part of the group as part of the implementation of their governance system.

13.1.3.2. Group-level internal governance system

Without prejudice to the obligation to have a risk system at an individual level, the entity responsible for the group:

- a) has appropriate and effective instruments, procedures and responsibility and reporting lines to supervise and steer the operation of the risk management system and internal control system at an individual level;
- b) has reporting lines and effective systems within the group to ensure adequate information flows within the group from the top down and vice versa;
- c) informs all companies within the group on the instruments used to identify, measure, manage, monitor and report all risks to which the group is exposed, and provides these companies with the necessary documentation on the subject;
- d) takes into account the interests of all the companies that form part of the group and the ways in which these interests contribute to the common long-term objectives of the group as a whole.

13.1.3.3. Interaction between the management bodies of the entity responsible for the group and the management bodies of subsidiaries

The board of directors and management committee of the entity responsible for the group shall work effectively with the management or supervisory bodies of all the companies within the group that have a significant influence on the risk profile of the group, by asking for information in anticipation and asking for reports from the management or supervisory bodies of the companies that belong to the group and that have made decisions on aspects that could have an impact on the group.

13.1.4. Specific risk management system requirements for Belgian groups

13.1.4.1. Role of the board of directors and management committee of the entity responsible for the group in the risk management system

The board of directors and management committee of the entity responsible for the group shall ensure the effectiveness of the risk management system for the group as a whole. This group risk management system must at least include the following:

- a) the strategic decisions and policies relating to risk management at a group level;
- b) the definition of the risk appetite and general risk tolerance limits of the group;
- c) the recognition, measurement, management, monitoring and reporting of risks at a group level.

The board of directors and management committee of the entity responsible for the group shall also ensure that their strategic decisions and policies are in line with the group structure, the scale and specific characteristics of the companies that form part of the group.

The entity responsible for the insurance group shall ensure that the policy is applied consistently throughout the entire group. The policy of the subsidiaries should therefore be in line with the policy of the group.

13.1.4.2. Group-level risk management

The entity responsible for the group shall rely on adequate processes and procedures for its group-level risk management to identify, measure, manage, monitor and report the risks to which the group or each individual entity is or could be exposed.

The entity responsible for the group shall ensure that the structure and the organisation of the group-level risk management does not take away from the legal responsibility of the subsidiaries to comply with their legal, regulatory, and contractual obligations.

13.1.4.3. Risks with a significant effect at group level

The entity responsible for the group shall take into consideration the risks both at an individual level and group level in its risk management system, as well as interdependencies, and in particular:

- a) the reputational risk and risks arising from intra-group transactions and risk concentrations, including risk contagion, at a group level;
- b) the interdependencies between risks arising from conducting activities through different entities and in different jurisdictions;
- c) risks arising from entities in third countries;
- c) risks arising from unregulated entities;
- e) risks arising from other regulated entities.

13.1.4.4. Group-level risk concentrations

The entity responsible for the group shall ensure that there are procedures and processes for detecting, measuring, managing, monitoring and reporting risk concentrations.

13.1.4.5. Intra-group transactions

The entity responsible for the group shall ensure that the risk management system for the group and individual companies have processes and reporting procedures for detecting, measuring, monitoring, managing and reporting intra-group transactions, including significant and very significant intra-group transactions as referred to in the Solvency II Law.

13.1.5. Specific organisational requirements for Belgian groups

13.1.5.1. Organisational and operational structure

The board of directors and management committee of the entity responsible for the group shall assess at group level the consequences of changes in the structure of the group for the long-term financial situation of the companies that form part of the group and apply the necessary adjustments on time.

To be able to take appropriate measures, the board of directors and management committee of the entity responsible for the group should have sufficient knowledge of the organisational structure of the group, the business model of the various companies, the links and relationships between the companies and the risks arising from the structure of the group.

13.1.5.2. Internal controls

The entity responsible for the group shall ensure consistent enforcement of the internal control system within the group.

13.1.5.3. Independent control functions

The independent control functions in the group should be coordinated.

As regards internal audit, the entity responsible for the group ensures that the internal audit policy at group level shall describe how the internal audit function coordinates the internal audit activity within the group and ensure compliance with the internal audit requirements at a group level.

13.1.5.4. Outsourcing within a group

For the outsourcing of functions, activities or tasks within the group, please refer to point 7.4.2 above. Without prejudice to outsourcing rules that the individual insurance companies have to follow, the entity responsible for the group shall draw up the documentation that shows what functions relate to what legal entity, and ensure that the outsourcing contracts do not derogate from the exercise of critical or important functions, activities or tasks at the subsidiary level.

13.1.5.5. Remuneration

The entity responsible for the group shall establish a remuneration policy for the whole group and apply this policy. This policy shall take into account the complexity and structures of the group to establish, develop and enforce a consistent policy for the whole group in line with the group's risk

management strategies. The policy shall apply to all relevant persons at group level and at the level of each subsidiary.

The entity responsible for the group shall ensure the following:

- a) the general consistency of the remuneration policy of the group, by ensuring that this complies with the legal requirements for companies that form part of a group and by supervising the right application thereof;
- b) that all companies belonging to the group meet the requirements regarding remuneration;
- c) that material risks at group level connected to aspects of the remuneration within the group's companies are managed.

13.2. GOVERNANCE ASPECTS FOR INSURANCE COMPANIES GOVERNED BY BELGIAN LAW THAT FORM PART OF A FOREIGN GROUP

If the insurance company governed by Belgian law forms part of a foreign group, it should be ensured that the organisation and steering of the group does not derogate from the responsibility of the board of directors and management committee of the subsidiary.

13.2.1. Distribution of tasks between the parent undertaking and subsidiary

The subsidiary's management committee and board of directors in particular shall ensure that the organisation of the group complies with the rules and obligations of the subsidiary as an independent legal person and regulated undertaking. This can concern decisions or practices at a group level that contravene: (i) legal and regulatory provisions or prudential rules to which the subsidiary is subject; (ii) technical rules and regulations or codes regulating the activity under a public law statute; (iii) the sound and prudent management and financial equilibrium of the subsidiary; or (iv) the interests of its own stakeholders and the protection of insureds.

In the exercise of their corporate responsibility, the directors of the subsidiary must have appropriate resources to safeguard the interests of the company with the involvement of its stakeholders. For this purpose, group internal mechanisms must be put in place to allow certain decisions or practices at a group level to be identified in this light and brought to the attention of the management bodies of the subsidiary and parent undertaking.

Depending on the group's management model, these internal mechanisms shall rely for example on a robust supervisory function within the board of directors of the subsidiary, the presence in the management bodies of the subsidiary of directors that are independent from the parent undertaking, or the effective independent control functions of the subsidiary.

13.2.2. Managing conflicts of interest

Diverging interests at a group level must be identified, prevented or managed. These can include:

- i. conflicts of interest arising from the exercise of activities that could create mutual conflicts;
- ii. intra-group transactions and capital distribution within the group;
- iii. diverging interests between the parent undertaking and subsidiaries or between subsidiaries themselves, e.g. regarding the allocation of corporate opportunities;
- iv. group decisions exercised for the various professions by the various subsidiaries that have a varying impact on the management of their financial situation.

Receivables from related parties must be monitored and handled in accordance with the policy established and form part of an appropriate reporting to the bodies of the insurance company and of the group.

14. ASSESSMENT OF THE EFFECTIVENESS OF THE GOVERNANCE SYSTEM

Regulatory framework:

1. Solvency II Law: Articles 77, § 1 (role of the board of directors), 80, § 2 (reporting to the management committee), and 331 (reporting by the accredited statutory auditor)
2. Delegated Regulation 2015/35:
3. Underlying thematic NBB Circular: [Circular NBB 2017 20](#) of 9 June 2017 on the duty of cooperation of the accredited statutory auditors.
4. EIOPA Guidelines: /

The Solvency II Law specifies that the board of directors reports once a year to the management committee of the insurance company, the accredited statutory auditor and the Bank on the assessment of the effectiveness of the governance system and on the measures taken to tackle any potential deficiencies.

14.1. RESPECTIVE ROLES OF THE MANAGEMENT COMMITTEE AND OF THE BOARD OF DIRECTORS IN ASSESSING THE EFFECTIVENESS OF THE GOVERNANCE SYSTEM

Article 80, § 2 of the Solvency II Law sets out that the “management committee” [...] report[s] at least once a year to the statutory governing body, the accredited statutory auditor and the Bank on the evaluation of the effectiveness of the governance system [...] and on the measures that, where applicable, are taken to tackle any non-conformity”.

This Article therefore implies two actions for the management committees of insurance companies:

- introducing a method to specifically implement an assessment of the suitability of the governance system; and
- drawing up and annually approving a report on the assessment of the effectiveness of the governance system and the measures taken to tackle any deficiencies identified.

Based on this, the board of directors of the insurance companies must, pursuant to Article 77 of the Solvency II Law “regularly and at least once a year assess the effectiveness of the company’s governance system [...] and the extent to which it complies with the obligations laid down by or pursuant to the [Solvency II Law] [...]” and ensure “that the management committee take[s] the necessary measures to tackle any non-conformity”.

14.2. METHOD FOR ASSESSING THE EFFECTIVENESS OF THE GOVERNANCE SYSTEM

To give their reports on the assessment of the effectiveness of the governance system a solid basis, the management committees of the insurance companies shall use, wherever possible, a generally accepted assessment method (such as the COSO framework for internal control). This method in particular describes the rules to be followed in the area of documentation.

14.3. REPORTING BY THE MANAGEMENT COMMITTEE ON THE ASSESSMENT OF THE EFFECTIVENESS OF THE GOVERNANCE SYSTEM

14.3.1. Objectives of the report

The reporting by the management committee of the insurance companies to the board of directors, the accredited statutory auditor and the Bank on the assessment of the effectiveness of the governance system has the following objectives:

- ensuring that the company verifies that the legal and regulatory requirements relating to the governance system are complied with and verifying that the measures taken to guarantee such compliance are effective; and

- where applicable, enabling the Bank to monitor the application of the measures undertaken by the management committee to tackle any potential deficiencies in the governance system.

14.3.2. Changes as regards the “reporting by the senior management on the internal control”

The management committee report on the assessment of the effectiveness of the governance system is along the lines of the “reporting by the senior management on the assessment of the internal control system”, the content of which is detailed in Circular CBFA_2009_26 of 24 June 2009. The “reporting on the internal control” is in fact replaced by the “reporting on the effectiveness of the governance system”.

The main changes in the “reporting by the management committee on the assessment of the effectiveness of the governance system” compared to the “reporting by the senior management on the internal control system” are the following:

- a *ratione materiae* extension of the scope of application of the reporting, which must relate to all aspects that form part of the notion of ‘governance system’ (cf. the domains included in **Annex 1**);
- elimination of the descriptive part on the organisation, work and risk management of the insurance company, in the reporting on the internal control, given that this information must already be included in the RSR (Regular Supervisory Report, cf. Chapter 15 of this Circular); and
- special attention in the assessment for the aspects relating to the effectiveness of the measures taken as part of the implementation of the governance system.

14.3.3. Content of the report on the assessment of the effectiveness of the governance system

The reporting by the management committee on the assessment of the effectiveness of the governance system must comprise two parts:

- 1) the assessment of the governance system conducted during the financial year; and
- 2) an overview of the measures that were or will be taken to tackle any potential deficiencies established.

When preparing these two parts, account must be taken of the nature, scale and complexity of the risks inherent to the company’s business model and activity.

§ 1. Assessment by the management committee of the governance system (PART 1 of the report)

Part 1 of the report is in fact a self-assessment by the management committee of the various components of the governance system. Self-assessment is conducted based on the method explained in point 14 above.

The Bank expects this part to include an assessment of the various domains included in **Annex 1** (recommended template for the reporting to the management committee on the assessment of the effectiveness of the governance system). It should be noted that this template is in line with the structure of the RSR as established in Annex XX (20) of Delegated Regulation 2015/35.

If the self-assessment for a particular domain results in a positive assessment of the suitability of the measures taken in that domain, in view of the legal requirements, the report may be limited to stating the same. If, however, deficiencies are identified in a specific domain during the financial year, and if during the period covered measures were taken to remedy this situation, the management committee gives a clear explanation of these deficiencies, the measures taken, and the aspects taken into account to justify the positive assessment of that domain.

If, however, an aspect leads to a nuanced or even a negative assessment, this must be explained in the report in such a way that the board of directors, the accredited statutory auditor and the Bank can clearly identify the deficiencies established.

§ 2. Overview of the measures that were or will be taken to tackle any potential deficiencies established (PART 2 of the report)

The Bank expects part 2 of the report to include the list of measures that the management committee has taken or plans to take to tackle any potential deficiencies. This list of measures also follows, as much as possible, the structure included in **Annex 1** of this Circular.

14.3.4. Form, executive summary and regularity

§ 1. Form

Annex 1 of this Circular is a template recommended by the Bank constituting a minimum checklist. The companies must adjust it based on their organisation and the risks to which they are exposed. The form and structure of the reporting must be consistent from year to year however, to be able to make comparisons and identify developments. The report shall be signed by the person/persons who may jointly represent the management committee and is provided to the Bank through e-Corporate.

§ 2. Preparation of an executive summary

The detailed report must be preceded by an executive summary of the main aspects of the two parts of the report.

- a) The “high level” results of the assessment of the eight parts of the report, with special attention for serious deficiencies established after this assessment; and
- b) Where applicable, a list of measures that the company has taken or plans to take to tackle any potential deficiencies.

A clear distinction is therefore made between the important and less important aspects, to give more weight to the message of the report (cf. communication of 16/11/2015 on the internal control reporting).

§ 3. Regularity of the reporting

The report shall be drawn up on an annual basis. It shall be provided to the Bank and the accredited statutory auditor along with the RSR and the Solvency and Financial Condition Report (SFCR). Subsequently, the report on the effectiveness of the governance system and the annual update of the governance memorandum should also be submitted.

The report on the effectiveness of the governance system must be provided to the Bank through the e-Corporate platform.

14.4. COHERENCE BETWEEN THE REPORT FROM THE MANAGEMENT COMMITTEE AND THE REPORT FROM THE ACCREDITED STATUTORY AUDITOR

In accordance with Article 331 of the Solvency II Law, the accredited statutory auditors shall assess the “internal control measures that the insurance [...] companies have taken in accordance with Article 42, § 1, 2° [of the Solvency II Law]” and “share their findings on the subject with the Bank”. Article 42, § 1, 2° of the Solvency II Law refers to an “appropriate [...] internal control, especially including control procedures that provide a reasonable level of assurance of the reliability of the reporting process”.

Accredited statutory auditors are expected to align the scope of their work in the area of internal control with the various domains included in **Annex 1**.

For more information on the content of this report, please refer to [Circular NBB 2017 20 of 9 June 2017](#) on the duty of cooperation of the accredited statutory auditors.

15. REPORTING ON GOVERNANCE

Regulatory framework:

1. Solvency II Law: Articles 42, § 1, 10 ° (introduction of a reporting system), 42, § 3, and 77, § 6 (governance), 95 to 101 (SFCR), 80, § 5 and 199 to 203 (periodic provision of information and accounting rules), and 312, § 2 (prudential reporting)
2. Delegated Regulation 2015/35: Articles 258(1)(a) (internal reporting system) and (h) (system for reliable information), 290 et seq. (content of the SFCR), 304 et seq. (content of the RSR), 359 et seq. (SFCR for groups), 372 (RSR for groups), and Annex 20 (structure of the SFCR and RSR)
3. Underlying thematic NBB Circular: eCorporate Communication NBB_2019_22
4. EIOPA Guidelines: /

The Solvency II Law and Delegated Regulation 2015/35 require insurance companies to prepare several reports on governance, to enable the public and the Bank, as the prudential supervisory authority, to assess the suitability of their governance system.

15.1. COHERENCE BETWEEN THE SFCR, RSR AND GOVERNANCE MEMORANDUM

In addition to the ORSA report (cf. Chapter 3 above) and the reports by the management committee on the assessment of the effectiveness of the governance system (cf. Chapter 14 above), the main 'qualitative' reports are:

1. the Solvency and Financial Condition Report (hereinafter referred to as the '**SFCR**'), a report on an annual basis intended for the public, the content of which is set out in Delegated Regulation 2015/35 (Article 290 et seq.)⁴⁴;
2. the 'governance system' section of the Regular Supervisory Report (hereinafter referred to as the '**RSR**'), which is provided to the Bank every three years for the exercise of prudential supervision, the content of which is also set out in Delegated Regulation 2015/35 (Articles 308 et seq.); and
3. the governance memorandum, a report on an annual basis to the Bank, the content of which is set out in Article 42, § 3 of the Solvency II Law.

Since the entry into force of the Solvency II Law, the Bank has reviewed a large number of these reportings. It has also received requests to simplify the qualitative reportings in order to avoid overlap. In this context, the Bank noted that:

- the original coherence between the aforementioned reportings (with the governance memorandum being qualified as the 'key reporting' centralising all information on governance) should be reviewed;
- the system for submitting certain reportings to the Bank could be adapted;
- the frequency for submitting the RSR should be made more granular.

The main pillars for the review of the qualitative reportings are as follows:

- (i) the complete integration of the governance memorandum in the chapter on "Governance system" of the RSR (which is currently the 'key reporting' for all aspects, including those related to governance);

⁴⁴ Regarding language use for the SFCR, the executive summary should be drawn up in one or more national languages (depending on the location of the insurance company's registered office) and the Bank allows detailed information to be drafted in a single language, i.e. in Dutch, French or English, the latter being commonly used in the world of finance.

- (ii) the revision of the frequency for submitting the RSR, which will become annual for significant companies and remain triennial for less significant companies (with annual notification of changes);
- (iii) the revision of the procedure for submitting certain reportings on governance;
- (iv) conditional authorisation to include references in the RSR;
- (v) definition of conditions to be complied with in order to be allowed to centralise multiple reportings in a single group report.

15.2. INTEGRATION OF THE GOVERNANCE MEMORANDUM IN THE RSR

The governance memorandum should be integrated in its entirety in the chapter on “Governance system” of the RSR.

Insofar as the structures of the governance memorandum and the RSR have already been aligned, this integration should be straightforward. However, it should be noted that certain “Belgian characteristics” present in the governance memorandum will have to be included in the chapter on “Governance system” of the RSR from now on, in particular:

- Detailed information on the manner in which the following criteria are taken into account for the composition of the management bodies: number of directors, duration and rotation of mandates, upper age limit, gender etc.;
- Information regarding the insurance company’s internal rules on external functions and incompatibilities;
- Information on loans, credits or guarantees and insurance policies granted to managers by the insurance company;
- Remuneration figures;
- Information on the organisation of the independent control functions i.e. the risk management function, the actuarial function, the compliance function and the internal audit function;
- Information on the insurance company’s organisational and operational structure and on the financial and accounting organisation;
- Information on the financial and prudential reporting;
- Information on the integrity rules in place (whistleblowing, conflicts of interest etc.);
- Information on the IT infrastructure (IT system, continuity policy, clouds etc.);
- Information on any shareholder charters.

Annex 2 includes a template that clearly specifies where the Belgian characteristics must be integrated in the chapter on “Governance system” of the RSR. The insurance companies are asked to follow this template.

15.3. REVISION OF THE FREQUENCY FOR SUBMITTING THE RSR

The frequency for submitting the RSR has been revised. In practice, the frequency for submitting the RSR is no longer identical for significant insurance and reinsurance companies/groups and less significant insurance and reinsurance companies/groups.

In accordance with the proportionality criteria included in the introduction of this Circular, the following system applies:

- Annual submission for significant insurance and reinsurance companies/groups, and
- Triennial submission for less significant insurance and reinsurance companies/groups (with annual notification of changes),

in both cases without prejudice to the fact that the Bank can, at any moment, request a complete ad hoc revision of the RSR when it finds that the company or group no longer functions or is at risk of no longer functioning in compliance with the Solvency II Law.

As specified in the eCorporate Communication, insurance and reinsurance companies/groups are informed of their classification as “significant company/group” or “non-significant company/group” **through an individual *ad-hoc* letter sent by the Bank.**

Moreover, by way of exception, the Bank reserves the right to compel less significant companies/groups to submit the RSR annually on the basis of their risk profile. In that case, they are informed of this decision by the Bank.

15.4. REVISION OF THE PROCEDURE FOR SUBMITTING CERTAIN REPORTINGS ON GOVERNANCE

The Bank considers that certain reportings no longer need to be uploaded systematically to the eCorporate platform but should be made available to the Bank at its first request.

The reportings which must now be submitted at first request are the activity reports and the action plans of the independent control functions (reports that are primarily intended for the company's internal management bodies and which are then made available to the Bank).

For more information on this subject, please refer to Annex 1 to the eCorporate Communication, in which a column was added to specify which reportings must be submitted systematically and which reportings must be made available to the Bank at its first request.

15.5. CONDITIONAL AUTHORISATION TO INCLUDE REFERENCES TO INTERNAL DOCUMENTS IN THE RSR

It should be possible to read the chapter on "Governance system" of the RSR as a standalone document. However, references to internal documents are allowed for specific detailed information.

In practice, the RSR should include a short summary by theme providing an overview of the topic covered, and references can be made to other documents for more detailed information. The RSR should not be a collection of cross-references.

Additionally, for references to detailed information, the Bank asks that the company tasks the independent control functions risk management and compliance specifically with coordinating the RSR, in order to ensure (i) that the RSR remains comprehensible and coherent, (ii) that the references made actually correspond to detailed information, and (iii) that these references are made to existing documents that are sufficiently detailed/accurate so the underlying information can be retrieved quickly.

Two independent control functions are tasked with coordinating and ensuring the coherence of the RSR. In this regard, please refer to sections 5.2.1. (risk management function - extra task relating to the coordination and coherence of the RSR) and 5.4. (compliance function - coordination and coherence of the RSR). Additionally, the rules described above, requiring the RSR to include a short summary by theme and allowing references to other documents for detailed information, also apply to the other chapters of the RSR. For these other chapters, the aforementioned coordination task is conferred upon the risk management function.

15.6. GROUP REPORTINGS

15.6.1. Group reportings by the entity responsible for the group

The parent undertaking heading a Belgian group, regardless of whether this is (i) a participating insurance company, (ii) an insurance holding company governed by Belgian law, (iii) a mixed financial holding company or (iv) a mixed-activity insurance holding company governed by Belgian law, is responsible for establishing the group reportings and submitting them to the Bank, save in exceptional cases where the Bank allows a subsidiary entity to be the entity responsible for an insurance or reinsurance group governed by Belgian law instead of the aforementioned parent undertaking.

The list of governance reportings expected from Belgian insurance groups is included in the eCorporate Communication⁴⁵. The main reportings are: (i) a Group SFCR, (ii) a Group RSR and (iii)

⁴⁵ Except for Belgian insurance groups headed by a mixed-activity insurance holding company (cf. Article 343, first paragraph, 4° of the Solvency II Law), for which the expected reporting is determined on a case-by-case basis by the Bank and the mixed-activity insurance holding company, in compliance with Article 450 of the Solvency II Law.

a Group ORSA. These reportings should generally contain the same information as that required from the individual companies (taking into account the principle of proportionality)⁴⁶.

15.6.2. Possibility of centralising multiple reportings in a single group report

With the prior authorisation of the Bank (or, for subsidiaries of foreign groups, of the European supervisory authority that is the group supervisor), insurance groups can centralise multiple reportings of entities belonging to the group in a single report. This applies to two reports:

- (i) the Solvency and Financial Condition Report (SFCR) and
- (ii) the ORSA.

As the legal texts do not provide for this possibility with regard to the Regular Supervisory Report (RSR), an RSR should be drawn up for each entity concerned of the group.

§1. A single group SFCR

Authorisation to publish a single group Solvency and Financial Condition Report (single SFCR) enables the head of the group to publish a single SFCR pertaining to both the group and its subsidiaries.

If the group chooses this option, it must, in addition to complying with its publishing obligations, submit the single document to the group's supervisory authority. A summary of the document should be translated into the languages of each subsidiary, and the subsidiaries' supervisory authorities may also demand that parts of the single document relating to the companies under their control be translated into their language.

The single group Solvency and Financial Condition Report can be limited to the group and some of its subsidiaries. In that case, the group's other subsidiaries are required to publish an individual Solvency and Financial Condition Report.

§2. A single group ORSA

If the group chooses to draw up a single group ORSA, it shall submit this single document to all supervisory authorities concerned simultaneously. The supervisory authorities may demand that parts of the single document relating to the companies under their control be translated into their language.

In any case, the single document should provide the supervisory authority concerned with the same level of information on each company as an individual SFCR or ORSA report would have.

§3. Application file and procedure

In order to obtain the aforementioned authorisation from the Bank as group supervisor, the companies must contact the Bank as soon as possible to determine the content of the information to be provided. Where appropriate, the Bank will consult the supervisory authorities of the foreign subsidiaries concerned.

If the group has chosen to draw up a single SFCR or ORSA, it must continually ensure that this single report contains the following information:

- i. the same information as required individually from the insurance companies concerned;
- ii. a description of the way each company of the group complies with the governance requirements and, in particular, of the involvement of these companies' management bodies (board of directors and management committee) in the assessment and approval of the single report; and
- iii. a description of the single report's layout to enable the Bank or, where appropriate, the other supervisory authorities concerned to easily identify the individual information relating to the different insurance companies belonging to the group (individually identifiable information).

⁴⁶ For the "Governance system" chapter of the Group RSR, please refer to Part II of Annex II to this Circular.

Authorisation from the Bank to publish a single SFCR or ORSA remains valid as long as the perimeter covered by this report remains unchanged.

Annex 1 - Recommended template for the management committee's reporting on the assessment of the effectiveness of the governance system

1. Template for insurance companies

NB: This template includes the minimum list of the areas which must be assessed in terms of the effectiveness and efficiency and that must be included in the reporting of the management committees of insurance companies on the effectiveness of the governance system.

1. Management structure, remuneration and shareholdership

1.1. Management structure

- a) Board of directors (composition, tasks, operation)
- b) Management committee (composition, tasks, operation)
- c) Specialist committees of the board of directors (composition, tasks, operation)

1.2. Remuneration

- a) Policy
- b) Implementation process

1.3. Shareholdership

- a) Process for monitoring changes in the shareholder structure

2. Fit & proper, external functions and transactions with managers

2.1. Fit & proper

- a) Policy
- b) Implementation process

2.2. External functions and incompatibilities

- a) Internal rules
- b) Implementation process

2.3. Loans, credits or guarantees and insurance policies for managers

- a) Process for monitoring transactions with managers

3. Risk management system, ORSA process and risk management function

3.1. Risk management system

- a) Framework for risk appetite and tolerance limits
- b) General risk management policy
- c) Specific policies per risk
- d) System for identifying and measuring risks
- e) Risk reporting system
- f) Implementation process

3.2. ORSA process

- a) ORSA policy
- b) Implementation process

3.3. Risk management function

3.4. Contingency plans

4. Organisational structure, internal control system, compliance function, integrity and IT infrastructure

4.1. Operational structure

- a) Administrative organisation
- b) Supporting functions
- c) Process for financial and statistical reporting (annual accounts, periodic prudential reports and statistics)

4.2. Internal control system

4.3. Financial management

- a) Investments/'prudent person' principle: policy and implementation process
- b) Capital management: policy and implementation process
- c) Valuation of assets and liabilities other than technical provisions: policy and implementation process

4.4. Compliance function

4.5. Integrity policy

- a) Policy covering at least (i) the company goals and values, (ii) the prevention of money laundering and terrorist financing (in case of life insurance activities), (iii) whistleblowing, and (iv) conflicts of interest
- b) Policy
- c) Implementation process

4.6. IT infrastructure

- a) Continuity policy and implementation process
- b) IT security
- c) Where applicable cloud computing

5. Internal audit function

6. Actuarial function

7. Outsourcing

- a) Policy
- b) Supervisory model

8. Other relevant areas of governance

- a) The interaction with the entity heading up the group (when the company forms part of a group that does not come under the Bank's supervision)
- b) All other domains that are deemed relevant to assess the governance system

II. Template for the entity responsible for a group governed by Belgian law

In accordance with Articles 392 to 398, 443, 464 to 470 of the Solvency II Law, the management committee of the entity responsible for a group governed by Belgian law assesses the effectiveness/suitability of all aspects in point I above and the specific domains for the group aspects below:

8.1. Group-level internal governance system

- a) Mechanisms for interaction between the management bodies of the entity heading up the group and that of the subsidiaries
- b) Mechanisms for interaction between the independent control functions of the entity heading up the group and that of the subsidiaries

8.2. Group-level risk management system

8.3. Organisational aspects relating to the group:

- a) Organisational structure of the group
- b) Internal control system of the group
- c) Policy and procedures of the group
 - a. Intra-group transactions
 - b. Outsourcing within the group
 - c. Conflicts of interest within the group
 - d. Remuneration, etc.

Annex 2 - Template for the chapter on “Governance system” of the RSR

I. Template for insurance companies

NB: the information requested by the NBB in addition to the information provided for in Delegated Regulation 2015/35 is designated below as a “Belgian characteristic”.

Sub-chapters and sections of the chapter on “Governance system” of the RSR
1. Management structure, remuneration and shareholdership
1.1. Management bodies
Description of the <u>tasks</u> and responsibilities of at least
(i) the board of directors
(ii) the management committee (or senior management); and
(iii) where applicable: the audit committee/risk committee/remuneration committee
Description of the <u>composition</u> and <u>operation</u> (frequency of meetings, internal regulations, internal rules on composition, etc.) of at least
(i) the board of directors
(ii) the management committee (or senior management); and
(iii) where applicable: the audit committee/risk committee/remuneration committee
1.2. Remuneration
General information on the <u>remuneration policy and remuneration practices</u> that apply to the members of the board of directors and the management committee, the persons responsible for independent control functions, the members of staff deemed “risk takers” and employees, including the manner in which the principles of Article 275 of the Delegated Regulation 2015/35 is complied with.
If the company has identified staff receiving significant remuneration within the meaning of Chapter 8 of this Circular, specific and detailed information on how the requirements set out in section 8.4. are complied with in practice.
<u>Belgian characteristics:</u>
- The <u>remuneration entitlements</u> of the members of the board of directors, the management committee, the persons responsible for independent control functions and of the “risk takers” during the reporting period => quantitative information to be submitted through OneGate
- Explanatory memorandum "Non-compliance Section 8.4." => ad hoc reporting to be submitted through eCorporate
1.3. Shareholdership
Information on the <u>shareholders who have a qualifying holding</u> in the company and, where applicable, information on the <u>group structure</u> .
Information on the <u>material transactions executed</u> during the reporting period <u>with shareholders</u> , and persons that exercise a significant influence on the company (stating any cross-participations)
<u>Belgian characteristic:</u> Information on any <u>shareholder/member charters</u> for the company

2. Fit & proper, external functions and transactions with managers
2.1. Fit & proper
Description of the <u>Fit & Proper requirements</u> applied by the company to the members of the board of directors and management committee and to the persons responsible for independent control functions (summary of the Fit & Proper policy)
Description of the <u>procedures</u> for assessing the fitness and propriety of the members of the board of directors and the management committee and of the persons responsible for independent control functions
Detailed information on the <u>policies and processes established</u> by the company to ensure that those persons are permanently fit and proper
<u>Belgian characteristic</u> : Description of the implementation of the following criteria relating to the composition organisation of the management bodies: <u>number of directors, duration and rotation of mandates, upper age limit, gender, etc.</u>
2.2. External functions and incompatibilities
Description of the principles included in the company's <u>internal rules on external functions and incompatibilities</u>
2.3. Loans, credits or guarantees and insurance policies for managers, shareholders, related institutions and related persons
<u>Belgian characteristic</u> : Information on the <u>material transactions</u> executed during the reporting period with members of the board of directors or the management committee, the qualified shareholders, related institutions and related persons and especially the list of loans/credits or guarantees of more than € 100,000 => summary in the RSR and figures to be included in eCorporate as reporting B.10
3. Risk management system, ORSA process and risk management function
3.1. Risk management system
Description of the company's <u>risk management system</u> , including the strategies, processes and reporting procedures applied in that respect, as well as the way in which this system succeeds in effectively and permanently identifying, calculating, monitoring, managing and reporting the risks to which the company is exposed or could be exposed on an individual or aggregate level
Description of the way in which the risk management system, including the risk management function is <u>integrated in the company's organisational structure</u> and decision-making process
For each risk category, the information on the company's <u>objectives, strategies, processes and reporting procedures</u> for risk management
Information on <u>significant risks</u> to which the company is exposed in its insurance obligations and on the way in which these are taken into account in its overall solvency needs
Information on <u>all material risks</u> that the company has identified and that are not fully included in the calculation of the solvency capital requirement
Information on the way in which the company complies with its obligation to invest all of its assets in accordance with the <u>prudent person principle</u>
Information on the way in which the company verifies whether <u>credit assessments</u> by external credit assessment institutions are adequate, including how and the extent to which credit assessments from external credit assessment institutions are used
Results of the assessments regarding the <u>extrapolation of the risk-free rate</u> , the matching adjustment and the volatility adjustment

3.2. Own Risk and Solvency Assessment
Description of the company's <u>procedure</u> for complying with its obligation to conduct an Own Risk and Solvency Assessment as part of its risk management system, including how the Own Risk and Solvency Assessment is integrated into the company's organisational structure and decision-making process
Statement detailing the <u>frequency</u> with which the Own Risk and Solvency Assessment is reviewed and approved by the company's board of directors and management committee (where applicable the senior management)
<u>Statement</u> detailing how the company has determined its own solvency needs given its risk profile and how its capital management activities and its risk management system interact with each other
Detailed information on <u>the way in which the Own Risk and Solvency Assessments are conducted, documented and analysed internally</u>
Description of the way in which the Own Risk and Solvency Assessments are <u>integrated into the company's management and decision-making processes</u>
3.3. Risk management function
Description of the <u>tasks</u> and method of <u>implementation</u> of the risk management function
<u>Belgian characteristic:</u> Information on the <u>status</u> of the risk management function (place in the organisation chart, independence, reporting to the management bodies, charter, etc.) and its <u>organisation</u> (staffing resources, management of the function, methodology, interaction with the other control functions, etc.)
<u>Belgian characteristic:</u> Description of the company's <u>risk management charter/policy</u> , the process for evaluating that charter, frequency of the evaluation and any significant changes to the charter during the reporting period
3.4. Contingency plans
<u>Belgian characteristic:</u> Description of the <u>process for preparing</u> contingency plans (method used)
4. Operational structure, internal control system, compliance function, integrity and IT infrastructure
4.1. Organisational and operational structure
Information on the <u>allocation of responsibilities</u> and distribution of functions
<u>Belgian characteristic:</u> Information on the <u>organisational/operational structure</u> of the company: organisation chart, reporting lines, short overview of the main business units and of the supporting functions
<u>Belgian characteristic:</u> Information on the <u>financial and accounting process</u> : investment management, capital management, valuation of assets and liabilities other than technical provisions
<u>Belgian characteristic:</u> Information on the <u>financial and prudential reporting</u>
4.2. Internal control system
Description of the company's <u>internal control system</u> (objectives set by the management bodies, rules on reporting of identified risks, rules for monitoring procedures, staff training, documentation and filing, etc.)

Detailed information on the <u>key procedures</u> of the internal control system
List of responsible persons for independent control functions with, if relevant, (i) in case of outsourcing, information on the contact person responsible and the compliance with section 5.1.4. of the overarching governance circular and (ii) in case of combination of functions on the head of a responsible person for the independent control function, information on the compliance with section 5.1.5. of the overarching governance circular => names of the persons to be stipulated in eCorporate in the reporting B.12
4.3. Compliance function
Description of the <u>tasks</u> and method of <u>implementation</u> of the compliance function
<u>Belgian characteristic</u> : Information on the <u>status</u> of the compliance function (place in the organisation chart, independence, reporting to the management bodies, charter etc.) and its <u>organisation</u> (staffing resources, management of the function, methodology, interaction with the other control functions, etc.)
<u>Belgian characteristic</u> : Information on the <u>compliance charter/policy</u> , the process for evaluating that charter, frequency of the evaluation and any significant changes to the charter during the reporting period.
4.4. Integrity policy
<u>Belgian characteristic</u> : Description of the integrity policy validated by the company and of the broad guidelines included therein on at least the following subjects: (i) company goals and values, (ii) prevention of money laundering and terrorist financing (in case of life insurance activities), (iii) whistleblowing, and (iv) conflicts of interest
4.5. IT infrastructure and continuity
<u>Belgian characteristic</u> : Description of the principles taken into account as regards IT security, internet services and, where applicable, cloud computing
<u>Belgian characteristic</u> : Description of the principles included in the continuity policy
5. Internal audit function
Description of the <u>tasks</u> and method of <u>implementation</u> of the internal audit function (audit scope used, audit method used, etc.)
Description of the way in which the company's internal audit function maintains its <u>independence</u> and objectiveness regarding audited work.
<u>Belgian characteristic</u> : Information on the <u>status</u> of the internal audit function (place in the organisation chart, independence, reporting to the management bodies, charter, etc.) and its <u>organisation</u> (staffing resources, management of the function, methodology, interaction with the other control functions, etc.)
<u>Belgian characteristic</u> : Description of the company's <u>internal audit charter/policy</u> , the process for evaluating that charter, frequency of the evaluation and any significant changes to the charter during the reporting period;
6. Actuarial function
Description of the <u>tasks</u> and method of <u>implementation</u> of the actuarial function

<i>Belgian characteristic:</i> Information on the <u>status</u> of the actuarial function (place in the organisation chart, independence, reporting to the management bodies, charter, etc.) and its <u>organisation</u> (staffing resources, management of the function, methodology, interaction with the other control functions, etc.)
<i>Belgian characteristic:</i> Description of the company's <u>actuarial function charter/policy</u> , the process for evaluating that charter, frequency of the evaluation and any significant changes to the charter during the reporting period;
7. Outsourcing
Description of the main features of the insurance company's <u>outsourcing policy</u> including the process to determine whether a function or activity is a critical or important function or activity
<u>Perimeter</u> of all critical or important functions or activities which are outsourced => Detailed list to be included in eCorporate as reporting B.9.
Description of the <u>reasons</u> leading to the outsourcing of critical or important functions or activities
Description of the <u>mechanisms in place to monitor the outsourcing</u> of the critical or important functions or activities
Information on the <u>service providers to which critical or major operational functions or activities</u> are outsourced (list of persons responsible at the service providers) as well as the <u>way in which the company ensures that the service providers</u> comply with the requirements of Article 274(3)(a) of Delegated Regulation 2015/35 (performance indicators, identification of contact persons responsible, etc.)
In case of outsourcing of independent control functions, description of the measures taken to answer to the additional prudential framework rules foreseen in section 7.4.4. of the overarching governance circular (contact person responsible and direct reporting to the management bodies)
8. Other information
All other governance information that is relevant to assess the appropriate nature of the governance system set up by the insurance company

II. Template for the entity responsible for an insurance group governed by Belgian law

NB: the template below contains the same information as required from the individual insurance companies (insofar as this is relevant) plus some additional information on the group. The latter information is shown in **bold** below.

Sub-chapters and sections of the chapter on “Governance system” of the RSR
1. Management structure and shareholdership of the entity responsible for the group
1.1. Governing bodies
Description of the <u>tasks</u> and responsibilities of at least (i) the board of directors (ii) the management committee (or senior management); and (iii) where applicable: the audit committee/risk committee/remuneration committee
Description of the <u>composition</u> and <u>operation</u> (frequency of meetings, internal regulations, internal rules on composition, etc.) of at least (i) the board of directors (ii) the management committee (or senior management); and (iii) where applicable: the audit committee/risk committee/remuneration committee
Description of the <u>mechanisms</u> by which the <u>internal governance of the group</u> (interaction between the management bodies of the entity responsible for the group and the subsidiaries) can be safeguarded and, in particular, a description of the organisation of the <u>supervision of subsidiaries</u> by the entity responsible for the group
1.2. Remuneration
Information on the <u>remuneration policy</u> and <u>remuneration practices</u> that apply to the members of the board of directors and the management committee, the persons responsible for independent control functions, the members of staff deemed “risk takers” and employees, including the manner in which the principles of Article 275 of the Delegated Regulation 2015/35 is complied with. This section should also include information on the general coherence of the remuneration policies of the group.
If the entity responsible for the group has identified staff receiving significant remuneration within the meaning of Chapter 8 of this Circular, specific and detailed information on how the requirements set out in section 8.4. are complied with in practice.
<u>Belgian characteristics:</u> - The remuneration entitlements of the members of the board of directors, the management committee, the persons responsible for independent control functions and the “risk takers” during the reporting period => quantitative information to be submitted through OneGate - Explanatory memorandum “Non-compliance Section 8.4.” => ad hoc reporting to be submitted through eCorporate
1.3. Shareholdership

Information on the <u>shareholders who have a qualifying holding</u> in the entity responsible for the group
Information on the <u>material transactions executed</u> during the reporting period with <u>shareholders</u> , and persons that exercise a significant influence on the entity responsible for the group (stating any cross-participations)
<i>Belgian characteristic:</i> Information on any <u>shareholder/member charters</u> for the company
2. Expertise and professional integrity of the managers of the entity responsible for the group
2.1. Fit & proper
Description of the <u>Fit & Proper requirements</u> applied by the entity responsible for the group to the members of the board of directors and management committee and to the persons responsible for independent control functions (summary of the Fit & Proper policy)
Description of the <u>process</u> used by the entity responsible for the group for assessing the fitness and propriety of the members of the board of directors and the management committee, and of the persons responsible for independent control functions
Detailed information on the <u>policies and processes established</u> by the entity responsible for the group to ensure that those persons are permanently fit and proper (in case of a reassessment of the F&P nature)
<i>Belgian characteristic:</i> Description of the implementation of the following criteria relating to the composition organisation of the management bodies: <u>number of directors, duration and rotation of mandates, upper age limit, gender, etc.</u>
2.2. External functions and incompatibilities
Description of the principles included in the <u>internal rules on external functions and incompatibilities</u> of the entity responsible for the group
2.3. Loans, credits or guarantees and insurance policies for managers, shareholders, related institutions and related persons
<i>Belgian characteristic:</i> Information on the <u>material transactions</u> executed during the reporting period with members of the board of directors or the management committee, the qualified shareholders, related institutions and related persons and especially the list of loans/credits or guarantees of more than € 100,000 => <i>summary in the RSR and figures to be included in eCorporate as reporting B.10</i>
3. Risk management system, ORSA process and risk management function
3.1. Risk management system
Description of the risk management system of the entity responsible for the group, including the strategies, processes and reporting procedures applied in that respect, as well as the way in which this system succeeds in effectively and permanently identifying, calculating, monitoring, managing and reporting the risks to which the entity responsible for the group is exposed or could be exposed on an individual or aggregate level
Description of the way in which the risk management system, including the risk management function is <u>integrated in the organisational structure</u> and decision-making process of the entity responsible for the group

Description of the way in which the <u>risk management system</u> and the reporting procedures are <u>consistently applied</u> in all companies that come under the group supervision
For each risk category, information on the <u>objectives, strategies, processes and reporting procedures</u> for risk management of the entity responsible for the group
Information on <u>significant risks</u> to which the entity responsible for the group is exposed in its insurance obligations and on the way in which these are taken into account in its overall solvency needs
Information on <u>all material risks</u> that the entity responsible for the group has identified and that are not fully incorporated in the calculation of the solvency capital requirement
Information on the way in which the entity responsible for the group complies with its obligation to invest all of its assets in accordance with the <u>prudent person principle</u>
Information on the way in which the entity responsible for the group verifies whether <u>credit assessments</u> by external credit assessment institutions are adequate, including how and the extent to which credit assessments from external credit assessment institutions are used
Results of the assessments regarding the <u>extrapolation of the risk-free rate</u> , the matching adjustment and the volatility adjustment
Where applicable, information on the subsidiaries included in the <u>Own Risk and Solvency Assessment</u> of the group
Qualitative and quantitative information on specific <u>material risks at a group level</u>
3.2. Own Risk and Solvency Assessment
Description of the <u>procedure</u> of the entity responsible for the group for complying with its obligation to conduct an Own Risk and Solvency Assessment as part of its risk management system, including how the Own Risk and Solvency Assessment is integrated into the organisational structure and decision-making process of the entity responsible for the group
Statement detailing the frequency with which the Own Risk and Solvency Assessment is reviewed and approved by the board of directors and the management committee (where applicable the senior management) of the entity responsible for the group
Statement detailing how the entity responsible for the group has determined its own solvency needs given its risk profile and how its capital management activities and its risk management system interact with each other
Where applicable, a statement that the participating insurance company, insurance holding company or mixed financial holding company has used the option to consolidate all <u>Own Risk and Solvency Assessments of the group in a single document</u>
Detailed information on <u>the way in which the Own Risk and Solvency Assessments are conducted, documented and analysed internally</u>
Description of the way in which the Own Risk and Solvency Assessments are <u>integrated into the management and decision-making processes</u> of the entity responsible for the group
3.3. Risk management function
Description of the <u>tasks</u> and method of implementation of the risk management function

<u>Belgian characteristic</u> : Information on the <u>status</u> of the risk management function (place in the organisation chart, independence, reporting to the management bodies, charter, etc.) and its <u>organisation</u> (staffing resources, management of the function, methodology, interaction with the other control functions, etc.)
<u>Belgian characteristic</u> : Description of the <u>risk management charter/policy</u> of the entity responsible for the group, the process for evaluating that charter, the frequency of the evaluation and any significant changes to the charter during the reporting period
Explanation of the mechanisms for coordination between the risk management function of the group and those of the insurance subsidiaries
3.4. Contingency plans
<u>Belgian characteristic</u> : Description of the <u>process for preparing</u> contingency plans (method used)
4. Operational structure, internal control system, compliance function, integrity and IT infrastructure
4.1. Organisational and operational structure
Information on the <u>allocation of responsibilities</u> and distribution of functions
<u>Belgian characteristic</u> : Information on the <u>organisational/operational structure</u> of the entity responsible for the group: organisation chart, reporting lines, short overview of the main business units and of supporting functions
<u>Belgian characteristic</u> : Information on the <u>financial and accounting organisation</u> : investment management, capital management, valuation of assets and liabilities other than technical provisions
<u>Belgian characteristic</u> : Information on the <u>financial and prudential reporting</u> of the entity responsible for the group
<u>Specific distribution of tasks</u> between the entity responsible for the group and the subsidiaries, including a delineation of the subsidiary's own responsibilities
4.2. Internal control system
Description of the <u>internal control system</u> of the entity responsible for the group (objectives set by the management bodies, rules on reporting of identified risks, rules for monitoring procedures, staff training, documentation and filing, etc.)
Description of the way in which the <u>internal control system</u> and the reporting procedures are <u>consistently applied</u> in all companies that come under the group supervision
Detailed information on the <u>key procedures</u> of the internal control system of the entity responsible for the group
<u>List of responsible persons for independent control functions</u> with, if relevant, (i) in case of outsourcing, information on the 'contact person responsible' and the way the entity complies with section 5.1.4. of the overarching governance circular and (ii) in case of combination of functions on the head of a responsible person for an independent control function, information on the way the entity complies with section 5.1.5. of the overarching governance circular => <i>names of the persons to be stipulated in eCorporate in the reporting B.12</i>
Description of the way in which the <u>internal control mechanisms of the group</u> comply with the requirements established in Article 394, second paragraph of the Solvency II Law
4.3. Compliance function

Description of the <u>tasks</u> and method of <u>implementation</u> of the compliance function
<u>Belgian characteristic:</u> Information on the <u>status</u> of the compliance function (place in the organisation chart, independence, reporting to the management bodies, charter, etc.) and its <u>organisation</u> (staffing resources, management of the function, methodology, interaction with the other control functions, etc.)
<u>Belgian characteristic:</u> Description of the <u>compliance charter/policy</u> of the entity responsible for the group, the process for evaluating that charter, the frequency of the evaluation and any significant changes to the charter during the reporting period.
4.4. Integrity policy
<u>Belgian characteristic:</u> Description of the integrity policy validated by the entity responsible for the group and of the broad guidelines included therein on at least the following subjects: (i) company goals and values, (ii) prevention of money laundering and terrorist financing (in case of life insurance activities), (iii) whistleblowing, and (iv) conflicts of interest
4.5. IT infrastructure and continuity
<u>Belgian characteristic:</u> Description of the principles taken into account as regards IT security, internet services and, where applicable, cloud computing
<u>Belgian characteristic:</u> Description of the principles included in the continuity policy
5. Internal audit function
Description of the <u>tasks</u> and method of <u>implementation</u> of the internal audit function (audit scope used, audit method used, etc.)
Description of the way in which the internal audit function of the entity responsible for the group maintains its <u>independence</u> and objectiveness regarding audited work
<u>Belgian characteristic:</u> Information on the <u>status</u> of the internal audit function (place in the organisation chart, independence, reporting to the management bodies, charter, etc.) and its <u>organisation</u> (staffing resources, management of the function, methodology, interaction with the other control functions, etc.)
Explanation of the mechanisms for coordination between the internal audit function of the group and those of the insurance subsidiaries
<u>Belgian characteristic:</u> Description of the <u>internal audit charter/policy</u> of the entity responsible for the group, the process for evaluating that charter, frequency of the evaluation and any significant changes to the charter during the reporting period
If the persons who exercise the internal audit function also <u>fulfil other key functions</u> , a quantitative and qualitative assessment of compliance with the conditions for avoiding conflicts of interest and for the suitability requirements as regards the risk profile of the entity responsible for the group
6. Actuarial function
Description of the <u>tasks</u> and method of <u>implementation</u> of the actuarial function
<u>Belgian characteristic:</u> Information on the <u>status</u> of the actuarial function (place in the organisation chart, independence, reporting to the management bodies, charter, etc.) and its <u>organisation</u> (staffing resources, management of the function, methodology, interaction with the other control functions, etc.)
<u>Belgian characteristic:</u> Description of the <u>actuarial function charter/policy</u> of the entity responsible for the group, the process for evaluating that charter, frequency of the evaluation and any significant changes to the charter during the reporting period
Explanation of the mechanisms for coordination between the actuarial function of the group and those of the insurance subsidiaries

7. Outsourcing
Description of the main features of the insurance company's <u>outsourcing policy</u> including the process to determine whether a function or activity is a critical or important function or activity
<u>Perimeter</u> of all critical or important functions or activities which are outsourced => Detailed list to be included in eCorporate as reporting B.9.
Description of the <u>reasons</u> leading to the outsourcing of critical or important functions or activities
Description of the <u>mechanisms in place to monitor the outsourcing of critical or important functions or activities</u>
Information on the material intragroup outsourcing agreements and the mechanisms in place for monitoring -from the entity responsible of the group- these intragroup outsourcings
Information on the <u>service providers to which critical or major operational functions or activities</u> are outsourced (list of persons responsible at the service providers) as well as the <u>way in which the company ensures that the service providers</u> comply with the requirements of Article 274(3)(a) of Delegated Regulation 2015/35 (performance indicators, identification of contact persons responsible, etc.)
In case of <u>outsourcing of independent control functions</u> , description of the measures taken to answer to the additional prudential framework rules foreseen in section 7.4.4. of the overarching governance circular (contact person responsible and direct reporting to the management bodies)
8. Other information
All other governance information relevant for the assessment of the appropriate nature of the governance system set up at the level of the entity responsible for the group, and at a group level

Annex 3 - Template for the reporting of remuneration figures

PRIVACY STATEMENT

As a public institution, the National Bank of Belgium (hereinafter “the NBB”) attaches great importance to the protection of personal data and privacy. It handles personal data with great care and in accordance with the provisions of Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data (General Data Protection Regulation – GDPR). Personal data are processed solely to achieve the specific purpose for which they are collected. The personal data collected are not processed for commercial purposes.

Personal data are only shared on a need-to-know basis to achieve the purpose of the collection. This data may be shared with people outside the NBB when this appears necessary in order to achieve this purpose or in cases provided for by the law. The NBB processes these personal data for the duration which is strictly necessary in order to attain the specific purposes in view of which the data are processed.

In as far as the conditions laid out in the applicable legislation are met, persons whose data are processed are entitled to

- (1) access their personal data and, as the case may be, rectify them;
- (2) object to processing on grounds relating to their particular situation;
- (3) obtain the erasure of such data or the restriction of processing;
- (4) receive the personal data concerning them in a structured, commonly used and machine-readable format, and to transmit those data to another controller;
- (5) lodge a complaint with the *Gegevensbeschermingsautoriteit/Autorité de protection des données* if they consider that processing their personal data infringes the applicable legislation.

The relevant persons may exercise the rights mentioned under points (1) to (4) by means of a dated and signed request, accompanied with a copy of the person's identity card, to be handed in at the NBB's reception desk or sent by post to the National Bank of Belgium, Data Protection Officer, Berlaimontlaan 14, 1000 Brussels. A request may also be sent by e-mail with digital signature to dataprotection@nbb.be.

Template for the reporting of remuneration figures

	Last Name	First name	Function (Non-executive director, Member of the Management Committee, Holder of an Independent Control Function or Risk Taker)	Fixed annual remuneration for the (re)insurer *	Variable annual remuneration for the (re)insurer ** (cash)	Variable annual remuneration for the (re)insurer *** (options/shares)	Details of the variable remuneration for the (re)insurer		Other fixed annual remuneration received within the group *	Other variable annual remuneration received (cash and options/shares) within the group ***	Total annual remuneration received for the (re)insurer and within the group ****
							Deferred variable remuneration in % of variable remuneration (cash)	Deferred variable remuneration in % of variable remuneration (options/shares)			
1											
2											
3											
4											
5											
6											
7											
8											
9											
10											
11											
12											
13											
14											
15											
16											
17											
18											
19											
20											

*= All payments (gross annual salaries) without consideration of any performance criteria

** = All additional cash payments (gross amounts) depending on performance or, in certain cases, other contractual criteria

*** = number of stock options or shares

**** sum of fixed remuneration and variable remuneration

Annex 4 - Standard form for notifying the NBB of a critical or important outsourcing

NB: Form to be submitted to the National Bank of Belgium pursuant to Article 92 of the Law of 13 March 2016 and to Chapter 7 of the overarching circular on governance NBB_2016_31.

1) Perimeter of the activity or function to be outsourced	
- Brief description of the activity or function to be outsourced:	[free text]
- Reasons why the function/activity is a critical or important function/activity:	[free text]
- Start date of the outsourcing:	[DD/MM/YY]
- Contractual agreed duration of the outsourcing:	[DD/MM/YY]
- End date:	[DD/MM/YY]
- Legislation applicable to the outsourcing agreement:	[free text]
- Notice period for the service provider in months:	[DD/MM/YY]
- Notice period for the company in months:	[DD/MM/YY]
- Are personal data shared with or processed by a third party?	[yes / no]
- Description of the data involved in the outsourcing (including but not limited to personal data):	[free text]

2) Reasons behind the outsourcing	
- Brief description of the reasons behind the outsourcing:	[free text]
- Estimated/budgeted annual cost in euros:	[free text]

3) Information on the service provider	
- Name of the service provider:	[free text]
- Does the service provider belong to the same group?	[yes / no]

- Company number:	[free text]
- Legal Entity Identifier (if available):	[free text]
- Registered office (address):	[free text]
- Name of the parent undertaking (where applicable):	[free text]
- Other relevant contact information:	[free text]
- Countries where the outsourced function will be performed:	[free text]
- Countries or regions where data will be processed or stored:	[free text]

ANNEXES to be attached to the file:

A. Annex to be submitted in all cases of outsourcing of a critical or important function or activity:

(i) Signed and dated statement of the person responsible for the compliance function on compliance with the prudential rules in relation to governance

B. Additional annexes to be submitted when outsourcing an independent control function:

(ii) Copy of the written agreement with the service provider

(iii) List of persons who will be performing the outsourced control function at the service provider

(iv) Memorandum with additional information on the service provider:

- his skills - description of the service provider's knowledge and expertise and the resources (particularly IT and human resources) at his disposal to fulfil his tasks within the company
- his independence - absence of conflicts of interest
- his availability (in terms of time and resources) - availability to monitor all matters relating to the company effectively and closely

(v) Fit & Proper file on the contact person responsible designated within the company who is responsible for monitoring the service provider's performance and information on his place in the organisation chart

(vi) Memorandum describing planned interactions (reporting) between the service provider and the company's management bodies as well as between the service provider and the contact person responsible

(vii) The company's exit strategy to find another service provider if necessary while ensuring the continuity of the control function

C. Additional annexes to be submitted when outsourcing to a cloud service provider:

(ii) Memorandum describing the cloud model (*public/private/hybrid/community*)

(iii) Detailed information on the specific nature of the data to be held and the locations (i.e. countries or regions) where such data will be stored

(iv) If it is a cloud outsourcing where the data are localized in a third country, confirmation of compliance with recommendation 14 of the cloud outsourcing circular

D. **Additional annexes to be submitted if the outsourcing relates the stockage of insurance or reinsurance documents in the meaning of Article 76 of the Solvency II Law at a place different than the registered office** => contact to be taken with the Bank

E. **Additional annexes to be submitted if it is an outsourcing to a third country**

(ii) Confirmation of compliance with section 7.4.3. of the governance overarching circular

F. **Additional annexes to be submitted when the service provider makes use of sub-outsourcing:**

(ii) Memorandum with the following information for each significant sub-contractor:

- Name of the sub-contractor:
 - Description of the sub-outsourcing:
 - Location of the registered office:
 - Location(s) where the function will be performed (countries, regions):
 - Location(s) where data will be processed or stored (countries, regions):
 - Does the sub-contractor belong to the group of the company?
 - Does the sub-contractor have access to personal data?
 - Nature of the shared data:
-

Annex 5 - Standard form for the Opinion of the person responsible for the compliance function on the outsourcing of a critical or important activity or function

Company: **TO BE COMPLETED**

Critical or important activity or function to be outsourced: **TO BE COMPLETED**

In accordance with the provisions of Section 7.5 of the overarching circular on governance NBB_2016_31 (hereinafter "overarching circular on governance"), the assessment of the person responsible for the compliance function should relate to two aspects: (i) compliance with the governance rules in relation to an outsourcing (pre-contractual stage, contractual stage, post-contractual stage) and (ii) the completeness of the information submitted to the National Bank of Belgium. By "insurance company", it is understood in the present form "insurance and reinsurance company".

1. Governance in relation to the outsourcing

1.1. Pre-contractual stage: verifications to be conducted before entering into an outsourcing agreement

§1. Authorization conditions

	Source of the applicable requirement: Article 274 of Delegated Regulation 2015/35 and the following sections of the overarching circular on governance	For each of the requirements below, indicate whether you find that your company's internal procedures on the subject concerned were effectively implemented fully or partially in your company to meet the requirement. If you reply "partially", please mention the problems identified.
The insurance company has ensured that the authorization conditions in relation to the outsourcing of the critical or important function or activity have been complied with, i.e.: a) if the performance of the function or activity requires an authorisation or registration, the service provider has been authorised or registered or is allowed to perform these activities or functions in accordance with the applicable national legal framework; b) in the case of outsourcing to a service provider established in a third country, the specific conditions set out in Section 7.4.3. of the overarching circular on governance have been met.		

§2. Appropriate due diligence

(a) the company has verified that an in-depth investigation was carried out by the management committee or on a delegated basis to establish whether the potential service provider has the capacity and suitability required to satisfactorily carry out the required functions or activities, taking into account the company's objectives and needs;	Section 7.3.1. of the overarching circular on governance	- fully - partially because free text
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(b) the company has verified that the service provider has the necessary financial resources to perform the outsourced tasks in a proper and reliable way, and that all staff of this service provider who will be involved in providing the outsourced functions or activities are sufficiently qualified and reliable;	Section 7.3.1. of the overarching circular on governance	"
(c) the company has verified that the service provider has done everything possible to prevent actual or potential conflicts of interest compromising the contracting company's needs;	Section 7.3.1. of the overarching circular on governance	"
(d) the company has verified that the outsourcing does not breach any legal text, especially rules on data protection;	Section 7.3.1. of the overarching circular on governance	"
(e) the company has verified that the service provider is subject to the same rules regarding security and confidentiality of information on the insurance company or the policyholders or beneficiaries thereof as those that apply to the insurance or reinsurance company.	Section 7.3.1. of the overarching circular on governance	"
<u>§3. Assessment of risks related to the outsourcing arrangement</u>		
The insurance company has performed an outsourcing risk assessment taking into consideration at least: (a) concentrations risks, including from: (i) outsourcing to a dominant service provider that is not easily substitutable and (ii) multiple outsourcing agreements with the same service provider or closely connected service providers; (b) the aggregated risks resulting from outsourcing several functions across the company; (c) in the case of significant companies, the step-in risk, i.e. the risk that may result from the need to provide financial support to a service provider in distress or to take over its business operations; and (d) the measures implemented by the company and by the service provider to manage and mitigate the risks.	Section 7.3.1. of the overarching circular on governance	
<u>1.2. Contractual stage: minimum content of the agreement in writing with the service provider</u>		
	Source of the applicable requirement:	Indicate whether the written outsourcing agreement complies fully, sufficiently but with findings or insufficiently with prudential content requirements.

The agreement in writing entered into by the insurance company and the service provider includes a clear mention of all following points in particular: (a) the tasks and responsibilities of both parties; (b) the service provider's commitment to comply with all applicable legal provisions, regulatory requirements and guidelines, as well as with the policies approved by the insurance company, and to cooperate with the Bank as regards the outsourced activities or functions; (c) the service provider's obligation to report any development that could be of material influence on its ability to conduct the outsourced activities or functions efficiently and with due regard to the applicable legal provisions and regulatory requirements; (d) a notice period for the service provider to terminate the agreement that is long enough for the insurance company to find an alternative solution; (e) that the insurance company may, where necessary, terminate the outsourcing agreement with no negative consequences for the continuity and quality of its service to policyholders; (f) that the insurance company reserves the right to be informed on the outsourced functions and activities and the performance thereof by the service provider, as well as the right to give the service provider general guidelines or individual instructions on what needs to be taken into account in the performance of the outsourced functions or activities; (g) that the service provider must safeguard all confidential information on the insurance company and its policyholders, beneficiaries, staff, contractual parties and all other persons; (h) that the insurance company, its statutory auditor and the Bank must have effective access to all information on the outsourced functions and activities as well as the service provider's places of work to be able to conduct on-site inspections/audits; (i) that the Bank, where such is appropriate and necessary for supervisory purposes, may ask the service provider questions directly, which the service provider must answer; (j) that the insurance company may obtain information on the outsourced functions and activities and give instructions on the outsourced functions and activities;	<i>Section 7.3.2. of the overarching circular on governance</i>	- fully - sufficiently but with the following findings [free text] - insufficiently - not applicable
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(k) the conditions under which the service provider may sub-contract any outsourced functions and activities; (l) that the obligations and responsibilities of the service provider by virtue of its agreement with the insurance company remain unchanged by any sub-contracting in accordance with point k).		
The general conditions of the outsourcing agreement have been clearly explained to the company's management committee and board of directors, and have been approved by them.	<i>Section 7.3.2. of the overarching circular on governance</i>	[Date of the meeting of the management committee] [Date of the meeting of the board of directors]
<u>1.3. Post-contractual stage: requirements to be met after entering into an outsourcing agreement</u>		
	Source of the applicable requirement:	For each of the requirements below, indicate whether you find that your company's internal procedures on the subject concerned were effectively implemented fully or partially in your company to meet the requirement. If you reply "partially", please mention the problems identified.
(a) the company has ensured that the relevant aspects of the service provider's risk management and internal control system are adequate enough to safeguard compliance with the above provisions of the Law of 13 March 2016 ("Solvency II Law");	<i>Section 7.3.3. of the overarching circular on governance</i>	- fully - partially because free text
(b) the company has sufficiently taken into account the outsourced functions or activities in its risk management and internal control system to safeguard compliance with the provisions of the Solvency II Law;	<i>Section 7.3.3. of the overarching circular on governance</i>	
(c) the company has implemented a system to monitor the outsourced functions or activities through regular structured monitoring of the performance of the service provider (e.g. using key performance indicators) according to a risk-based approach including in particular data integrity and security;	<i>Section 7.3.3. of the overarching circular on governance</i>	
(d) the company has ensured that the service provider has suitable contingency plans to deal with emergencies or business interruptions and performs regular tests of its backup systems, if necessary, in light of the outsourced functions or activities;	<i>Section 7.3.3. of the overarching circular on governance</i>	

(e) the company has a documented exit strategy.	<i>Section 7.3.3. of the overarching circular on governance</i>	
2. Completeness of the file submitted to the National Bank of Belgium		
Through this opinion, the undersigned - declares having verified compliance with the rules in relation to the governance of the critical or important outsourcing mentioned above and in relation to the content of the agreement with the service provider, which has led to no other findings than those mentioned above; and - confirms that the file submitted to the National Bank of Belgium contains all documents required by Section 7.5. of the overarching circular on governance.		

Date: [DD/MM/YYYY]

[Name and First Name]

Person responsible for the compliance function of [company]

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Annex 1: Recommended template for the management committee's reporting on the assessment of the effectiveness of the governance system

Annex 2: Template for the chapter on "Governance system" of the RSR

Annex 3: Template for the reporting of remuneration figures

Annexe 4: Standard form for notifying the NBB of a critical or important outsourcing

Annex 5: Standard form for the Opinion of the person responsible for the compliance function on the outsourcing of a critical or important activity or function